The City of SAN DIEGO

FISCAL YEAR 2026
THIRD QUARTER BUDGET MONITORING REPORT

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INTRODUCTION

Per City Council Budget Policy (Policy No. 000-02), quarterly reports are presented to the Budget and Government Efficiency Committee and the City Council each fiscal year. Quarterly reports are an integral part of the City of San Diego's (City) budget process, providing transparency into the City's budget and finances and delivering critical data for informed decision-making. This report also serves as the basis for the May Revision to the Fiscal Year 2027 Draft Budget (May Revision).

The Fiscal Year 2026 Third Quarter Budget Monitoring Report (Third Quarter Report) provides the City Council and the public with a comprehensive forecast of year-end projections for both revenues and expenditures, in funds with budgeted personnel expenditures, and compares those projections to the current fiscal year's budget. The Department of Finance (DoF), in collaboration with City Departments, produces this report to forecast revenues and expenditures. The Third Quarter Report is based on nine months of unaudited actual activity in budgeted operating departments, along with projections of anticipated spending and revenue trends for the remainder of the fiscal year. It also highlights significant variances in projected revenues and expenditures relative to the current budget and the Fiscal Year 2026 Mid-Year Budget Monitoring Report (Mid-Year Report). In addition, the report includes the following information, analysis, and recommendations:

- A high-level summary of projected revenues and expenditures
- Details on major General Fund revenues and assumptions
- Discussion of significant General Fund revenue and expenditure variances
- Updates on the General Fund Balance and Reserves
- Updates on Mitigation Actions
- Discussion of significant variances projected for non-General Funds
- Updates to the non-General Fund reserves per the City's Reserve Policy
- Requested authorities to maintain budgetary controls
- Recommended appropriation adjustments

The analyses that support the year-end revenue and expenditure projections in this report are based on the most current data available at the time of publication, including statistical data, economic analyses, professional judgment, and expertise from economic consultants, professional organizations, and other resources.

In accordance with Section 39 of the City Charter, the Third Quarter Report also includes **Attachment 5: Fiscal Year 2026 Financial Performance Report, as of March 2026**, which compares unaudited revenue and expenditures against the FY 2026 budget for the General Fund and non-General Funds. This serves as a financial management tool and reflects the City's commitment to fiscal discipline and transparency.

This report also includes, as attachments, position vacancy data and updates requested by the City Council via resolution or the Fiscal Year 2026 Appropriation Ordinance. These updates include **Attachment 6: Reporting Requirements – Section 19 of the Appropriation Ordinance** provided by the Office of the City Attorney, and **Attachment 7: Fiscal Year 2026 Third Quarter Budget Monitoring and Grant Funding Update** provided by the Homelessness Strategies and Solutions Department.

GENERAL FUND EXECUTIVE SUMMARY

Summary of FY 2026 General Fund Projections

Table 1 *in millions*

Revenue/ Expenditures	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	**$ 2,167.4**	**$ 2,171.1**	**$ 2,160.6**	**$ (10.5)**	**-0.5%**
Major General Fund Revenues	1,612.5	1,612.5	1,605.7	(6.9)	-0.4%
Departmental Revenues	554.9	558.6	554.9	(3.7)	-0.7%
Expenditures	**$ 2,167.4**	**$ 2,171.1**	**$ 2,158.9**	**$ 12.2**	**0.6%**
Personnel Expenditures	961.5	964.9	981.4	(16.5)	-1.7%
Fringe & Non-Personnel Expenditures	1,205.9	1,206.3	1,177.5	28.7	2.4%
Net Projected Activity	**$ -**	**$ -**	**$ 1.7**	**$ 1.7**	

Revenues

As displayed in **Table 1: Summary of FY 2026 General Fund Projections**, General Fund revenues are projected to end the fiscal year $10.5 million, or 0.5 percent, below the current budget, comprised of a $6.9 million decrease in major General Fund revenues and a $3.7 million decrease in departmental revenues. The decrease in major General Fund revenues is primarily due to negative interest earnings from reduced General Fund cash balances and a decline in transient occupancy tax revenue, driven by reduced international travel and tempered growth in both leisure and business travel. The projected decrease in departmental revenues is largely due to reduced Balboa Park parking revenue resulting from changes in the implementation timeline and fee structure assumptions. Additional details, including significant variances within individual departments, are discussed later in this report. A listing of General Fund projected revenues by department can be found in **Attachment 1: General Fund Projected Revenues**.

Expenditures

As displayed in **Table 1: Summary of FY 2026 General Fund Projections**, General Fund expenditures are projected to end the fiscal year $12.2 million, or 0.6 percent, below the current budget, comprised of a $28.7 million decrease in fringe and non-personnel expenditures, partially offset by an overage of $16.5 million in personnel expenditures.

General Fund personnel expenditures are projected to exceed budget by $16.5 million, or 1.7 percent. This is largely comprised of $15.5 million in overtime and $2.4 million in termination pay. The increase in overtime costs is largely concentrated in the public safety departments, including overtime to maintain constant staffing in the Fire-Rescue Department and to support reimbursable activities in the Police Department, including special events and parking enforcement. Public safety overtime accounts for approximately 74.4 percent of the overall overage in personnel expenditures. Additional overtime is also projected in the Transportation and Parks and Recreation Departments to support emergency response and callbacks, and to maintain service levels during events and seasonal demands, respectively. The increase in termination pay is primarily attributed to separations in the Police Department. Notably, the increase in personnel expenditures is partially offset by a historical savings adjustment of

$852,000 based on an analysis of personnel changes from prior fiscal years, which will be discussed in detail later in this report.

General Fund fringe and non-personnel expenditures are projected to be under budget by $28.7 million, or 2.4 percent. While variances are distributed across multiple departments and categories, the most significant change is an $8.0 million reduction in the transfer to the Public Liability Fund, resulting from one-time insurance proceeds received following the release of the Mid-Year Report. Additional savings are attributed to targeted efforts implemented in response to the Mayor's mitigation actions to reduce expenditures across departments, including lower water costs resulting from conservation measures and reduced information technology service costs from operational efficiencies. Notably, consistent with the approach used for personnel expenditures, an analysis of historical non-personnel expenditure actuals compared to prior third quarter projections was conducted. As a result, bottom-line adjustments of $260,000 for fringe benefits and $7.1 million for non-personnel expenditures are incorporated into the projections to account for historical patterns between the third quarter projections and year-end results.

Additional details, including significant variances within individual departments, are discussed later in this report. A listing of individual department expenditure projections is available in **Attachment 2: General Fund Projected Expenditures**.

Mid-Year to Third Quarter Report Overview

Quarterly Comparison of FY 2026 General Fund Projections

Table 2 *in millions*

Revenue/ Expenditures	Mid-Year Report	Year-End Projection	Variance	Variance %
Revenue	**$ 2,157.5**	**$ 2,160.6**	**$ 3.0**	**0.1%**
Major General Fund Revenues	1,605.3	1,605.7	0.4	0.0%
Departmental Revenues	552.2	554.9	2.7	0.5%
Expenditures	**$ 2,174.3**	**$ 2,158.9**	**$ 15.4**	**0.7%**
Personnel Expenditures	979.7	981.4	(1.7)	-0.2%
Fringe & Non-Personnel Expenditures	1,194.7	1,177.5	17.1	1.4%
Net Projected Activity	**$ (16.8)**	**$ 1.7**	**$ 18.5**	

Table 2: Quarterly Comparison of FY 2026 General Fund Projections compares General Fund revenue and expenditure projections from the Mid-Year Report to the Third Quarter Report. When compared to the Mid-Year Report, General Fund revenues are projected to increase by $3.0 million, or 0.1 percent, and General Fund expenditures are projected to decrease by $15.4 million, or 0.7 percent. Cumulatively, this results in a net improvement of $18.5 million from the Mid-Year Report. For revenues, the increase is primarily in departmental revenues and is largely due to intentional efforts to maximize reimbursements from other funds for eligible expenditures. On the expenditures side, while the quarterly variances are distributed across multiple departments and categories, the most significant change from the Mid-Year Report is a $10.8 million reduction in the transfer to the Public Liability Fund, primarily due to receipt of one-time insurance proceeds related to flooding at the Old Central Library. Additional expenditure decreases since the Mid-Year Report include lower water costs from targeted conservation efforts and further reductions in information technology services resulting from continued efforts to identify additional operational efficiencies. Further details on variances

from the Mid-Year Report will be addressed in the report's categorical revenue and expenditure sections.

GENERAL FUND REVENUE

MAJOR GENERAL FUND REVENUES

The City's major General Fund revenues are projected to be under budget by $6.9 million, or 0.4 percent, by fiscal year-end. This represents a net increase in revenues of $358,000 from the Mid-Year Report. The decrease in General Fund revenues is primarily attributed to a projected decrease in interest earnings of $16.6 million. This decrease is partially offset by a net increase in the major General Fund revenues of $11.3 million, most notably in Franchise Fee revenue of $4.5 million, Sales Tax of $4.6 million and Property Tax of $2.8 million. **Table 3: FY 2026 Major General Fund Revenue Projections** summarizes the projections by major General Fund revenue category.

FY 2026 Major General Fund Revenue Projections

Table 3 *in millions*

Revenue Source	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Property Tax	$ 844.6	$ 844.6	$ 847.4	$ 2.8	0.3%
Sales Tax	374.5	374.5	$ 379.2	4.6	1.2%
Transient Occupancy Tax[1]	170.3	170.3	166.3	(3.9)	-2.3%
Franchise Fees[2]	103.6	103.6	111.4	7.8	7.5%
Other Major Revenues	119.6	119.6	101.4	(18.1)	-15.2%
Total	**$ 1,612.5**	**$ 1,612.5**	**$ 1,605.7**	**$ (6.9)**	**-0.4%**

[1]Total City FY 2026 Adopted Budget for transient occupancy tax is $323.6 million and the projection is $316.1 million. The balance is budgeted in the Transient Occupancy Tax Fund.

[2]Total City FY 2026 Adopted Budget for franchise fees revenue is $219.7 million and the projection is $232.5 million. The balance is budgeted in the Environmental Growth and Underground Surcharge Funds.

The projections for major General Fund revenues are based on actual revenue distributions received through the third quarter and the most recent economic information available to the City at the time of the preparation of this report. While the Adopted Budget assumed positive yet moderate growth for all major General Fund revenues, the third quarter projections continue to reflect moderate growth for all major revenues, with the exception of transient occupancy tax (TOT). TOT reflects a decline, largely due to lower monthly revenue collected in the first half of the fiscal year, as tourism across all travel sectors has declined. Further details supporting the third quarter projection for each major General Fund revenue source are provided in the subsequent sections of this report.

Local Economic Indicators

Table 4

Economic Indicator	Mar-25	Mar-26	Change %
Consumer Confidence	93.90	91.80	-2.2%
City of San Diego Unemployment	4.1%	4.2%	0.1%
City of San Diego Number of Unemployed	31,200	31,200	0.0%
City of San Diego Home Sales[1]	2,446	2,401	-1.8%
City of San Diego Median Home Price	$941,000	$950,000	1.0%
San Diego Counsumer Price Index (CPI)	384.880	397.284	3.2%
San Diego County Foreclosures[1]	52	55	5.8%
San Diego County Notices of Default[1]	553	572	3.4%

Source: California Employment Development Department, The Conference Board Index of Leading Economic Indicators, HDLCC, San Diego County Assessor/Auditor/Recorder's Office, U.S. Bureau of Labor Statistics.

[1] Calendar year data through March 2026.

A summary of current key local economic indicators that inform the overall major revenue projections is presented in **Table 4: Local Economic Indicators**. These indicators, including consumer confidence, employment trends, and housing data, serve as important tools for assessing potential shifts in revenue patterns and guiding adjustments to revenue projections.

As of March 2026, consumer confidence was preliminarily recorded at 91.8, a decrease of 2.2 percent from 93.9 in March 2025 and a slight improvement of 0.9 percent from 91.0 in February 2026. Consumer confidence has fluctuated month to month since the start of the fiscal year, primarily due to concerns about current economic conditions and future expectations.

As preliminarily reported by the California Employment Development Department, the March 2026 unemployment rate in the City of San Diego reached 4.2 percent, a slight increase of 0.1 percent from the March 2025 rate of 4.1 percent. Although the unemployment rate has fluctuated over the last year, a 4.1 percent rate is generally considered within the normal range and is an improvement from the 4.6 percent rate for November 2025, reported in the Mid-Year Report.

As of March 2026, the median home price in San Diego has remained elevated at $950,000, an increase of 1.0 percent from the March 2025 median home price. Additionally, the number of home sales has remained relatively flat, from 2,446 year-to-date sales in March 2025 to 2,401 in March 2026. Notably, elevated home prices and interest rates are causing many potential home buyers to delay purchases until prices or rates decline. During the recent Federal Open Market Committee (FOMC) meeting, held on April 29, 2026, the committee decided to maintain the target range for the federal funds rate at 3-1/2 to 3-3/4. The decision held rates steady for the third consecutive meeting since the last decrease in December 2025. Additionally, foreclosure notices have increased moderately by 5.8 percent when comparing year-to-date calendar year data through March 2026 to the same period in March 2025. While notices of default have increased by 3.4 percent compared to the prior year-to-date data, this trend may signal an increase in the risk of foreclosures.

The San Diego CPI has increased by 3.2 percent year over year, reflecting a continued trend of elevated prices and remaining above the Federal Reserve's 2.0 percent target, indicating ongoing inflationary pressures. Recent tariff policy changes, which have raised the costs of

goods, along with overseas conflicts that have contributed to higher energy prices, have further heightened economic uncertainty. The UCLA Anderson Forecast Spring 2026 Economic Forecast assumes national inflation will remain above the Federal Reserve Board's inflation target of 2.0 percent for the near future, with the Consumer Price Index (CPI) forecasted at 2.7 percent for calendar year 2026 and at 2.4 percent in calendar year 2027.[1]

These local economic indicators support the overall projection of below-trend revenue growth, highlighting a continued softening economy and suggesting that economic conditions may continue to weigh on revenue sources. The Department of Finance will continue to monitor revenues and economic indicators throughout the fiscal year and will incorporate updates from industry experts and the City's property tax and sales tax consultants in the Fiscal Year 2026 Year-End Financial Performance Report (Year-End Performance Report). Details on the major components of the city's General Fund Adopted Budget compared to third quarter projections for the major revenues are provided in the following sections.

Property Tax

FY 2026 Property Tax Revenue Projection Details

Table 5 *in millions*

Revenue Source	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Property Tax Growth Rate	4.48%	4.48%	5.00%	0.52%	N/A
Property Tax Projection Total	$ 844.6	$ 844.6	$ 847.4	$ 2.8	0.3%
1.0% Property Tax	*574.2*	*574.2*	*574.9*	*0.7*	*0.1%*
MVLF Backfill	*212.1*	*212.1*	*213.1*	*1.0*	*0.5%*
RPTTF Tax Sharing Pass-through Payments	*13.6*	*13.6*	*13.7*	*0.0*	*0.3%*
RPTTF Residual Property Tax	*44.7*	*44.7*	*45.7*	*1.0*	*2.3%*
Total	**$ 844.6**	**$ 844.6**	**$ 847.4**	**$ 2.8**	**0.3%**

Property tax revenue is primarily derived from a 1.0 percent levy on the assessed value of all real property, collected by the San Diego County Tax Collector. The levy is then distributed to various agencies, including the County, the City, school districts, and special districts. In addition, property tax revenue includes tax sharing pass-through payments and residual property tax received from the Redevelopment Property Tax Trust Fund (RPTTF) after the Recognized Obligations Payment Schedule (ROPS) is met. These residual funds are then distributed to the local taxing entities per their individual allocation formulas at a rate ranging from 17.0 to 22.0 percent. **Table 5: FY 2026 Property Tax Revenue Projections Details** provides a breakdown of the property tax projections by each revenue source.

As shown in **Table 5**, property tax is projected to be over budget by $2.8 million, or 0.3 percent, at fiscal year-end, an increase of $758,000 from the Mid-Year Report.

Similar to the Mid-Year Report, this increase is comprised of $1.0 million in the motor vehicle license fee (MVLF) backfill revenue based on the calculation and payment schedule provided by the County of San Diego in October 2025, and a $1.0 million increase in the RPTTF residual property tax payment portion of the ROPS, which is based on revised RPTTF deposit estimates received from the County for the ROPS 20 in April 2026. Enforceable obligations for ROPS 20 were confirmed by the Annual ROPS letter issued by the State in April 2026, which approves

[1] The UCLA Anderson Forecast for the Nation and California. UCLA Anderson Forecast. Spring 2026. Page 23

all items listed by the California Department of Finance (CA-DOF), and remains consistent with the Mid-Year Report.

Additionally, an increase of $697,000 in 1.0 percent property tax collections is attributed to higher-than-anticipated property tax distributions, based on the latest apportionment report from the County of San Diego. Compared with the Mid-Year Report, this represents an increase of $605,000.

Sensitivity Analysis

Future risks to the property tax revenue projection include changes in interest rates, which could impact the number of home sales and median home prices, as well as delinquency rates, refunds, and exemptions. During the Federal Open Market Committee (FOMC) meeting, held on April 29, 2026, the committee decided to maintain the target range for the federal funds rate at 3-1/2 to 3-3/4. The decision held rates steady for the third consecutive meeting since the last decrease in December 2025. The Committee is committed to supporting maximum employment and returning inflation to its 2.0 percent objective. Any potential rate cuts in the remaining months of FY 2026 would favor property tax revenues in future years.

Sales Tax

FY 2026 Sales Tax Revenue Projections

Table 6 *in millions*

Revenue Source	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Sales Tax Growth Rate	0.25%	0.25%	1.84%	1.59%	N/A
Sales Tax Projection	$ 374.5	$ 374.5	$ 379.2	$ 4.6	1.2%

Sales tax is collected at the point of sale and remitted to the California Department of Tax and Fee Administration, which allocates tax revenue owed to the City in monthly payments. The total citywide sales tax rate in San Diego is 7.75 percent, of which the City receives 1.0 percent of all point-of-sale transactions within the City.

As shown in **Table 6: FY 2026 Sales Tax Revenue Projections**, sales tax revenue is projected to be over budget by $4.6 million, or 1.2 percent, at fiscal year-end, an increase of $2.5 million from the Mid-Year Report. The increase is attributed to actual sales tax receipts collected, particularly in the second quarter, exceeding expectations. While the Mid-Year Report projected potential softening due to persistent inflationary pressures, geopolitical uncertainty, and fluctuating consumer confidence, second-quarter collections indicate more resilient consumer activity, leading to a modest increase in the year-end projection.

To better align with this trend in actual sales tax receipts collected, the year-over-year growth has been revised upward to 1.84 percent, which represents a slight increase from the 1.20 percent in the Mid-Year Report and the 0.25 percent growth rate assumed in the Adopted Budget. This revised projection is in line with the City's sales tax consultant's most recent sales tax projections and is substantiated by the evolving shift in consumer consumption patterns.

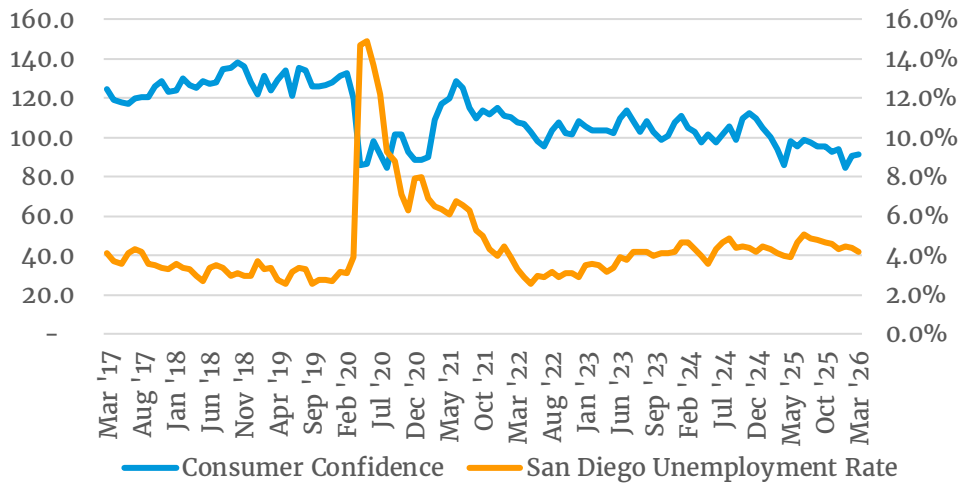
Broader economic indicators continue to support the updated projections. Based on the latest data from the U.S. Bureau of Labor Statistics, the San Diego CPI—a metric that measures costs

across many consumer items, increased by 3.2 percent, from 384.880 in March 2025 to 397.284 in March 2026, remaining above the Federal Reserve's 2.0 percent target and signaling continued price pressures that may support sales tax growth. In addition, elevated fuel prices driven by geopolitical conditions continue to support taxable sales in sectors such as the fuel and service stations sector, with the potential for broader effects on other taxable goods, which could further support taxable sales. Lastly, anticipated increases in federal tax refunds under the One Big Beautiful Bill Act may provide additional short-term support for consumer spending through the end of the fiscal year.

Additional economic indicators that drive consumer spending and growth in sales tax receipts include the unemployment rate and consumer confidence. Although both continue to fluctuate month-to-month as consumers respond to uncertainty about inflation, employment and geopolitical events, they have remained stable since being reported in the Mid-Year Report. The correlation between consumer confidence and unemployment indicators is depicted in **Figure 1: Consumer Confidence & San Diego Unemployment Rate**.

Consumer Confidence & San Diego Unemployment Rate

Figure 1



Source: Consumer Confidence Board

Sensitivity Analysis

Sales tax projections reflect the latest estimates for what the City is expected to receive this fiscal year. Actual local sales tax revenue could be affected by potential Federal Reserve rate changes, inflation, unemployment rates, and changes in consumer confidence. Additionally, changes to federal policies, including the continuation of tariffs, and geopolitical events, can affect revenues. All of these factors could impact consumer confidence and/or business-to-business growth.

Transient Occupancy Tax (TOT)

FY 2026 Transient Occupancy Tax (TOT) Revenue Projections[1]

Table 7 *in millions*

Revenue Source	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
TOT Growth Rate	2.20%	2.20%	0.20%	-2.00%	N/A
TOT Projection	$ 170.3	$ 170.3	$ 166.3	$ (3.9)	-2.3%

[1]Total City FY 2026 Adopted Budget for transient occupancy tax is $323.6 million and the projection is $316.1 million. The balance is budgeted in the Transient Occupancy Tax Fund.

The City receives transient occupancy tax (TOT) revenue from hotels, Short-Term Residential Occupancy units (STROs), and Recreational Vehicle Parks (RV Parks), at a rate of 10.5 cents per dollar on taxable rent for a transient's stay of less than one month.

Notably, the Adopted Budget for TOT excludes revenues from Measure C, a voter-approved initiative passed in March 2020, which increased the TOT rate on hotel stays above the base rate of 10.5 percent to support key priorities. These additional revenues are deposited into separate funds and used to support eligible expenditures, including homelessness services and the convention center.

As shown in **Table 7: FY 2026 Transient Occupancy Tax (TOT) Revenue Projections**, TOT revenue is projected to be under budget by $3.9 million, or 2.3 percent, at fiscal year-end, an improvement of $3.5 million from the Mid-Year Report. Similar to the Mid-Year Report, the decrease when compared to the budget is primarily due to lower-than-anticipated TOT receipts received in the first half of the fiscal year. International travel declined significantly in calendar year 2025 due to heightened tensions between the United States and other countries, which adversely affected tourism. TOT receipts are also affected by tempered growth in both leisure and business travel, with group and business travel remaining below pre-pandemic levels. Compared to the Mid-Year Report, the $3.5 million increase is primarily due to higher TOT receipts, which were higher than anticipated in March and April 2026.

To better align with actual TOT receipt trends and the April 2026 San Diego Lodging forecast, developed by Tourism Economics, the TOT growth rate has been revised to a 0.2 percent year-over-year, an improvement from the negative 1.9 percent projected in the Mid-Year Report. This revision reflects the expectation that travel demand will continue to grow at more restrained levels as consumers manage general economic uncertainty and inflationary pressures. The latest tourism forecast, developed by Tourism Economics, projects leisure travel and international travel growth of 3.6 percent and 3.4 percent, respectively, in calendar year 2026[2]. Although international, group and business travel are expected to remain below pre-pandemic levels, the forecast suggests continued, gradual improvement. However, persistent inflation and rising fuel prices may temper demand as consumers prioritize essential spending over discretionary travel.

TOT's primary economic drivers include room rates, occupancy, and room demand growth. **Table 8: San Diego County Visitor Industry**, provides a summary of the projected growth in economic indicators that impact the City's TOT receipts.

[2] Tourism Economics San Diego Lodging Forecast. April 2026. San Diego Industry Research.

San Diego County Visitor Industry

Table 8 *in millions*

	CY 2023	CY 2024	CY 2025	CY 2026[2]
Average Occupancy	73.4%	74.2%	72.2%	73.3%
Average Daily Rate	$ 209.99	$ 213.19	$ 212.85	$ 216.16
Revenue PAR[1]	$ 154.20	$ 158.10	$ 153.77	$ 158.51
Room Demand (growth)	1.2%	1.1%	-0.1%	3.2%

Source: San Diego Tourism Authority and Tourism Economics

[1] Revenue Per Available Room (Average Occupancy multiplied by Average Daily Rate).

[2]San Diego Lodging Forecast - Tourism Economics, April 2026.

Sensitivity Analysis

Potential factors that could impact TOT projections include changes in consumer discretionary spending, particularly leisure travel, due to room prices, other travel expenses, inflation, and unemployment rates. Any changes to the current growth assumptions could directly impact the projected TOT revenue and transfer of funds to the Special Promotional Programs and the General Fund.

Franchise Fees

FY 2026 Franchise Fee Revenue Projections

Table 9 *in millions*

Revenue Source	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
SDG&E Growth Rate	0.00%	0.00%	18.30%	18.30%	N/A
Cable Growth Rate	-6.79%	-6.79%	-7.21%	-0.4%	N/A
Franchise Fee Projection[1]	$ 103.6	$ 103.6	$ 111.4	$ 7.8	7.5%

[1]Total City FY 2026 Adopted Budget for franchise fees revenue is $219.7 million and the projection is $232.5 million. The balance is budgeted in the Environmental Growth and Underground Surcharge Funds.

Franchise fee revenue is generated from agreements with private utility companies in exchange for the use of the City's right-of-way. The largest of the franchise fee payers in the City are San Diego Gas and Electric (SDG&E), Cox Communications, Spectrum TV, AT&T U-verse, and California American Water (Cal AM). In addition, the City collects franchise fees from private refuse haulers that conduct business within City limits.

As displayed in **Table 9: FY 2026 Franchise Fee Revenue Projections**, franchise fee revenue is projected to be over budget by $7.8 million, or 7.5 percent, by fiscal year-end, an increase of $4.9 million from the Mid-Year Report. This increase is primarily due to $4.5 million in a higher-than-anticipated calendar year 2025 clean-up payment received from SDG&E in February 2026, after the release of the Mid-Year Report. Additionally, facility franchise fees from the Sycamore Landfill are projected to increase by $3.5 million, due to increased tonnage collected at the site. This represents an increase of $700,000 from the Mid-Year Report.

Partially offsetting the overall increase in franchise fee revenues is a decrease of $250,000 in cable franchise fee revenue. This is primarily due to continued market-share losses to digital competitors who do not pay a franchise fee. Compared with the Mid-Year Report, this

represents a decrease of $320,000, based on updated revenue receipts from cable providers in the second quarterly payment.

Sensitivity Analysis

Potential factors that could result in fluctuations in franchise fees include price adjustments, weather variability, and electricity and gas consumption levels. Additionally, cable providers face greater revenue uncertainty due to the addition of digital competitors and changes in consumer entertainment choices.

Other Major Revenues

FY 2026 Other Major Revenue Projections

Table 10 *in millions*

Revenue Source	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Property Transfer Tax	$ 11.9	$ 11.9	$ 10.9	$ (1.0)	-8.3%
Refuse Collector Business Tax	1.6	1.6	1.4	(0.2)	-13.2%
Revenue from Use of Money and Property	12.6	12.6	(3.9)	(16.5)	-130.7%
Revenue from Other Agencies	2.2	2.2	3.5	1.4	64.2%
Charges for Current Services	38.2	38.2	37.1	(1.1)	-2.8%
Other Revenues	-	-	0.5	0.5	0.0%
Transfers In	53.1	53.1	51.9	(1.3)	-2.4%
Total	**$ 119.6**	**$ 119.6**	**$ 101.4**	**$ (18.1)**	**-15.2%**

The other major revenue category includes Property Transfer tax; General Governmental Services Billing (GGSB), which is a reimbursement from other City funds that use General Fund services; one-cent TOT transfer into the General Fund; rent reimbursements from non-General Fund departments; interest earnings attributable to the General Fund from the City's investment pool; refuse collector business tax; and other miscellaneous one-time revenues.

As displayed in **Table 10: FY 2026 Other Major Revenue Projections**, other major revenues are projected to be under budget by $18.1 million, or 15.2 percent, by fiscal year-end, a decrease of $11.4 million from the Mid-Year Report, primarily due to the following:

- $16.6 million in reduced interest earnings primarily due to the use of Excess Equity in recent years, which has significantly reduced the amount of cash on hand in the General Fund, as well as delayed reimbursements for Capital Improvement Program (CIP) expenditures from bond proceeds. The timing between when the General Fund advances funds and when reimbursements are received has resulted in a sustained negative cash balance, incurring negative interest earnings per month in the General Fund. While the Department of Finance, in collaboration with the Engineering and Capital Projects Department, has taken steps to accelerate reimbursements and reduce the duration of negative cash balances, these efforts have not fully mitigated negative interest earnings incurred since the beginning of the fiscal year. Since the Mid-Year Report, negative interest earnings have increased by $11.1 million, further impacting the General Fund. Negative interest earnings will be mitigated in FY 2027 and beyond with the annual issuance of Tax and Revenue Anticipation Notes.
- $717,000 decrease in the one-cent TOT transfer to the General Fund. Due to the projected decline in TOT receipts discussed in the TOT section of this report, the available funds for this transfer have also declined. This represents an increase of $591,000 from the Mid-Year Report.

- $1.1 million decrease in GGSB revenue primarily as a result of a citywide realignment in the City's Chief positions, ultimately reducing the associated GGSB costs amongst various City departments. This decrease is primarily offset with savings from charging the non-General Funds they support. The fiscal impact was not calculated until after the Mid-Year Report was released.
- $986,000 in property transfer tax generated from recent home sales. Unlike the 1.0 percent property tax revenue, which is based on calendar year 2024 activity, property transfer tax receipts reflect current economic conditions without a lag. Recent economic indicators show an increase in the median home price and a decrease in the growth rate of home sales compared to the previous fiscal year. This represents a decrease of $864,000 from the Mid-Year Report.
- $216,000 decrease in Refuse Collector Business Tax revenue based on year-to-date trends, which remains similar to the Mid-Year Report.

Partially offsetting these decreases are the following projected increases:

- $733,000 in excess vehicle license fee collection payments from the State Controller's Office in accordance with Revenue and Taxation Code section 11001.5(b), which remains consistent with the Mid-Year Report.
- $665,000 in reimbursements from the San Diego Unified School District (SDUSD) for advancing funds to the registrar of voters tied to SDUSD's Measure C, which was on the November 5, 2024 ballot.
- $471,000 in anticipated collections from unclaimed monies.
- $127,000 from the return of cash balances from the closure of inactive or obsolete funds, following a review of funds with minimal activity to leverage available balances.

Sensitivity Analysis

Potential factors that could result in fluctuations in other major revenues include an anticipated $7.4 million reimbursement from CalOES related to the January 2024 Storm Event, which is currently projected at budget. As of the release of this report, the majority of these reimbursements have not been received, resulting in a potential sensitivity should the timing or amount of reimbursement differ from the current projection. Based on prior communications from CalOES indicating that the reimbursement requests remain under review and in process, the City continues to monitor the status of these anticipated revenues. The Department of Finance is scheduled to meet with CalOES mid-May 2026 to discuss the status of these reimbursements and will provide any material updates during the presentation to the City Council on May 18, 2026.

Departmental Revenue

General Fund departmental revenues are projected at $554.9 million by fiscal year-end. This represents a decrease of $3.7 million when compared to the current budget, and an improvement of $2.7 million from the Mid-Year Report. The following sections highlight departments with significant variances, defined as variances exceeding +/-$1.0 million. **Table 11: FY 2026 Significant General Fund Departmental Revenue Projections** displays the departments with significant variances from the current budget.

FY 2026 Significant General Fund Departmental Revenue Projections

Table 11 *in millions*

Department	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
City Treasurer	$ 45.9	$ 45.9	$ 43.9	$ (2.0)	-4.4%
Economic Development	82.6	82.6	75.8	(6.8)	-8.3%
Environmental Services	4.2	4.2	10.5	6.3	147.9%
Fire-Rescue	77.7	77.7	82.5	4.8	6.2%
General Services	4.6	4.6	5.6	1.1	23.4%
Homelessness Strategies and Solutions	53.2	53.2	51.2	(2.0)	-3.7%
Parks and Recreation	68.8	68.8	60.8	(8.0)	-11.6%
Police	73.6	73.6	76.2	2.6	3.5%
Stormwater	21.6	21.6	17.4	(4.2)	-19.3%
Transportation	86.0	89.7	91.7	2.0	2.2%
All Other Departments	36.6	36.6	39.3	2.7	7.2%
Total	**$ 554.9**	**$ 558.6**	**$ 554.9**	**$ (3.7)**	**-0.7%**

City Treasurer

The Office of the City Treasurer projects departmental revenue to be under budget by $2.0 million at fiscal year-end, an additional decrease of $846,000 from the Mid-Year Report. This decrease is primarily due to a $2.5 million reduction in Cannabis Business Tax revenue, a further decrease of $321,000 from the Mid-Year Report. Similar to the Mid-Year Report, taxable gross receipts reported by outlets continue to decline. This is attributed to market saturation, which has lowered wholesale pricing, as well as reduced revenue from extended retail hours, with only a limited number of outlets expanding operations following approved retail hours expansions and the delayed implementation of extended retail hours from July 2025 to August 2025. An additional decrease of $888,000, largely not assumed in the Mid-Year Report, is attributed to reduced fines and forfeitures resulting from lower collection referral fees and parking citations, staffing vacancies limiting parking enforcement activities, and the reallocation of staff resources to meter-related initiatives.

These decreases are partially offset by an increase of $791,000 in Short-Term Residential Occupancy (STRO) licensing revenue, which remains consistent with the Mid-Year Report, due to higher license application and renewal activity as the program establishes trends and exceeds initial cycles.

Economic Development

The Economic Development Department projects departmental revenue to be under budget by $6.8 million at fiscal year-end, an additional decrease of $3.8 million from the Mid-Year Report. This decrease is primarily comprised of $1.9 million in Mission Bay lease revenues, $1.8 million in Pueblo Lands lease revenue, and $549,000 in other rents and concessions. Compared to the Mid-Year Report, this is an additional decrease of $3.2 million, based on year-to-date trends. Lease revenue, including percentage-rent agreements tied to projected

concession revenues for individual leases, saw stronger performance in the first half of the fiscal year; however, activity declined in the third quarter, indicative of lower occupancy. An additional $1.4 million, consistent with the Mid-Year Report, is attributed to reduced Wayfinding Kiosk revenue, due to unrealized revenue not reaching the levels included in the budget and to delays in installing the kiosks, which have resulted in deferred corporate sponsor payments. Consistent with the Mid-Year Report, an additional $1.2 million reduction is attributed to lower-than-anticipated telecom revenue from new site builds. Although the Adopted Budget assumed revenue from new site activity, current permitting and review indicate slower progress towards revenue realization, and thus, projections do not include revenue from new site builds or renewals. Lastly, $596,000 is attributed to reduced reimbursements for billable work performed due to a number of vacancies and employees on extended leave, which has reduced the department's capacity to perform reimbursable work. These decreases are partially offset by an increase of $485,000 in interest earned on investments.

Environmental Services

The Environmental Services Department projects departmental revenue to be over budget by $6.3 million at fiscal year-end, an increase of $5.8 million from the Mid-Year Report. This increase is primarily comprised of $3.3 million in increased reimbursement from the Transient Occupancy Tax Fund for eligible services, including code enforcement and abatements, sidewalk sanitation, and street litter container management. This was not assumed in the Mid-Year Report and is tied to the reallocation of available TOT funds, which is further detailed in the Transient Occupancy Tax (TOT) Impact on Departmental Revenues section of this report. An additional $2.0 million is related to reimbursements from the Recycling Enterprise Fund for work performed by the Code Compliance Team. To help mitigate the General Fund shortfall, eligible recycling activities and enforcement will be funded through the Recycling Fund. This was not assumed in the Mid-Year Report, as it was identified as an option after the report's release. An additional $871,000 increase is attributed to reimbursement revenue from inspection services conducted at City facilities, CalTrans Delegated Maintenance Agreement abatements along State freeways, and CleanSD field operations services provided to other funds.

Fire-Rescue

The Fire-Rescue Department projects departmental revenue to be over budget by $4.8 million at fiscal year-end, an improvement of $476,000 from the Mid-Year Report. The increase is primarily due to $3.6 million in increased reimbursements, including $2.4 million in reimbursements primarily from the Junior Lifeguard Program Fund for instructor costs and the Fire/Emergency Medical Services Transport Program Fund for the Paramedic School, as well as $1.7 million in increased reimbursements from the Transient Occupancy Tax Fund to support eligible lifeguard services following higher-than-anticipated receipts compared to the Mid-Year Report. An additional $1.1 million increase is attributed to revenue from strike team deployments, due to increased activity and prior year reimbursements, which represents a decrease of $427,000 from the Mid-Year Report. Additionally, a combined increase of $972,000 is primarily attributed to proceeds from the sale of Copter 1 parts, which were not assumed in the Mid-Year Report, and an increase in safety sales tax.

These increases are partially offset by a decrease of $865,000 in licenses and permits due to reduced special event and false alarm permits based on year-to-date activity, which represents an additional decrease of $185,000 when compared to the Mid-Year Report.

General Services

The General Services Department projects departmental revenue to be over budget by $1.1 million at fiscal year-end, an increase of $769,000 million from the Mid-Year Report. This increase is primarily comprised of $697,000 due to higher reimbursements for tenant maintenance and repairs based on year-to-date maintenance requests, an increase of $558,000 from the Mid-Year Report. An additional $345,000 is due to water system franchise fees that were received by the department and are anticipated to be reclassified to other major revenues.

Homelessness Strategies and Solutions

The Homelessness Strategies and Solutions Department projects departmental revenue to be under budget by $2.0 million at fiscal year-end, an additional decrease of $1.3 million from the Mid-Year Report. The decrease is comprised of reduced reimbursements from the TOT Fund, based on lower expenditure projections.

Parks and Recreation

The Parks and Recreation Department projects departmental revenue to be under budget by $8.0 million at fiscal year-end, an improvement of $1.6 million from the Mid-Year Report. Consistent with the Mid-Year Report, this decrease is comprised of a $9.0 million reduction in Balboa Park parking revenue, primarily due to a shift in the program's implementation timeline and adjustments to the proposed fee structure. While the Mid-Year Report attributed the variance to the assumed impacts of proposed fee changes, the Third Quarter Report is based on projected revenues informed by actual collections following implementation in January 2026, and changes to the program in March 2026, which serves as the basis for projections through fiscal year-end. These projections reflect observed consumer behavior under the current fee model, including half-day options, tiered pricing for residents and non-residents, reduced rates for residents at prime park locations, three hours of free parking at Inspiration Point, a four-hour cap on meter charges, the introduction of annual passes, and free parking for residents in designated areas with vehicle registration, and limiting parking enforcement to end at 6pm rather than 8pm. This decrease is partially offset by a net increase of $1.0 million across departmental revenues, representing an increase of $1.8 million from the Mid-Year Report. While the Mid-Year Report assumed lower permitting demand and delays in implementing a service-level agreement with the Engineering and Capital Projects Department, which still persist to varying degrees, these reductions are offset by a $1.3 million increase in reimbursements from the Environmental Growth Funds (EGFs) for eligible costs, due to higher franchise fee revenue from SDG&E as part of the calendar year 2025 annual clean-up payment received in February 2026, which was not assumed in the Mid-Year Report.

Police

The Police Department projects departmental revenue to be over budget by $2.6 million at fiscal year-end, an increase of $960,000 above the Mid-Year Report. Similar to the Mid-Year Report, this increase is primarily attributed to $3.2 million in billable work, mainly reimbursements for special events, including police security and traffic control support at ballpark events, as well as task force activities. Compared to the Mid-Year Report, this

represents an additional increase of $908,000, primarily due to reimbursements for prior-year special events and task force activities. Additionally, similar to the Mid-Year Report, this increase is partially offset by a decrease of $589,000 in reduced municipal court revenue due to lower regional collections for vehicle code violations, traffic school fees, laboratory service fees, and HOV lane violations, based on prior-year trends, and $417,000 in parking citation revenue, as the department continues to fill parking enforcement vacancies to meet its field coverage.

Stormwater

The Stormwater Department projects departmental revenue to be under budget by $4.2 million at fiscal year-end, an additional decrease of $2.0 million from the Mid-Year Report. This decrease is comprised of a $2.8 million reduction in reimbursements from the Parking Meter Operations Fund. As noted in the Mid-Year Report, while work in the parking districts continues, lower parking meter revenue collections combined with expenditure needs in the Parking Meter Operations Fund have resulted in fewer funds available to reimburse the General Fund for eligible expenditures. This represents an additional decrease of $960,000 from the Mid-Year Report, primarily due to reduced revenue collections by the Parking Meter Operations Fund and updated allocation assumptions. Consistent with the Mid-Year Report, a decrease of $2.0 million is attributed to reduced parking citation issuances. While the Adopted Budget assumed increased citation revenue associated with adjustments to fines from $40 to $72.50, issuance volume has declined due to staffing shortages among Parking Enforcement Officers and Motor Sweeper Operators. The department is making progress on filling these revenue-generating positions. Overall, department reimbursements are further reduced by $760,000, a change from the Mid-Year Report, due to the reassignment of in-house crews to priority projects aimed at preventing future flooding emergencies, which limit reimbursable work.

Partially offsetting these decreases is an increase of $681,000 from the Army Corps of Engineers following its cancellation of the Water Resources Development Act agreement. As noted in the Mid-Year Report, this refund has been repurposed for consultant work to perform technical studies to determine the San Diego River levees' capacity and structural integrity, and leverage that to accredit the levees through FEMA. This refund will satisfy a portion of the studies required to attain FEMA levee certification by the March 2029 deadline. Compared to the Mid-Year Report, a decrease of $192,000 is due to updated prior year-credit assumptions associated with multi-agency cost-sharing agreements required to comply with certain Municipal Stormwater Permit requirements.

Transportation

The Transportation Department projects departmental revenues to be over budget by $2.0 million at fiscal year-end, an increase of $1.2 million from the Mid-Year Report. This increase is primarily comprised of $2.7 million in additional transfers, which were not assumed in the Mid-Year Report, including $2.2 million from the TransNet Fund and $500,000 from the Gas Tax Fund, following a review that identified these sources as available to support eligible General Fund expenditures. Compared to the Mid-Year Report, the decrease of $1.2 million is primarily due to reduced roadway billable work due to reduced activity for bike facility projects and a decline in roadway-related work, as well as the mid-year termination of the Trench Restoration service level agreement with the Public Utilities Department.

Transient Occupancy Tax (TOT) Impact on Departmental Revenues

TOT revenue collected from hotels, STROs, and RV parks is used for special promotional programs that maintain and enhance visitor-related facilities and support the promotion of the City's cultural amenities and natural attractions. The Adopted Budget includes $86.2 million in transfers from the TOT Fund to the General Fund to reimburse departments for the safety and maintenance of visitor-related facilities, including Fire-Rescue lifeguard support, homelessness services and programs, street sweeping in high-tourist areas, security services at Mission Bay Park, public safety support at major events, and parks and recreation centers.

Due to the projected decrease in TOT revenue discussed in the major General Fund revenues section of this report, reimbursements to General Fund departments are projected to be under budget by a combined $1.6 million, which represents an improvement of $2.6 million when compared to the Mid-Year Report. The largest adjustment is in the Homelessness Strategies and Solutions Department, with a $6.5 million decrease, or $2.4 million more than the Mid-Year Report. This larger variance is primarily due to lower projected departmental expenditures, which, in turn, reduces the department's anticipated reimbursement. Based on remaining available TOT funds, $3.3 million has been reallocated to the Environmental Services Department to reimburse for code enforcement and abatements, sidewalk sanitation, and street litter container management, and $1.7 million to the Fire-Rescue Department to support lifeguard services. This reflects the full allocation of the remaining balance, which had previously been assumed in the Mid-Year Report to support the Homelessness Strategies and Solutions Department based on higher expenditure projections at the time. Notably, the overall decrease in reimbursements does not reduce service levels; instead, it reflects a reduction in reimbursement from the TOT Fund for these services.

GENERAL FUND EXPENDITURES

General Fund expenditures are projected to be under budget by $12.2 million, or 0.6 percent, at fiscal year-end. As displayed in **Table 12: Summary of FY 2026 General Fund Expenditure Projections**, this is primarily attributed to a decrease of $28.7 million in fringe and non-personnel expenditures, which is partially offset by an increase of $16.5 million in personnel expenditures. Notably, these expenditure projections also factor in a historical savings adjustment, based on analyses of spending trends, and are intended to produce a more accurate bottom-line projection. These adjustments, based on factors that may contribute to the difference between departmental projections and year-end actuals, are further detailed in later sections.

Summary of FY 2026 General Fund Expenditure Projections

Table 12 *in millions*

Expenditures	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Personnel Expenditures	$ 961.5	$ 964.9	$ 981.4	$ (16.5)	-1.7%
Fringe & Non-Personnel Expenditures	1,205.9	1,206.3	1,177.5	28.7	2.4%
Total Expenditures	**$ 2,167.4**	**$ 2,171.1**	**$ 2,158.9**	**$ 12.2**	**0.6%**

PERSONNEL EXPENDITURES

As displayed in **Table 13: FY 2026 General Fund Personnel Expenditure Projections**, personnel expenditures are projected to be over budget by $16.5 million, or 1.7 percent, at fiscal year-end. This overage is primarily comprised of $15.5 million in overtime and $2.4 million in termination pay.

FY 2026 General Fund Personnel Expenditure Projections

Table 13 *in millions*

Personnel Expenditure Category	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Salaries	$ 830.4	$ 830.4	$ 830.1	$ 0.3	0.0%
Overtime	99.8	103.2	118.8	(15.5)	-15.1%
Hourly Wages	17.2	17.2	16.1	1.1	6.6%
Pay-in-Lieu of Annual Leave	9.7	9.7	9.6	0.1	0.8%
Termination Pay	4.4	4.4	6.8	(2.4)	-55.4%
Total Personnel Expenditures	**$ 961.5**	**$ 964.9**	**$ 981.4**	**$ (16.5)**	**-1.7%**

The personnel expenditures category consists of five distinct sub-categories: salaries (including special pays), overtime, hourly wages, pay-in-lieu of annual leave, and termination pay. Salaries include compensation paid at the employee's rate of pay for standard-hour employees. Overtime expenditures include compensation at an employee's standard rate of pay plus the appropriate overtime premium. Hourly wages include compensation paid at the employee's rate of pay for non-standard hour employees. Pay-in-lieu of annual leave represents compensation in-lieu of taking annual leave. Termination pay distinguishes the expenditures incurred upon an employee's separation from the City.

Compared with the Mid-Year Report, personnel expenditures are projected to increase by $1.7 million. This overage is primarily comprised of $2.7 million in the overtime category and $1.8 million in termination pay. **Table 14: FY 2026 General Fund Personnel Expenditure Variances from Mid-Year** displays variances from the Mid-Year Report by sub-category.

FY 2026 General Fund Personnel Expenditure Variances from Mid-Year

Table 14 *in millions*

Personnel Expenditure Category	Mid-Year Report	Year-End Projection	Variance	Variance %
Salaries	833.8	830.1	3.7	0.4%
Overtime	116.1	118.8	(2.7)	-2.3%
Hourly Wages	15.3	16.1	(0.8)	-5.2%
Pay-in-Lieu of Annual Leave	9.5	9.6	(0.1)	-1.1%
Termination Pay	5.0	6.8	(1.8)	-35.4%
Total Personnel Expenditures	**$ 979.7**	**$ 981.4**	**$ (1.7)**	**-0.2%**

Departments with Significant Variances in Personnel Expenditures from the Budget

The following section highlights the departments with significant variances in personnel expenditures, defined as variances exceeding +/-$1.0 million. **Table 15: FY 2026 Significant General Fund Personnel Expenditure Projections** lists the departments with significant variances from the current budget.

FY 2026 Significant General Fund Personnel Expenditure Projections

Table 15 *in millions*

Department	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
City Attorney	$ 57.5	$ 57.5	$ 59.0	$ (1.5)	-2.6%
Fire-Rescue	201.7	201.7	214.3	(12.6)	-6.2%
Parks and Recreation	70.0	70.0	73.5	(3.5)	-5.0%
Transportation	49.0	52.4	54.8	(2.5)	-4.7%
Historical Savings Adjustment	-	-	(0.9)	0.9	100.0%
All Other Departments	601.5	583.3	580.6	2.7	0.5%
Total	**$ 979.7**	**$ 964.9**	**$ 981.4**	**$ (16.5)**	**-1.7%**

City Attorney

The Office of the City Attorney projects personnel expenditures to be over budget by $1.5 million, a decrease of $1.0 million from the Mid-Year Report. Similar to the Mid-Year Report, this increase is primarily comprised of $1.9 million in the salaries category and is attributed to the department not achieving the reduction target included in the Adopted Budget. The department has maintained several supplemental positions and plans to fill additional positions by fiscal year-end to ensure sufficient staff to comply with legal and regulatory requirements. Compared to the Mid-Year Report, this represents a $1.0 million decrease, primarily due to hiring progressing more gradually than expected, and additional vacancies anticipated throughout the remainder of the fiscal year.

Similar to the Mid-Year Report, this increase is partially offset by a decrease of $465,000 in the hourly wages category, based on year-to-date activity.

Fire-Rescue

The Fire-Rescue Department projects personnel expenditures to be over budget by $12.6 million at fiscal year-end, an increase of $1.1 million from the Mid-Year Report. Similar to the Mid-Year Report, this overage comprises $9.0 million in the overtime category, including $6.7 million for sworn constant staffing, primarily due to sworn attrition and backfill for leave time taken; $826,000 in overtime for special assignments, primarily continuing education; $804,000 in other divisional overtime, primarily due to an increase in dispatcher training; and

$625,000 in reimbursable deployments. Compared to the Mid-Year Report, overtime has increased by $1.7 million, primarily due to constant staffing backfill for leave time taken and staffing shortfalls.

Further increases within personnel expenditures include $2.3 million in the salaries category, due to higher-than-anticipated academy graduates and the successful promotions to Fire Captain and Engineer positions. The 102nd Fire Academy graduated 37 Fire Recruits in December 2025, exceeding the budgeted assumption of 28. Additionally, as of the third quarter, 32 Fire Engineer and 20 Fire Captain vacancies have been successfully filled, with an additional 24 Fire Engineer and 12 Fire Captain promotions anticipated by fiscal year-end. Compared to the Mid-Year Report, this represents a decrease of $1.6 million primarily due to increased separations, including retirements and resignations. Additional increases include $896,000 in hourly expenditures primarily to support seasonal lifeguard staffing and dispatch operations, and $452,000 for termination pay.

Notably, the increase in overtime expenditures tied to reimbursable deployments is expected to be partially offset by an estimated $1.4 million in related deployment revenue. Reimbursements are generally processed within 90 days of staff returning, with the City typically receiving reimbursements from the State in about four months and from FEMA in about five months.

Parks and Recreation

The Parks and Recreation Department projects personnel expenditures to be over budget by $3.5 million at fiscal year-end, an increase of $4.6 million from the Mid-Year Report. This increase comprises $2.5 million in the hourly category, an increase of $655,000 from the Mid-Year Report, to maintain budgeted service levels at recreation centers and City parks, as the department continues to utilize hourly staff due to historical difficulties in recruiting and retaining standard-hour positions for select classifications. Additionally, the department projects an increase of $896,000 in overtime expenditures to support holiday hours, special events, callouts, and safety-related needs, which remains consistent with the Mid-Year Report.

Notably, while still within budgeted levels, the salaries category is projected to increase by $3.8 million compared to the Mid-Year Report, primarily due to lower-than-anticipated attrition. While the department assumed an average net loss of 13.00 FTEs per month, actual trends have differed from those assumptions.

Transportation

The Transportation Department projects personnel expenditures to be over budget by $2.5 million at fiscal year-end, a decrease of $620,000 from the Mid-Year Report. This increase is comprised of $1.5 million in overtime costs, an increase of $336,000 from the Mid-Year Report, to support emergencies and callbacks, including sidewalk, traffic signal and crosswalk repairs, and roadway pothole patching. Additionally, a $1.4 million increase in the salaries category is primarily due to the department's success in filling positions in the first half of the fiscal year, before the Request to Fill process was implemented. Compared to the Mid-Year Report, this represents a decrease of $815,000, primarily due to updated staffing assumptions

with several positions previously expected to be filled now expected to remain vacant under the current Request to Fill process, as well as higher-than-anticipated vacancy rates.

Historical Trend Between Third Quarter Projections and Year-End Actuals

Personnel expenditure projections are prepared in collaboration with City departments and are based on two fundamental components, which include a personnel expenditure projection based on data extracted from the Organizational Management (OM) module of SAP on April 1, 2026; and department-prepared forecasts for staffing changes anticipated to occur after this date, including planned hiring and adjustments based on attrition rates. The department-prepared forecasts are then reviewed by DoF for reasonableness and aggregated for an overall evaluation of General Fund personnel expenditures.

As part of this review, DoF staff conducted additional analysis using prior monitoring reports to identify trends between historical third quarter projections and year-end actuals, taking into account recently implemented mitigation actions. Based on this evaluation, DoF anticipates that, in the aggregate, General Fund personnel expenditures will be $852,000 below the department-prepared forecasts. This estimate is based on several factors that may contribute to the difference between projections and actuals; including hiring and vacancies not included in individual department operations due to unforeseeable circumstances, such as internal hiring between different departments creating unanticipated vacancies or a prolonged hiring process impacted by factors including the current Request to Fill process.

At this time, given limitations regarding the predictability of which department the assumed savings will occur in, the estimate has been applied to the General Fund bottom line and identified separately in **Table 15: FY 2026 Significant General Fund Personnel Expenditure Projections**—listed as an Historical Savings Adjustment.

Non-Personnel Expenditures

Fringe benefits and non-personnel expenditures are projected to be under budget by $28.7 million, or 2.4 percent, at fiscal year-end, a decrease of $17.1 million from the Mid-Year Report. The following section discusses variances for categories with significant variances, defined as variances exceeding +/-$1.0 million. **Table 16: FY 2026 General Fund Non-Personnel Expenditure Projections** displays fringe and non-personnel expenditure projections by category.

FY 2026 General Fund Non-Personnel Expenditure Projections

Table 16 *in millions*

Expenditure Category	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Fringe Benefits	$ 602.3	$ 602.3	$ 602.7	$ (0.4)	-0.1%
Supplies	37.3	37.4	39.1	(1.8)	-4.7%
Contracts and Services	344.7	343.4	332.8	10.6	3.1%
Information Technology	58.2	57.6	54.3	3.3	5.7%
Energy and Utilities	65.5	67.0	65.3	1.7	2.5%
Other	6.0	6.0	4.3	1.7	27.7%
Transfers Out	80.3	80.4	74.9	5.5	6.9%
Capital Expenditures	0.9	1.4	1.7	(0.3)	-21.7%
Debt	10.9	10.7	9.4	1.4	12.6%
Historical Savings Adjustment	-	-	(7.1)	7.1	100.0%
Total	**$ 1,205.9**	**$ 1,206.3**	**$ 1,177.5**	**$ 28.7**	**2.4%**

Fringe Benefits

Fringe benefits are projected at $602.7 million by fiscal year-end. This represents an increase of $440,000, or 0.1 percent, from the current budget, and $127,000 from the Mid-Year Report. The increase is comprised of $1.6 million in fixed fringe benefits, partially offset by a decrease of $1.1 million in variable fringe benefits. **Table 17: FY 2026 General Fund Fringe Benefits Projections** summarizes this detail.

FY 2026 General Fund Fringe Benefits Projections

Table 17 *in millions*

Fringe Benefit Category	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Fixed	$ 463.4	$ 463.4	$ 465.0	$ (1.6)	-0.3%
Variable	138.9	138.9	137.7	1.1	0.8%
Total	**$ 602.3**	**$ 602.3**	**$ 602.7**	**$ (0.4)**	**-0.1%**

Fixed Fringe Benefits

Fixed fringe benefit expenditures include the following: the Actuarially Determined Contribution (ADC) to the San Diego City Employees' Retirement System (SDCERS), and contributions for Workers' Compensation, Long-Term Disability (LTD), Other Post-Employment Benefits (OPEB), Unemployment Insurance, and Risk Management Administration (RMA). Fixed fringe benefit costs are considered annual obligations that remain relatively constant in total; however, changes in filled positions impact how these costs are allocated between General Fund and the non-General Funds. Fringe cost allocations are initially based on budgeted positions at a specific point during the budget development process, with expenditures later trued-up at fiscal year-end to reflect actual filled positions.

Fixed fringe benefits are projected to be over budget by $1.6 million, or 0.3 percent, at fiscal year-end. This increase is primarily attributed to a $3.2 million increase in the reallocation of ADC and Workers' Compensation contributions based on projected personnel expenditures. This is partially offset by savings of $866,000 million in Long-Term Disability contributions and $550,000 in Risk Management Administration, based on updated projections that reflect reduced operating expenditures in the current fiscal year. Additionally, due to the Historical Personnel Expenditure Savings adjustment previously discussed, approximately $378,000 in savings is estimated to be spread across all fixed fringe benefit accounts. Changes to the General Fund's allocation are primarily due to revisions in projected personnel expenditures and the reallocation of these costs based on the relative split of filled positions between the General Fund and non-General Funds.

Variable Fringe Benefits

Variable fringe benefit expenditures include Flexible Benefits, Supplemental Pension Savings Plan (SPSP), Medicare, Employee Offset Savings, Retiree Medical Trust, the Retirement 401 Plan, and the Deferred Retirement Option Plan (DROP). These are costs that are directly impacted by hiring a new employee and change in direct proportion to the number of employees on the City's payroll.

Variable fringe benefits are projected to be under budget by $1.1 million, or 0.8 percent, at fiscal year-end. This decrease is primarily due to $1.4 million in the Flexible Benefits

attributable to vacancies and the Request to Fill vacancies process. This is partially offset by a $149,000 increase in Medicare, primarily due to higher overall personnel costs, particularly overtime.

Supplies

The supplies category, which includes costs for office supplies, books, tools, uniforms, and safety supplies, among others, is projected to be over budget by $1.8 million, an increase of $687,000 when compared to the Mid-Year Report. This overage is primarily attributed to the following:

- $1.3 million in the Parks and Recreation Department which, similar to the Mid-Year Report, is comprised of $577,000 in cleaning and janitorial supplies to support increased restroom maintenance at Mission Bay and Shoreline Parks amid increased usage; $550,000 for the one-time purchase and installation of parking meters and payment kiosks associated with the implementation of paid parking in Balboa Park, offset by related savings in the contracts category; $228,000 in supplies to meet joint-use area obligations due to higher costs for pool chemicals, irrigation components, and fertilizer; and $84,000 in equipment and supplies for Park Rangers and Brush Management crews.
- $557,000 in the Police Department primarily due to delayed FY 2025 ammunition costs, the purchase of newly required lead-free ammunition, increased costs for ballistic vests due to contractual price increases, and increased spending on safety supplies, ergonomic and operational equipment, and repair-related expenditures.
- $475,000 in the Stormwater Department primarily due to higher supply costs for channel, pump station, storm drain maintenance, and safety supplies.

These increases are partially offset by a decrease of $658,000 in the Homelessness Strategies and Solutions Department, which remains consistent with the Mid-Year Report, due to combined program savings and the use of recently received grant funding to support eligible expenditures.

Contracts and Services

The contracts and services category, which includes the cost of legal fees, insurance, refuse disposal fees, fleet vehicle usage and assignment fees, rent expenses, consulting services, and other contractual expenses, is projected to be under budget by $10.6 million at fiscal year-end, which represents a decrease of $9.3 million when compared to the Mid-Year Report. This decrease is primarily attributed to the following:

- $11.2 million in the Citywide Program Expenditures Department, primarily due to $10.8 million in reduced contributions to the Public Liability Fund following the receipt of $8.0 million in one-time insurance proceeds, as well as $2.1 million from updated claims and non-claims assumptions, and $729,000 in one-time insurance proceeds received at the beginning of the fiscal year. Both the insurance proceeds and updated assumptions will be available to cover current-year payments, allowing the General Fund to lower its projected contributions. Compared to the Mid-Year Report, this is an additional decrease of $10.0 million. While $8.8 million in projected savings reported in the Mid-Year Report has been reallocated to departments for critical operations and obligations per approved Mid-Year appropriation adjustments, the increase compared

to the Mid-Year Report is due to an additional $8.0 million in one-time insurance proceeds related to flooding at the Old Central Library and the $2.1 million in reduced contributions is based on updated claims and non-claims assumptions. Compared to the Mid-Year Report, this decrease is partially offset by an increase of $1.5 million in updated and unanticipated costs, including a $612,000 increase in the advanced payment for the June 2026 election, $478,000 for Civic Center Complex and San Diego Theater facilities work per prior agreements, and $402,000 in higher Property Tax Administration fees due to higher County administrative costs.

- $1.9 million in the Homelessness Strategies and Solutions Department, an additional decrease of $1.2 million from the Mid-Year Report, primarily due to savings across San Diego Housing Commission-administered and shelter programs, primarily due to project delays, lower-than-anticipated program costs, receipt of previous year's credits, and reduced ancillary costs. A more detailed update is provided in **Attachment 7: Fiscal Year 2026 Third Quarter Budget Monitoring and Grant Funding Update.**
- $1.3 million in the Stormwater Department, comprised of $875,000 in savings identified through intentional cost-reduction efforts to mitigate the General Fund shortfall, and $425,000 in reduced refuse disposal costs due to fewer large debris removal projects as a result of an increased focus on routine channel maintenance, as well as the decision to defer the storm drain fee study, after the release of the Mid-Year Report.

These decreases are partially offset by the following increases:

- $2.5 million in the Fire-Rescue Department comprised of $1.6 million in helicopter repair and maintenance contractual services due to contractual increases and recently identified prior year goods and services requiring payment, an increase of $854,000 from the Mid-Year Report. The remaining variance is primarily comprised of increased costs across several services, including equipment usage fees, tuition reimbursements, leased parking, and deployment reimbursements to other agencies.
- $1.3 million in the Environmental Services Department, primarily due to a $2.0 million reclassification of the Rate Assistance Program expenditures from the transfers out to the contracts and services category, as these costs will now be paid directly by the General Fund. This increase is partially offset by $450,000 in savings from the contractor that administers the Rate Assistance Program.
- $974,000 in the Economic Development Department, related to $1.2 million in Compensation Agreements for the Chinese Historical Museum and Walker Scott sites, consistent with action items approved by the Economic Development and Intergovernmental Relations Committee in February 2026 to authorize required payment and implement the agreements. This was not assumed in the Mid-Year Report due to the pending approval.

Notably, while the Transportation Department shows no significant variance in the contracts and services category relative to the current budget, it projects a $1.0 million decrease from the Mid-Year Report, primarily due to reduced non-discretionary equipment assignment costs. Assignment fee projections prepared by the General Services Department attribute the variance to the initial assumption that a higher number of vehicles would be delivered and placed into service during FY 2026. Based on the most recent information, several units are now expected to be delivered later than anticipated, with a number of units now expected in FY 2027.

Information Technology

The information technology category, which includes costs related to hardware and software maintenance, help desk support, and other information technology services, is projected to be under budget by $3.3 million, an additional decrease of $2.0 million from the Mid-Year Report. Similar to the Mid-Year Report, this decrease is primarily due to $2.7 million in reduced non-discretionary information technology costs across departments due to the use of available fund balance to support information technology services provided to departments, combined with operational efficiencies to generate savings to help address the General Fund shortfall. Compared to the Mid-Year Report, this represents an additional decrease of $817,000 primarily due to further efforts to generate savings, primarily in datacenter and network services. The remaining decrease is attributed to discretionary information technology items across city departments.

Energy and Utilities

The energy and utilities category is projected to be under budget by $1.7 million, which represents a decrease of $3.6 million from the Mid-Year Report. This disease is primarily attributed to the following:

- $1.2 million in the Parks and Recreation Department, which is an improvement of $2.7 million from the Mid-Year Report, primarily due to reduced water use. While the Mid-Year Report projected a $3.0 million overage due to water rate changes and a revised cost allocation methodology, increased wet weather in winter months, reduced irrigation needs across parks, and departmental efforts to manage irrigation, including a targeted 30 percent reduction in water run times through fiscal year end, are anticipated to lower water consumption for the remainder of the fiscal year. However, consumption could increase as temperatures rise.
- $1.8 million across city departments, an additional decrease of $664,000 from the Mid-Year Report, is primarily due to lower non-discretionary costs, including reduced electricity consumption based on updated allocations and facility operations, and streetlight and traffic signal energy costs based on year-to-date trends.

These decreases are partially offset by an increase of $996,000 in the Police Department, a decrease of $189,000 from the Mid-Year Report, primarily for non-discretionary costs, including fleet fuel and EV charging costs based on the most recent six-month year-to-date activity. While the budget assumed fuel-efficiency improvements from having two officers per vehicle, these have not materialized due to limited staffing.

Other

The other category, which includes miscellaneous expenditures that do not fall under one of the other expenditure categories, such as preservation of benefits, miscellaneous taxes, and transportation allowance, is projected to be under budget by $1.7 million at fiscal year-end, which represents a decrease of $1.2 million from the Mid-Year Report. This decrease is primarily attributed to the Citywide Program Expenditures Department, which projects savings of $1.4 million, primarily from deferred capital debt service due to lower-than-anticipated principal drawn from the Stormwater Water Infrastructure Finance and Innovation

Act (WIFIA) loan, based on actual project schedules. This represents a decrease of $1.3 million when compared to the Mid-Year Report based on the updated project schedules.

Transfers Out

The transfers out category, which includes transfers of funding between City funds, is projected to be under budget by $5.5 million at fiscal year-end, a decrease of $5.1 million from the Mid-Year Report. This decrease is primarily due to the following:

- $3.5 million in the Citywide Program Expenditures Department, primarily for the $1.9 million reduced transfer to the San Diego Regional Parks and the Mission Bay Improvement Funds in accordance with City Charter section 55.2, due to lower-than-anticipated Mission Bay revenues received by the Economic Development Department. Compared to the Mid-Year Report, this is an additional decrease of $3.1 million, based on year-to-date trends, with the transfer adjusted in line with the corresponding revenue decrease. An additional $600,000 is from the reallocation of debt service costs for capital projects from the General Fund to the Infrastructure Fund, while $597,000 is related to a reduced transfer for a public use lease due to sufficient fund balance to support the lease expense. These decreases were not assumed in the Mid-Year Report and are part of the City's comprehensive strategy to identify opportunities to mitigate the projected General Fund shortfall. Lastly, $397,000 is attributed to reduced principal payments resulting from the refunding of the 2015A, 2015B, 2018A, and 2020 lease revenue bonds and the issuance of the 2025A lease revenue bond, which closed in October 2025.
- $2.0 million in the Environmental Services Department due to a reclassification of Rate Assistance Program expenditures from the transfers out to the contracts and services category.

Debt

The debt category, which includes long-term debt service on liabilities such as bonds, loans, and capital lease obligations, is projected to be under budget by $1.4 million at fiscal year-end, which remains consistent with the Mid-Year Report. Consistent with the Mid-Year Report, this decrease includes $1.1 million in the Fire-Rescue Department, primarily due to lower principal and interest payments related to the purchase and outfitting of a helicopter. Due to the timing of the lease execution, only one lease payment is required in FY 2026, and the outfitting costs have been deferred, resulting in no associated payment. An additional $292,000 decrease in the Police Department is attributed to lower principal and interest payments for three helicopter leases, also due to the timing of when the lease was executed.

Historical Non-Personnel Savings Adjustment

The Department of Finance (DoF) conducted an analysis of non-personnel expenditures over the past few fiscal years, similar to the historical savings adjustment for personnel expenditures mentioned earlier in the report. This analysis compared previous Third Quarter Reports to identify trends between third quarter projections and year-end actuals that could help predict final expenditures more accurately. Based on this evaluation, DoF projects that General Fund non-personnel expenditures will be $7.1 million below department-prepared forecasts. Several factors contributing to this trend have been identified, including small savings across more than 40 City departments that collectively would yield significant savings for the General Fund, as well as operational changes impacting expenditures based on Third

Quarter Report results. Since DoF cannot precisely determine which departments or categories will experience these expenditure savings, the estimate has been included as a bottom-line adjustment to total non-personnel expenditures.

GENERAL FUND BALANCES AND RESERVES

The City's Reserve Policy (Council Policy 100-20) documents the City's approach to establishing and maintaining reserves across City operations. The following section discusses the General Fund Fiscal Year 2026 projected ending fund balance and reserve estimates.

FISCAL YEAR 2026 GENERAL FUND BALANCES AND RESERVE PROJECTIONS

Table 18: FY 2026 General Fund Balances and Reserve Estimates presents the calculations for the General Fund balance and reserve estimates.

FY 2026 General Fund Balances and Reserve Estimates

Table 18 *in millions*

Description	Mid-Year Report	Year-End Projection	Variance	% of Operating Revenues[1]
Fiscal Year 2026 Beginning Fund Balance	**$ 207.1**	**$ 207.1**	**$ -**	**11.1%**
Fiscal Year 2026 Projected Activity				
Revenue	2,157.5	2,160.6	3.0	
Expenditures	(2,174.3)	(2,158.9)	15.4	
Net Projected Activity	**(16.8)**	**1.7**	**18.5**	
FY 2026 Projected Ending Fund Balance	**$ 190.3**	**$ 208.8**	**$ 18.5**	**11.2%**
Emergency Reserve	107.6	107.6	-	5.8%
Stability Reserve	99.5	99.5	-	5.3%
FY 2026 Projected Reserve Balance	**207.1**	**207.1**	**-**	11.1%
FY 2026 Projected Available Fund Balance	**$ (16.8)**	**$ 1.7**	**$ 18.5**	**0.1%**

[1] Based on FY 2023 - FY 2025 operating revenues as reported in the ACFR of the respective fiscal year in accordance with the City's Reserve Policy (CP 100-20).

The FY 2026 Beginning Fund Balance is $207.1 million, comprised entirely of the General Fund's Emergency and Stability Reserves. This level has remained unchanged since FY 2023, reflecting the City's decision to pause reserve contributions in order to maintain core service delivery for its residents. While this amount has not changed, its relative standing under the Reserve Policy has decreased due to the change in General Fund revenues. Based on the three-year average of operating General Fund revenues, the current balance represents 11.1 percent, which is below the 14.1 percent target established in the Reserve Policy. The Department of Finance is working with the Mayor, in consultation with the Independent Budget Analyst, to develop proposed updates to the Reserve Policy, which are anticipated to be presented to the City Council later this fiscal year.

The Mid-Year Report projected a negative fund balance of $16.8 million and outlined mitigation actions to reduce expenditures and increase revenues through the end of the fiscal year. Since then, the City's projected position has improved to a positive available fund balance of $1.7 million, representing an improvement of $18.5 million from the Mid-Year Report.

The improvement in the City's projected year-end position is primarily due to the receipt of one-time insurance proceeds, targeted efforts to reduce expenditures across departments in response to the Mayor's mitigation action directives, and increased reimbursement to the

General Fund for eligible expenditures. These positive developments are partially offset by lower interest earnings from reduced General Fund cash balances.

Based on projected activity, the FY 2026 available fund balance in excess of reserves (Excess Equity) is estimated at $1.7 million. While one-time resources and deliberate cost containment measures have improved the City's projected position, the forecast remains sensitive to changes in underlying assumptions, including fluctuations in revenue collections. Should projected revenues or savings not materialize, and the City ends the year with a negative fund balance, the City would need to use the General Fund Stability Reserve to prevent a negative year-end budgetary fund balance. In that event, the Department of Finance will work with the Mayor to develop a plan to restore the reserve to its previous balance.

The Third Quarter Report does not include any action items for Council consideration regarding the use of Excess Equity, nor is Excess Equity proposed for use in the May Revision to the Fiscal Year 2027 Draft Budget. As a result, the fund balance in excess of reserves available in future fiscal years is projected to be $1.7 million.

The following section of this report outlines both the actions already taken and those planned to maintain the City's positive fund balance position.

Mitigation Actions

This section provides updates on actions implemented as of the release of this report, highlighting ongoing strategies aimed at ensuring fiscal stability and supporting continued compliance with departments' legal expenditure authority. Although the previously projected deficit has been addressed, these measures remain in place to sustain balanced operations and reinforce prudent fiscal management.

INITIAL ACTIONS IMPLEMENTED IN THE FISCAL YEAR

Establishment of Funds Blocks

Building on the successful implementation of a funds block on non-discretionary expenditures (e.g., electricity, fuel, IT, debt, etc.) in recent fiscal years, a similar non-discretionary funds block was established at the start of FY 2026. This action is intended to ensure that departments remain within their authorized expenditure levels and that non-discretionary budgets are preserved for their intended purposes. It also promotes stronger oversight of commitments and reinforces discipline in the management of discretionary spending.

Fiscal Year 2026 Budget Mitigation Actions Memorandum

The Fiscal Year 2026 Budget Mitigation Actions memorandum, issued on November 14, 2025, directed all General Fund departments and Non-General Funds with an impact on the General Fund to immediately implement measures to reduce spending in the current fiscal year. The identified mitigating actions include implementing the Request to Fill process to prioritize mission-critical positions, suspending discretionary spending and non-essential overtime, and reviewing existing contracts to identify opportunities for renegotiation or termination of non-critical services. While departments have factored these assumptions into the preparation of the third quarter projections, the Department of Finance will continue to collaborate with departments to assess operations throughout the remainder of the fiscal year and identify additional savings opportunities.

Organizational Realignments and Reorganizations

On November 24, 2025, the Mayor issued a memorandum announcing an organizational realignment to advance strategic objectives. This followed the elimination of the Chief Operating Officer position and reflects the Mayor's ongoing efforts to improve efficiency, strengthen accountability, and better align City operations with resident priorities. As part of the realignment, the Compliance Department functions were restructured into related operational areas within other departments to reduce administrative overhead, with some costs shifted from the General Fund to non-General Fund sources.

ACTIONS IMPLEMENTED IN THE THIRD QUARTER REPORT

Comprehensive Review of Special Funds

Similar to efforts conducted at the end of FY 2025, which identified 14 funds that were obsolete/inactive and whose fund balances could be returned to the General Fund, DoF has continued a comprehensive review of all special revenue funds, including identifying special funds with available resources to support General Fund expenditures. Since the Mid-Year Report, DoF has made progress in this endeavor. While only $127,000 from two funds is reflected in the third-quarter projections, efforts that require more time are underway. Any resulting impacts will be reported in the Year-End Performance Report.

Utilization of Infrastructure Fund Balance

During the preparation of the FY 2026 CIP Year-End Budget Monitoring report, cost savings were identified from completed Infrastructure Fund-funded projects and activities. This has subsequently led to the reallocation of $600,000 in debt payments supporting capital projects from the General Fund to the Infrastructure Fund. Additional information regarding this adjustment can be found in FY 2026 CIP Year-End Budget Monitoring Report.

Reallocation of Special Revenue Funding Sources

As part of the FY 2026 CIP Year-End Budget Monitoring Report, the allocation of TransNet and Gas Tax funds was evaluated to identify opportunities to reimburse the General Fund for eligible expenditures. This analysis identified an additional $2.7 million in support for the General Fund, comprising $2.2 million from the TransNet Extension Maintenance Fund and $500,000 from the Gas Tax Fund, to support eligible operating expenditures in the Transportation Department. This strategic reallocation is part of a comprehensive effort to address the projected General Fund shortfall while ensuring continued progress on capital improvements. Additional information on these adjustments can be found in the FY 2026 CIP Year-End Budget Monitoring Report.

Increased Reimbursement From Other Funds

To maximize reimbursements for eligible expenditures and help mitigate the General Fund shortfall, efforts were made to increase reimbursements from other funds. This includes $2.6 million in additional transient occupancy tax reimbursements to General Fund departments due to higher receipts, including reimbursement to the Environmental Services Department for code enforcement and abatements, sidewalk sanitation, and street litter container management, as well as support for lifeguard services provided by the Fire-Rescue Department. Additionally, the projections include $2.0 million in reimbursements from the Recycling Enterprise Fund for Code Compliance Team activities related to eligible recycling enforcement, along with $1.3 million in increased reimbursements from the Environmental Growth Funds (EGFs) for eligible costs resulting from higher franchise fee revenues.

NON-GENERAL FUNDS

Concourse and Parking Garages Operating Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 3.0	$ 3.0	$ 1.8	$ (1.2)	-39.3%
Personnel Expenditures	0.2	0.2	0.2	(0.0)	-1.3%
Non-Personnel Expenditures	3.6	3.6	3.5	0.1	3.4%
Expenditures	$ 3.8	$ 3.8	$ 3.7	$ 0.1	3.2%
Net Year-End Projection	**$ (0.8)**	**$ (0.8)**	**$ (1.9)**	**$ (1.1)**	

Revenues in the Concourse and Parking Garages Operating Fund are projected to be under budget by $1.2 million at fiscal year-end, a decrease of $98,000 from the Mid-Year Report. Consistent with the Mid-Year Report, this decrease is primarily due to lower lease rent following the end of a lease agreement with an external tenant in August 2025, along with decreased parking revenue resulting from the relocation of the Development Services and Engineering and Capital Projects Departments to other facilities.

Expenditures in the fund are projected to be under budget by $121,000 at fiscal year-end, a decrease of $532,000 from the Mid-Year Report. This decrease is primarily due to the reduction of $443,000 in the transfer of fund balance to the General Fund which was not assumed in the Mid-Year Report. This decrease is partially offset by a net increase of $322,000 in expenditures primarily due to a higher share of building-related costs following changes in occupancy at the City Operations Building, as well as prior-year reimbursements to the San Diego Theatre.

Development Services Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 144.1	$ 144.1	$ 162.8	$ 18.7	13.0%
Personnel Expenditures	81.4	81.4	85.8	(4.4)	-5.4%
Non-Personnel Expenditures	62.6	62.6	64.6	(2.0)	-3.2%
Expenditures	$ 144.0	$ 144.0	$ 150.4	$ (6.4)	-4.4%
Net Year-End Projection	**$ 0.1**	**$ 0.1**	**$ 12.4**	**$ 12.3**	

Revenues in the Development Services Fund are projected to be over budget by $18.7 million, at fiscal year-end, an increase of $1.6 million from the Mid-Year Report. Similar to the Mid-Year report, this increase is comprised of $16.5 million from increased fees following the implementation of a dynamic pricing model, effective July 1, 2025, to achieve full cost recovery for permitting services, and a 12.3 percent fee increase that went into effect on May 5, 2025. When compared to the Mid-Year Report, this represents an increase of $2.1 million, primarily due to a 7.25 percent fee increase that went into effect in May 2026. This increase was not assumed in the Mid-Year Report as fee updates are contingent upon financial implications of newly identified expenditures, including in both the current fiscal year and FY 2027 assumptions. Additionally, $5.0 million is due to increased billable work on subdivision deposit

accounts and inspections, which remains consistent with the Mid-Year Report. These increases are partially offset by a $2.6 million decrease resulting from issued refunds, an additional decrease of $510,000 from the Mid-Year Report based on updated year-to-date trends.

Expenditures in the fund are projected to be over budget by $6.4 million at fiscal year-end, an increase of $988,000 from the Mid-Year Report. Similar to the Mid-Year Report, this increase is comprised of $4.4 million in personnel expenditures, primarily $3.0 million in the salaries category due to the timing of the Reduction in Force (RIF) process, which extended until December 2025 and led to continued expenses for positions that had been eliminated in the Adopted Budget. An additional $1.4 million in the overtime category reflects year-to-date trends, and is attributed to increased after-hour inspections, including permit processing and plan review activities. Additionally, $811,000 is attributed to the delivery of prior-year workstations and office furniture orders associated with the department's relocation to new facilities. Lastly, an increase of $732,000 in contractual services, largely not assumed in the Mid-Year Report, is due to higher rent expenditures based on updated cost allocations and relocation and janitorial services related to the new facility locations.

Engineering and Capital Projects Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 167.2	$ 167.2	$ 187.0	$ 19.8	11.8%
Personnel Expenditures	102.9	102.9	102.5	0.4	0.4%
Non-Personnel Expenditures	76.2	77.4	75.5	2.0	2.5%
Expenditures	$ 179.1	$ 180.3	$ 178.0	$ 2.3	1.3%
Net Year-End Projection	**$ (11.9)**	**$ (13.1)**	**$ 9.0**	**$ 22.1**	

Revenues in the Engineering and Capital Projects Fund are projected to be over budget by $19.8 million at fiscal year-end, a decrease of $2.9 million from the Mid-Year Report. Similar to the Mid-Year Report, this increase is primarily comprised of $13.1 million from an inadvertent misalignment between the billable revenue budget and associated personnel cost. This represents an increase of $1.2 million when compared to the Mid-Year Report. An additional $6.0 million is attributed to increased reimbursement from billable work, reflecting increased staffing levels dedicated to supporting Capital Improvement Program (CIP) projects. Compared with the Mid-Year Report, this reflects a $4.4 million decrease, primarily due to several projects now expected to generate less billable activity than anticipated as a result of schedule adjustments, slower project progress, and shifts in the timing of project phases. Lastly, $586,000 is attributed to higher interest and dividend earnings on available fund balance, an increase of $331,000 from the Mid-Year Report.

Expenditures in the fund are projected to be under budget by $2.3 million at fiscal year-end, a decrease of $3.1 million from the Mid-Year Report. This decrease is comprised of $1.0 million in information technology expenditures, primarily due to lower discretionary spending for Gibbs Drive office tenant improvements due to the work being performed by City staff rather than outsourced, as well as reduced non-discretionary costs resulting from citywide actions led by the Department of Information Technology, including the use of available fund balance to support IT services, and operational efficiencies to generate savings, neither of which were assumed in the Mid-Year Report. An additional $728,000 in personnel expenditures and fringe

benefits, a decrease of $1.1 million from the Mid-Year Report, is primarily due to higher-than-anticipated vacancy levels. Lastly, a decrease of $626,000 is due to reduced rent expenditures primarily related to rent abatements, which were not assumed in the Mid-Year Report.

Fire/Emergency Medical Services Transport Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 131.8	$ 131.8	$ 140.9	$ 9.1	6.9%
Personnel Expenditures	5.2	5.2	6.5	(1.3)	-25.0%
Non-Personnel Expenditures	132.0	132.0	135.0	(2.9)	-2.2%
Expenditures	$ 137.2	$ 137.2	$ 141.5	$ (4.2)	-3.1%
Net Year-End Projection	**$ (5.4)**	**$ (5.4)**	**$ (0.6)**	**$ 4.9**	

Revenues in the Fire/Emergency Medical Services Transport Program Fund are projected to be over budget by $9.1 million at fiscal year-end, an increase of $7.2 million from the Mid-Year Report. This increase is primarily due to higher patient transport revenue under the Alliance Model, resulting from increased transportation volume.

Expenditures in the fund are projected to be over budget by $4.2 million at fiscal year-end, an increase of $2.5 million from the Mid-Year Report. Similar to the Mid-Year Report, this is comprised of $1.3 million in personnel costs and $1.3 million in fringe benefit expenditures, primarily in the overtime category, to maintain staffing levels and meet operational demands, which is an increase of $800,000 from the Mid-Year Report. Additionally, $1.8 million is attributed to an increase in the City's participation in the PP-GEMT program, which was not fully reflected in the Mid-Year Report.

Fleet Operations Operating Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 70.0	$ 70.0	$ 73.5	$ 3.5	5.0%
Personnel Expenditures	21.2	21.2	20.7	0.5	2.3%
Non-Personnel Expenditures	49.0	49.0	50.5	(1.5)	-3.1%
Expenditures	$ 70.1	$ 70.1	$ 71.2	$ (1.0)	-1.5%
Net Year-End Projection	**$ (0.1)**	**$ (0.1)**	**$ 2.3**	**$ 2.5**	

Revenues in the Fleet Operating Fund are projected to be over budget by $3.5 million at fiscal year-end, an increase of $939,000 from the Mid-Year Report. This increase is primarily due to higher usage charges to support increased personnel, vehicle repair and maintenance and pool rental costs.

Expenditures in the fund are projected over budget by $1.0 million at fiscal year-end, a decrease of $2.9 million from the Mid-Year Report. Similar to the Mid-Year Report, the overage is primarily due to a net increase of $2.3 million in non-personnel expenditure costs, primarily due to higher vehicle repair and maintenance expenses due to rising parts and materials costs. This represents a decrease of $1.1 million from the Mid-Year Report, primarily due to reduced vehicle supply purchases associated with less-than-anticipated overtime work, as well as the replacement of older vehicles, which has reduced demand for repair-related supplies. Additionally, the fund anticipates a decrease of $1.2 million in personnel

expenditures and fringe benefit costs due to increased vacancy levels based on updated hiring assumptions under the Request-to-Fill process, representing a further decrease of $1.7 million from the Mid-Year Report.

Golf Course Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 30.9	$ 30.9	$ 42.3	$ 11.4	37.0%
Personnel Expenditures	9.0	9.0	9.4	(0.5)	-5.2%
Non-Personnel Expenditures	22.1	22.1	22.6	(0.5)	-2.5%
Expenditures	$ 31.0	$ 31.0	$ 32.0	$ (1.0)	-3.2%
Net Year-End Projection	**$ (0.1)**	**$ (0.1)**	**$ 10.3**	**$ 10.4**	

Revenues in the Golf Course Fund are projected to be over budget by $11.4 million at fiscal year-end, an increase of $386,000 from the Mid-Year Report. Consistent with the Mid-Year Report, this increase is primarily due to $8.0 million in charges for services revenue, largely from golf rounds, reflecting the sport's sustained popularity. Additionally, $2.5 million is attributed to higher interest earnings on investments and $917,000 to other rents and concessions revenue from a portion of sales from the golf shop, driving range, cart rentals, and merchandise sales at golf courses. The increase of $386,000 from the Mid-Year Report reflects modest increases across all categories, including higher interest earnings.

Expenditures in the fund are projected to be over budget by $1.0 million at fiscal year-end, an increase of $686,000 from the Mid-Year Report. This increase is comprised of $748,000 in personnel expenditures and fringe benefits, an increase of $320,000 from the Mid-Year Report, primarily in the salaries category based on filled positions to-date, and overtime to support tournaments hosted at the Torrey Pines Golf Course. Additionally, a net increase of $259,000 in non-personnel expenditures, an increase of $366,000 from the Mid-Year Report, is primarily due to maintenance operations at Tecolote Canyon Golf Course, following the assumption of oversight in March 2026.

Information Technology Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 83.8	$ 83.8	$ 79.4	$ (4.5)	-5.3%
Personnel Expenditures	7.6	7.6	7.6	0.0	0.2%
Non-Personnel Expenditures	77.1	77.1	75.1	2.0	2.6%
Expenditures	$ 84.7	$ 84.7	$ 82.7	$ 2.0	2.4%
Net Year-End Projection	**$ (0.9)**	**$ (0.9)**	**$ (3.3)**	**$ (2.5)**	

Revenues in the Information Technology Fund are projected to be under budget by $4.5 million at fiscal year-end, a decrease of $1.4 million from the Mid-Year Report. This decrease is primarily attributed to lower-than-anticipated revenue received from benefiting departments for information technology services, as additional fund balance is available to support these services, combined with operational efficiencies to generate savings in an effort to mitigate costs and address the General Fund shortfall. Compared to the Mid-Year Report, the additional decrease of $1.4 million reflects further operational savings, particularly in data center and network services, aimed at addressing the General Fund shortfall.

Expenditures in the fund are projected to be under budget by $2.0 million at fiscal year-end, a decrease of $1.3 million from the Mid-Year Report. Similar to revenues, this decrease is attributed to operational efficiencies implemented to address the General Fund shortfall, including cybersecurity improvements and deferred datacenter modernization initiatives, as well as additional savings from datacenter, application, and network service efficiencies.

OneSD Support Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 28.0	$ 28.0	$ 28.4	$ 0.4	1.5%
Personnel Expenditures	4.9	4.9	4.9	0.0	0.7%
Non-Personnel Expenditures	26.0	26.0	24.7	1.3	5.0%
Expenditures	$ 31.0	$ 31.0	$ 29.6	$ 1.3	4.3%
Net Year-End Projection	**$ (3.0)**	**$ (3.0)**	**$ (1.2)**	**$ 1.8**	

Revenues in the OneSD Support Fund are projected to be over budget by $413,000 at fiscal year-end, an increase of $112,000 from the Mid-Year Report. Consistent with the Mid-Year Report, this increase is comprised of higher interest on investments and billable work related to the Enterprise Resource Planning (ERP) Modernization project, which was not included in the budget due to its uncertain development timeline.

Expenditures in the fund are projected to be under budget by $1.3 million at fiscal year-end, a decrease of $220,000 from the Mid-Year Report. Similar to the Mid-Year Report, this is comprised of a net decrease of $923,000 in non-personnel expenditures primarily due to fewer consultant hours spent on maintenance and enhancements to the current SAP system ahead of its planned modernization. Additionally, a decrease of $384,000 in fringe benefits is projected due to updated allocations based on the proportionate share of filled positions.

Parking Meter Operations Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 28.0	$ 28.0	$ 21.6	$ (6.4)	-22.8%
Personnel Expenditures	0.8	0.8	0.7	0.1	8.5%
Non-Personnel Expenditures	27.9	27.9	21.6	6.3	22.6%
Expenditures	$ 28.7	$ 28.7	$ 22.3	$ 6.4	22.3%
Net Year-End Projection	**$ (0.7)**	**$ (0.7)**	**$ (0.7)**	**$ 0.0**	

Revenues in the Parking Meter Operations Fund are projected to be under budget by $6.4 million at fiscal year-end, a decrease of $1.4 million from the Mid-Year Report. Similar to the Mid-Year Report, this decrease is comprised of $4.6 million in reduced revenue collected from special event zones due to a change in the implementation timeline from the July 2025 assumption to September 2025, as well as a reduction in the size of the defined special events zone area. In addition, $3.3 million in reduced parking meter revenue is attributed to an unanticipated change in consumer behavior, as consumers are no longer maximizing time at the meters following the increase of meter hourly rates from $1.25 to $2.50. An additional $1.0

million is attributed to the delayed implementation of extended hours from July 2025 to September 2025 and Sunday hours from January 2026 to April 2026, as well as $700,000 from the elimination of Sunday. These decreases are partially offset by a combined increase of $2.9 million in parking expansions and permit implementations, including expanded parking in the 6th Ave/Park Boulevard, Mid-City, and Uptown areas, traffic control permits, and valet permits. Cumulatively, this represents a decrease of $800,000 when compared to the Mid-Year Report. An additional decrease of $600,000 is attributed to limited staffing availability resulting from vacancies and the continued reallocation of staff resources to meter-related initiatives.

Expenditures in the fund are projected to be under budget by $6.4 million at fiscal year-end, an additional decrease of $1.4 million from the Mid-Year Report. This is primarily due to a decrease in transfers out of $10.1 million, which had originally been budgeted to support eligible General Fund expenditures. Compared to the Mid-Year Report, this is a further decrease of $3.1 million based on updated, reduced revenue collections. This decrease is partially offset by an increase of $3.0 million associated with the acquisition of new multi-space meters to support the expansion of parking meter operations.

Publishing Services Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 1.9	$ 1.9	$ 0.8	$ (1.1)	-58.7%
Personnel Expenditures	0.6	0.6	0.5	0.1	9.9%
Non-Personnel Expenditures	1.6	1.6	1.2	0.4	22.5%
Expenditures	$ 2.1	$ 2.1	$ 1.7	$ 0.4	19.1%
Net Year-End Projection	**$ (0.2)**	**$ (0.2)**	**$ (0.9)**	**$ (0.7)**	

Revenues in the Publishing Services Fund are projected to be under budget by $1.1 million at fiscal year-end, a decrease of $470,000 from the Mid-Year Report. This decrease is primarily due to reduced billable work performed for City departments due to limited resources, including a pending printing contract, which has limited the department's ability to meet required turnaround times.

Expenditures in the fund are projected to be under budget by $407,000 at fiscal year-end, an increase of $87,000 from the Mid-Year Report. This decrease is primarily in contractual services and reflects reduced work performed for City departments, as some departments have outsourced specialized printing services.

Recycling Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 25.4	$ 25.4	$ 30.6	$ 5.1	20.2%
Personnel Expenditures	4.4	4.4	4.0	0.4	8.2%
Non-Personnel Expenditures	26.3	26.3	27.2	(0.9)	-3.4%
Expenditures	$ 30.7	$ 30.7	$ 31.3	$ (0.5)	-1.8%
Net Year-End Projection	**$ (5.3)**	**$ (5.3)**	**$ (0.7)**	**$ 4.6**	

Revenues in the Recycling Fund are projected to be over budget by $5.1 million at fiscal year-end, a decrease of $814,000 from the Mid-Year Report. This increase is comprised of $1.7 million in higher liquidated damages paid by franchise haulers for failing to meet targeted diversion rates and $1.4 million in interest earned on investments, both of which remain consistent with the Mid-Year Report. An additional $1.1 million is attributed to $649,000 in recycling fees based on year-to-date tonnage trends from franchise and commercial haulers, and $410,000 in billable work performed in support of the Solid Waste Management program. Compared to the Mid-Year Report, recycling fee revenue is $1.9 million lower due to a shift from a prior-year trend-based methodology to activity-to-date projections, which indicate lower tonnage than prior-year levels. Increased revenues also include $981,000 from Construction and Demolition permit reconciliations, $1.0 million higher than the Mid-Year Report, as efforts to clear a backlog of older permits, combined with high reconciliation results, have significantly increased anticipated revenues.

Expenditures in the fund are projected to be over budget by $540,000 at fiscal year-end, an increase of $2.7 million from the Mid-Year Report. This increase is primarily comprised of $1.3 million in an increased transfer to the Solid Waste Management Fund, which was not assumed in the Mid-Year Report, to support updated costs for recycling services, as consumer selections were established following the implementation of solid waste collection services. This overage is primarily offset by net savings of $762,000 across categories, primarily personnel costs and fringe benefits resulting from vacancies throughout the fiscal year. Compared with the Mid-Year Report, an increase of $1.9 million is attributed to an increased transfer to the General Fund for services performed by the Code Compliance Team. To help address the General Fund shortfall, eligible recycling activities and enforcement will be supported through the Recycling Fund. This was not assumed in the Mid-Year Report, as it was identified as a feasible mitigation action after the report was released.

Refuse Disposal Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 72.8	$ 72.8	$ 77.3	$ 4.6	6.3%
Personnel Expenditures	11.2	11.2	11.6	(0.4)	-3.7%
Non-Personnel Expenditures	44.7	44.7	36.1	8.7	19.3%
Expenditures	$ 56.0	$ 56.0	$ 47.7	$ 8.2	14.7%
Net Year-End Projection	**$ 16.8**	**$ 16.8**	**$ 29.6**	**$ 12.8**	

Revenues in the Refuse Disposal Fund are projected to be over budget by $4.6 million at fiscal year-end, a decrease of $2.3 million from the Mid-Year Report. Consistent with the Mid-Year Report, this is primarily attributed to $4.1 million in interest earned on investments due to a higher balance held following a loan disbursement for the Organic Processing Facility project. Compared with the Mid-Year Report, a $2.1 million decrease is attributed to reduced refuse disposal following a correction that determined year-to-date activity had been overstated.

Expenditures in the fund are projected to be under budget by $8.2 million at fiscal year-end, a decrease of $1.1 million from the Mid-Year Report. Similar to the Mid-Year Report, this decrease is primarily due to lower-than-anticipated spending in contracts, including equipment rental and maintenance for the expanded organics processing program. These

services have not been fully utilized as the Organics Processing Facility remains under construction. Compared to the Mid-Year Report, this represents an increase of $1.4 million primarily due to updated assumptions for heavy equipment rental based on revised equipment needs.

Risk Management Administration Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 20.4	$ 20.4	$ 19.1	$ (1.4)	-6.8%
Personnel Expenditures	10.5	10.5	10.2	0.4	3.4%
Non-Personnel Expenditures	9.9	9.9	9.3	0.6	5.7%
Expenditures	$ 20.4	$ 20.4	$ 19.5	$ 0.9	4.5%
Net Year-End Projection	**$ 0.0**	**$ 0.0**	**$ (0.4)**	**$ (0.5)**	

Revenues in the Risk Management Administration Fund are projected to be under budget by $1.4 million at fiscal year-end, a decrease of $858,000 from the Mid-Year Report. This decrease is primarily due to lower City contributions for services based on updated expenditure assumptions.

Expenditures in the fund are projected to be under budget by $926,000 at fiscal year-end, a decrease of $322,000 from the Mid-Year Report. This decrease is across categories, including personnel costs and fringe benefits based on vacancies to-date, as well as reduced benefit consulting services following the reallocation of costs to the appropriate funds.

Sewer Utility Funds

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 639.2	$ 639.2	$ 783.2	$ 144.0	22.5%
Personnel Expenditures	90.4	90.4	90.0	0.4	0.0%
Non-Personnel Expenditures	380.3	380.3	362.9	17.4	4.6%
Expenditures	$ 470.7	$ 470.7	$ 452.9	$ 17.8	3.8%
Net Year-End Projection	**$ 168.5**	**$ 168.5**	**$ 330.3**	**$ 161.8**	

Revenues in the Sewer Utility Funds are projected to be under budget by $144.0 million at fiscal year-end, a decrease of $25.2 million from the Mid-Year Report. This decrease is comprised of the following:

- $66 million in higher sewer service charges, including $37.4 million in rates passed after setting the FY 2027 budget, and $6.6 million is expected from prior-year reconciliations (FY 2020) between the City and the 12 participating agencies of the Metropolitan Joint Powers Authority. Fiscal Year 2021-2023, which was projected at mid-year at $22 million, will be processed in FY 2027.
- $88 million in higher reimbursements is attributed to City bonds and the State Revolving Funds program, occurring across multiple revenue classifications depending on the specific loan.
- $5 million in a one-time interest settlement from SDG&E related to Pure Water litigation, which is subject to appeal, as well as higher interest earnings, which are $3

million lower than what was projected at the mid-year due to smaller earnings and fund balances.

Based on the five-year outlook, sewer revenues are slightly below projections. Single-family accounts are performing slightly higher than expected, while multi-family and commercial/industrial accounts are performing slightly lower than expected.

Expenditures in the fund are projected to be under budget by $17.8 million at fiscal year-end, a decrease of $23.8 million from the Mid-Year Report. This decrease is comprised of the following:

- $3.0 million in information technology primarily due to the Distributed Control Systems (DCS). These expenses will be ongoing and fluctuate as the department updates these systems over the next decade.
- $2.8 million in lower debt payments
- $7.0 million in lower energy costs and other utility costs due to the timing of Pure Water go live.
- $3.2 million in contract savings due to deferring some expenses and using city force labor instead of contractor services.
- $400,000 in personnel costs, this is a reduction from the mid-year and reflects the impact of the request to fill process.

Solid Waste Management Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 148.4	$ 148.4	$ 136.4	$ (12.1)	0.0%
Personnel Expenditures	27.8	27.8	29.7	(1.9)	-100.0%
Non-Personnel Expenditures	111.6	111.6	103.8	7.8	-100.0%
Expenditures	$ 139.4	$ 139.4	$ 133.4	$ 5.9	-100.0%
Net Year-End Projection	**$ 9.1**	**$ 9.1**	**$ 2.9**	**$ (6.1)**	

Revenues in the Solid Waste Management Fund are projected to be under budget by $12.1 million at fiscal year-end, a decrease of $554,000 from the Mid-Year Report. Consistent with the Mid-Year Report, this decrease is primarily due to $11.5 million in less-than-anticipated rate revenue following implementation of the solid waste management fee. The department continues to monitor customer service levels as the solid waste management program is established. Compared with the Mid-Year Report, the $554,000 decrease is due to a $2.0 million reduction in transfers from the General Fund for the Rate Assistance Program, as these costs will now be directly paid by the General Fund. This decrease is partially offset by a $1.3 million transfer from the Recycling Fund to support costs associated with providing recycling services.

Expenditures in the fund are projected to be under budget by $5.9 million at fiscal year-end, a decrease of $5.8 million from the Mid-Year Report. This decrease is primarily due to $9.3 million from the deferred purchase of 20 automated side-loading collection packer replacements, implemented as a cost-saving strategy to extend the useful life of existing vehicles for an additional year while maintaining operational continuity. This decrease is

partially offset by an increase of $4.8 million for the assembly and delivery of new containers, which was not assumed in the budget.

Underground Surcharge Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 90.0	$ 90.0	$ 111.4	$ 21.4	23.8%
Personnel Expenditures	3.2	3.2	3.1	0.1	3.7%
Non-Personnel Expenditures	76.8	76.8	55.0	21.8	28.4%
Expenditures	$ 80.0	$ 80.0	$ 58.0	$ 22.0	27.4%
Net Year-End Projection	**$ 10.0**	**$ 10.0**	**$ 53.3**	**$ 43.3**	

Revenues in the Underground Surcharge Fund are projected to be over budget by $21.4 million at fiscal year-end, a decrease of $3.4 million from the Mid-Year Report. Consistent with the Mid-Year Report, this is primarily comprised of interest earned on available fund balances due to high SDG&E franchise fee balances resulting from extended project schedules. Compared to the Mid-Year Report, the $3.4 million increase is due to higher-than-anticipated SDG&E franchise fee revenue following receipt of the calendar year 2025 annual clean-up payment in February 2026.

Expenditures in the fund are projected to be under budget by $22.0 million at fiscal year-end, a decrease of $7.7 million from the Mid-Year Report. Similar to the Mid-Year Report, this decrease is primarily attributed to lower-than-anticipated costs for SDG&E construction projects, as permitting and design timelines have extended project schedules. Since the Mid-Year Report, further changes to project schedules have decreased the projections by $7.7 million.

Water Utility Operating Fund

in millions

Rev/PE/NPE	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Revenue	$ 958.5	$ 958.5	$ 1,054.9	$ 96.4	10.1%
Personnel Expenditures	93.3	93.3	99.9	(6.6)	-7.0%
Non-Personnel Expenditures	754.5	754.5	687.7	66.8	8.8%
Expenditures	$ 847.8	$ 847.8	$ 787.6	$ 60.2	7.1%
Net Year-End Projection	**$ 110.7**	**$ 110.7**	**$ 267.3**	**$ 156.6**	

Revenues in the Water Utility Operating Fund are projected to be over budget by $96.4 million at fiscal year-end, a decrease of $65.5 million from the Mid-Year Report. This increase is comprised of the following:

- $193 million from unbudgeted rate increases. Per Department past practices, revenues are not budgeted until rate cases have been approved by the City Council. This unbudgeted increase includes the 5.5 percent increase effective May 1, 2025, and the 14.7 percent increase effective January 1, 2026.
- $8.6 million one-time interest settlement from SDG&E related to earlier Pure Water litigation.

These increases are partially offset by:

- A net decrease in reimbursements for capital expenses from outside sources (such as WIFIA, State Revolving Funds, and commercial paper), which occurs across multiple revenue classifications. This is a $65 million reduction from the mid-year projections and assume several large WIFIA costs will be reimbursed in fiscal year 2027, which should be the last year of the WIFIA reimbursements.

Based on the five-year outlook, water sales are down by 5,000 acre-feet (3.2%), resulting in a revenue decrease of $18.4 million. While irrigation sales are higher, they were offset by drops in Single-Family, Multi-Family, and Commercial/Industrial accounts. This downturn largely occurred in November and December. The department saw continued soft sales through March, pushing total sales down 8,000 AF but higher sales in April pushed the department back to mid-year sales projections The last major factor is the end of year accrual, which accounts for water sales that occur by June 30th but the meters are not read until the next fiscal year, these projects assume similar accruals seen in Fiscal Year 2026.

Expenditures in the Water Utility Operating Fund are projected to be under budget by $60.2 million at fiscal year-end, a decrease of $37.5 million from the Mid-Year Report. The primary drivers of these savings include:

- $52.8 million in supplies and contracts primarily due to reduced sales (requiring fewer purchases of imported water) at $34.2 million, the remaining amount is in deferred task orders including energy master plans.
- $9 million in lower energy costs associated with the Pure Water facility going live later in the fiscal year than originally planned.
- $6.0 million in information technology costs primarily due to the Supervisory Control and Data Acquisition (SCADA) system. These expenses will be ongoing over the next decade and will fluctuate each fiscal year.
- $4.2 million in debt service due to WIFIA loans not being fully drawn down for the Pure Water project as originally expected by June 30, 2025.

These savings were partially offset by:

- $8.4 million in projected transfers related to recycled water revenues. Since 2023, these funds must be transferred to the Metropolitan Sewer Fund, but the budget was not updated to reflect this. This has been included in the 2027 Proposed budget.
- $6.5 million overage in personnel costs primarily due to lower vacancy rates, higher overtime for emergency projects, work on capital projects, and off-hour work required when water demand falls in the evening, this is a reduction from the mid-year and reflects the impact of the request to fill process.

NON-GENERAL FUNDS RESERVES

The City's Reserve Policy (Council Policy 100-20) documents the City's approach to establishing and maintaining reserves across City operations. **Table 19: FY 2026 Non-General Fund Reserves** displays each non-General Fund Reserve, the respective FY 2026 target in accordance with the Reserve Policy, and the current target status.

FY 2026 Non-General Fund Reserves

Table 19 *in millions*

Description	Fund Name	Reserve Type	FY 2026 Reserve Target	Status
Development Services	Development Services Fund	Operating Reserve	$ 19.3	Not on Target
Golf Course	Golf Course Fund	Operating Reserve	4.2	On Target
Environmental Services	Recycling Enterprise Fund	Operating Reserve	3.8	On Target
	Refuse Disposal Fund	Operating Reserve	10.9	On Target
Public Utilities	Sewer Utility Funds	Emergency Operating Reserve	71.4	On Target
		Emergency Capital Reserve	10.0	On Target
		Rate Stabilization Fund Reserve	21.3	On Target
	Water Utility Funds	Emergency Operating Reserve	70.8	On Target
		Emergency Capital Reserve	5.0	On Target
		Rate Stabilization Fund Reserve	35.2	Not on Target
		Secondary Purchase Reserve	21.1	On Target
Risk Management	Long-Term Disability Fund	Risk Management Reserve	5.8	Not on Target
	Public Liability Fund	Risk Management Reserve	46.7	Not on Target
	Workers' Compensation Fund	Risk Management Reserve	39.7	Not on Target

Development Services Fund Operating Reserve

The Development Services Fund accounts for the City's development review and inspection services, which are funded directly by fees and charges paid by Development Services' customers. The Operating Reserve is intended to provide financial stability during economic cycles and to support business continuity in the event of significant natural or man-made disasters. Consistent with the Mid-Year Report, the Development Services Department (DSD) does not expect to meet the Reserve Policy target of $19.3 million, or 15.0 percent of the most recent three years of audited actual expenditures. Given that the reserve has no beginning balance, and based on the projections in this report, the reserve is not expected to have a balance at the end of the fiscal year.

As part of the department's mitigation strategy, fees increased by 12.3 percent in May 2025 to align with the approved labor agreement from prior years, reflect higher fixed fringe costs, and account for sustained inflation in recent fiscal years. In addition, a dynamic pricing model was introduced in July 2025 to better support full cost recovery for permitting services. Under this approach, fees are calculated based on the cost of services at the time of invoicing, rather than the application's "Deemed Complete Date," resulting in more precise cost recovery. Additionally, effective May 2026, a 7.25 percent fee increase will be in effect. DSD will continue

implementing and refining these measures to rebuild the reserve over an anticipated three-year period, alongside ongoing efforts to reevaluate the existing Reserve Policy.

Water Utility Rate Stabilization Fund Reserve

The Water Utility Rate Stabilization Fund (RSF) Reserve is maintained in accordance with the legal bond documents for the outstanding water system revenue bonds. Transfers in and out of this fund serve as a revolving mechanism to mitigate significant fluctuations in water rates for system operations and to maintain stable debt service coverage ratios for the outstanding water revenue bonds. The Reserve Policy establishes a baseline target for the RSF in an amount equal to 5.0 percent of the water system's total operating revenue from the prior fiscal year. The permitted uses of the RSF are limited to the water system's operations and maintenance costs.

Consistent with the Mid-Year Report, the Water RSF reserve began the fiscal year with a balance of $15.7 million, approximately $19.5 million below the updated reserve target of $35.2 million. As outlined in the department's Five-Year Financial Outlook released in December 2025 and supported by the approved cost of service study, the department plans to draw on the Water RSF in FY 2026 and FY 2027 to help maintain rate affordability amid rapidly rising water purchase costs. Utilizing the reserve allows for a more gradual rate increase than would otherwise be necessary to meet financial targets. Consistent with the Reserve Policy, the proposed rate adjustments to restore the reserve to target levels will be included in the next water cost of service study, which is expected to be considered for approval in FY 2027.

Long-Term Disability Fund Reserve

The Long-Term Disability (LTD) Fund provides partial income replacement to eligible City employees who are unable to work for a period due to a non-industrial injury, illness, or pregnancy. The Reserve Policy's goal is to maintain the LTD Fund Reserve equal to 100 percent of the value of outstanding claims based on the three most recent annual actuarial liability valuations. Consistent with the Mid-Year Report, the estimated ending fund balance for the LTD Reserve is $4.2 million, which is approximately $1.6 million below the FY 2026 reserve target of $5.8 million. At this time, no additional contributions beyond the amounts needed to fund current year expenditures will be made, and as a result, the LTD Fund Reserve is expected to remain below the Reserve Policy target at fiscal year-end.

Public Liability Fund Reserve

The Public Liability (PL) Fund Reserve is funded entirely by the General Fund to support claims arising from real or alleged acts on the part of the City, including claims for bodily injury, property damage, inverse condemnation, false arrest, and errors and omissions. The Reserve Policy's goal is to maintain the reserve equal to 50 percent of the value of outstanding public liability claims, based on the three most recent annual actuarial liability valuations. The ending PL Fund Reserve balance for FY 2026 is estimated to be $28.5 million, which is approximately $18.2 million below the PL Reserve target of $46.7 million.

As noted in the Mid-Year Report, the PL Fund issued an interest-bearing interfund loan to the Sewer Utility's Municipal Fund in FY 2024 and FY 2025, with a final loan installment anticipated in the current fiscal year. These loans support the Industrial Wastewater Control Program (IWCP) subsidy for FY 2023-2025, during which time the program's fees were incrementally increased until reaching full cost recovery in FY 2026. Beginning in FY 2027, the Sewer Utility's Municipal Fund is expected to begin making annual debt service payments, with full repayment of the interfund loan targeted by FY 2031. As a result of these loans, the

PL Fund Reserve is expected to remain below its policy target levels throughout the loan period. In the event the PL Fund lacks sufficient funds to meet its financial obligations, the Sewer Utility's Municipal Fund would be required to immediately repay the outstanding loan balance using other legally available funds. Accordingly, although the reserve will not meet the cash requirements of the Reserve Policy, should the need arise, it is expected to remain capable of meeting its obligations.

Workers' Compensation Fund Reserve

The Workers' Compensation (WC) Fund Reserve provides funding for medical and disability costs arising from workplace injuries and illnesses. The Reserve Policy goal is to maintain reserves equal to 12 percent of outstanding actuarial liabilities based upon the three most recent annual actuarial liability valuations. The ending WC Fund Reserve is estimated at $22.9 million, which is approximately $16.7 million below the FY 2026 reserve target of $39.7 million. Compared to the Mid-Year Report, this represents a further decrease of $3.2 million, primarily due to updated revenue reimbursement assumptions, with expenditures now projected to outpace revenues. At this time, no contributions beyond those required to support FY 2026 operations are anticipated, and as a result, the WC Fund Reserve is expected to remain below Reserve Policy target levels.

The status of the remaining reserves remains on target and unchanged from the Mid-Year Report. The Department of Finance will continue to work with the respective departments to monitor non-General Fund reserves levels and provide respective updates in the Third Quarter Report. If needed, the report will include a plan to address any reserves that may not be on target to meet their respective reserve levels by fiscal year-end.

CITY COUNCIL REQUESTED AUTHORITIES

BUDGET CONTROL AUTHORITIES

As is typically included in the Third Quarter Report, additional authorities are requested to maintain budgetary control through the end of the fiscal year and remain in compliance with the City Charter and Municipal Code.

Increase Appropriations from Available Sources Citywide
Authority is requested to adjust appropriations as needed for unforeseen events to close Fiscal Year 2026 with departments and funds in balance. Available sources include the use of fund balance or increased revenues.

General Fund

Additional authorities are requested to allow for budget transfers and reappropriations between General Fund departments to address events that may occur prior to year-end. These authorities are typically requested in the Third Quarter Report to maintain budgetary control through the end of the fiscal year and to remain in compliance with the City Charter and Municipal Code.

Salary and Non-Personnel Budget Transfers
Authority is requested to transfer salary appropriations in one General Fund department for fringe benefits and/or non-personnel appropriations in another General Fund department with no net increase to either department's total budgets. This will allow departments to remain balanced, within the Charter Section 73 requirement that salary appropriations may not be used for any other purpose.

Bottom Line Reappropriations
Authority is requested to transfer excess appropriations from one General Fund department to offset a deficit in another General Fund department during fiscal year closing. This will result in a change to the bottom-line department budgets; however, there will be no net change to the bottom-line General Fund budget. The bottom-line appropriation transfer authority is to be used at fiscal year close, if necessary, after salary and non-personnel budget transfers have been applied.

Request for Use of General Fund Stability Reserve
In recognition of prior projected shortfalls, authority is requested as a contingency to draw upon the General Fund Stability Reserve, consistent with Charter Section 91.1 and Council Policy 100-2, should actual revenues or expenditures deviate from projections in a manner that would otherwise result in a year-end deficit. This authorization is intended solely as a precautionary measure to ensure the General Fund remains in balance and does not close the fiscal year with a negative fund balance, in accordance with applicable financial reporting standards and guidance on transparent disclosures of General Fund balances and reserves.

RECOMMENDED APPROPRIATION ADJUSTMENTS

The following section discusses recommended appropriation adjustments for the Third Quarter Report.

General Fund Non-Personnel Expenditure Reallocations

Authorities are requested to reallocate appropriations between General Fund departments as displayed in **Table 20: FY 2026 Third Quarter Reallocation of Department Appropriations** and further detailed below. This reallocation will result in a net-zero impact on the General fund and will align the budget with projections.

FY 2026 Third Quarter Reallocation of Department Appropriations

Table 20 *in whole dollars*

Fund/Department	Expenditures Increase	Expenditures Decrease	Net Impact
General Fund			
Citywide Program Expenditures	$ -	$ (2,058,000)	$ (2,058,000)
Economic Development	1,161,000	-	1,161,000
Fire-Rescue	521,000	-	521,000
Transportation	376,000	-	376,000
Total Appropriation Adjustments	**$ 2,058,000**	**$ (2,058,000)**	**$ -**

Citywide Program Expenditures

The Citywide Program Expenditures Department is projected to end the year with $10.8 million in savings due to a decrease in anticipated contributions from the General Fund to the Public Liability Fund, resulting from the receipt of one-time insurance proceeds and updated claims and non-claims assumptions that allow the General Fund to reduce its projected contributions. This is in addition to the $9.2 million identified in the Mid-Year Report, of which $8.2 million has already been reallocated to General Fund departments through approved Mid-Year appropriations. Staff recommends reallocating $2.1 million of the projected savings to the following departments to cover critical operations and obligations.

Economic Development

The Economic Development Department requires an appropriation adjustment of $1.2 million in non-personnel expenditures to support Compensation Agreements for the Chinese Historical Museum and Walker Scott sites, consistent with actions approved by the Economic Development and Intergovernmental Relations Committee (ED&IR) in February 2026. This adjustment will allocate resources from savings identified in the Citywide Program Expenditures Department at the time the items were presented to the ED&IR Committee, ensuring sufficient funding to implement the approved agreements.

Fire-Rescue

The Fire-Rescue Department requires an appropriation adjustment of $521,000 in non-personnel expenditures to address contractually required helicopter repair and maintenance costs, primarily related to recently identified prior-year invoices requiring payment, as well as current-year contractual increases. These expenditures include obligations related to minimum contractual flight-hour requirements and critical helicopter equipment repairs and overhauls.

Transportation

The Transportation Department requires an appropriation adjustment of $376,000 in non-personnel expenditures to support engineering and technical services provided by other City departments for Transportation-led operational and preliminary engineering that are not yet established as fully funded CIP projects. This adjustment will support continued project coordination, regulatory compliance, and operational readiness.

Non-General Fund Appropriation Adjustments

Authorities are requested to increase appropriations in select non-General Funds as discussed below and displayed in **Table 21: FY 2026 Third Quarter Non-General Fund Appropriation Adjustments**. All appropriation adjustments are balanced by an increase in revenue or use of fund balance.

FY 2026 Third Quarter Non-General Fund Appropriation Adjustments

Table 21 *in whole dollars*

Non-General Fund	Increase / (Decrease) Revenue	Expenditures	Net Impact
Fire/EMS Transportation Program Fund	$ 4,234,000	$ 4,234,000	$ -
Golf Course Fund	283,000	283,000	-
Junior Lifeguard Program Fund	88,000	88,000	-
Transient Occupancy Tax Fund	-	80,000	(80,000)
Non-General Fund Total	**$ 4,605,000**	**$ 4,685,000**	**$ (80,000)**

Fire/EMS Transportation Program Fund

The Fire/EMS Transportation Program Fund requires an expenditure appropriation of $4.2 million to support personnel costs, primarily overtime to maintain staffing levels and meet operational demands, as well as updated PP-GEMT payment for program participation. This request is supported by a corresponding increase of $4.2 million in revenue, primarily from higher patient transport revenue and PP-GEMT reconciliation adjustments.

Golf Course Fund

The Golf Course Fund requires an expenditure appropriation of $283,000 to support maintenance operations at Tecolote Canyon Golf Course, following the assumption of oversight in March 2026. This request is supported by an increase of $283,000 in revenue, largely from golf rounds, reflecting the sport's sustained popularity.

Junior Lifeguard Program Fund

The Junior Lifeguard Program Fund requires an expenditure appropriation of $88,000 to support contractual expenditures and ensure continuity of operations. This request is supported by $88,000 in increased revenue.

Transient Occupancy Tax Fund

The Special Events and Filming Department, funded by the Transient Occupancy Tax Fund, requires an expenditure appropriation of $80,000 for non-personnel expenditures associated with billable work performed for Notice of Right to Appeal (NORA) requirements. This request is supported by Transient Occupancy Tax fund balance.

CONCLUSION

The Fiscal Year 2026 Third Quarter Report projects that both General Fund revenues and expenditures will end the year below budget, resulting in a fund balance in excess of reserves (Excess Equity) of $1.7 million. This represents a significant improvement from the Mid-Year Report, which projected a General Fund shortfall of $16.8 million by fiscal year-end. The improved projected position is primarily due to the receipt of one-time insurance proceeds, targeted expenditure reduction efforts across departments, and increased reimbursement to the General Fund for eligible expenditures.

General Fund revenues are projected to end the fiscal year $10.5 million below the current budget, consisting of a $6.9 million decrease in major revenues and a $3.7 million decrease in departmental revenues. The decrease in major General Fund revenues is primarily due to negative interest earnings from reduced General Fund cash balances and a decline in transient occupancy tax revenue resulting from reduced international travel and tempered growth in both leisure and business travel. The projected reduction in departmental revenues is largely due to reduced Balboa Park parking revenue associated with changes to the implementation timeline and fee structure assumptions.

General Fund expenditures are projected to end the fiscal year $12.2 million below the current budget, comprised of a $28.7 million decrease in fringe and non-personnel expenditures, partially offset by an overage of $16.5 million in personnel expenditures. Personnel increases are largely associated with overtime to maintain Fire-Rescue Department staffing levels and supporting reimbursable Police Department activities. For non-personnel expenditures, the savings are primarily attributed to reduced transfers to the Public Liability Fund following receipt of one-time proceeds, as well as department efforts to limit spending in direct response to the Mayor's mitigation directives, including water conservation and operational efficiency initiatives.

Based on projected activity, the FY 2026 available Excess Equity is estimated at $1.7 million. Although the City's projected position has improved through one-time resources and ongoing mitigating efforts, the forecast remains sensitive to changes in underlying assumptions, including fluctuations in revenue collections and the realization of projected savings. Accordingly, the City will continue to operate under the mitigation actions already implemented, including restricting hiring to critical positions, suspending discretionary spending and non-essential overtime, and the review of external contracts. If these measures are insufficient and the City ends the year with a negative fund balance, the City will need to use the General Fund Stability Reserve to prevent a negative year-end budgetary fund balance. In that event, the Department of Finance will work with the Mayor to develop a plan to restore the reserve to its previous balance.

DoF and City departments will continue to monitor revenues, expenditures, and any potential impacts associated with the current economic environment. DoF will release the Fiscal Year 2026 Year-End Financial Performance Report on October 7, 2026, which will compare the projections included within this report to the unaudited actual revenues and expenditures for FY 2026.

ATTACHMENTS

1. General Fund Projected Revenues
2. General Fund Projected Expenditures
3. Non-General Fund Projections
4. Third Quarter Budget Monitoring Report – Vacancy Status Report
5. Fiscal Year 2026 Financial Performance Report, as of March 2026
6. Office of the City Attorney – Reporting Requirements – Section 19 of the Appropriation Ordinance
7. Homelessness Strategies and Solutions Department - Fiscal Year 2026 Third Quarter Monitoring and Grant Funding Update
8. Fiscal Year 2026 – Addition of Programmatic Supplemental Positions

General Fund Projected Revenues

Department[1]	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
General Fund Major Revenues					
Charges for Current Services	$ 38,170,482	$ 38,170,482	$ 37,102,741	$ (1,067,741)	-2.8%
Franchise Fees[2]	103,578,718	103,578,718	111,350,103	7,771,385	7.5%
Interest and Dividends	5,500,000	5,500,000	(11,071,906)	(16,571,906)	-301.3%
Motor Vehicle License Fees	1,384,746	1,384,746	2,121,522	736,776	53.2%
Fines, Forfeitures, and Penalties	-	-	-	-	0.0%
Other Revenue	-	-	472,663	472,663	100.0%
Property Tax	844,597,213	844,597,213	847,398,106	2,800,893	0.3%
Property Transfer Tax	11,884,826	11,884,826	10,898,403	(986,423)	-8.3%
Refuse Collector Business Tax	1,631,000	1,631,000	1,415,121	(215,879)	-13.2%
Revenue from Federal and Other Agencies	767,184	767,184	1,411,987	644,803	84.0%
Revenue from Money and Property	7,089,048	7,089,048	7,209,228	120,180	1.7%
Sales Tax	374,533,252	374,533,252	379,153,785	4,620,533	1.2%
Transfers In	53,148,488	53,148,488	51,881,118	(1,267,370)	-2.4%
Transient Occupancy Tax[3]	170,257,130	170,257,130	166,341,014	(3,916,116)	-2.3%
Subtotal Major General Fund Revenues	*$ 1,612,542,087*	*$ 1,612,542,087*	*$ 1,605,683,885*	*$ (6,858,202)*	*-0.4%*
City Auditor	$ -	$ -	$ -	$ -	0.0%
City Clerk	336,480	336,480	297,686	(38,794)	-11.5%
City Planning	11,156,719	11,156,719	11,972,954	816,235	7.3%
Citywide Program Expenditures	-	-	-	-	0.0%
Commission on Police Practices	28,775	28,775	10,301	(18,474)	-64.2%
Communications	626,062	626,062	766,435	140,373	22.4%
Compliance	2,339,397	2,339,397	2,760,980	421,583	18.0%
Council Administration	31,294	31,294	8,179	(23,115)	-73.9%
Council District 1	53,955	53,955	9,637	(44,318)	-82.1%
Council District 1 - Community Projects, Programs and Services	-	-	-	-	0.0%
Council District 2	31,294	31,294	-	(31,294)	-100.0%
Council District 2 - Community Projects, Programs, and Services	-	-	-	-	0.0%
Council District 3	50,688	50,688	32,185	(18,503)	-36.5%
Council District 3 - Community Projects, Programs, and Services	-	-	-	-	0.0%
Council District 4	53,954	53,954	19,425	(34,529)	-64.0%
Council District 4 - Community Projects, Programs, and Services	-	-	-	-	0.0%
Council District 5	53,756	53,756	24,621	(29,135)	-54.2%
Council District 5 - Community Projects, Programs, and Services	-	-	-	-	0.0%
Council District 6	134,886	134,886	64,764	(70,122)	-52.0%
Council District 6 - Community Projects, Programs, and Services	-	-	-	-	0.0%
Council District 7	53,955	53,955	18,243	(35,712)	-66.2%
Council District 7 - Community Projects, Programs, and Services	-	-	-	-	0.0%
Council District 8	86,611	86,611	51,598	(35,013)	-40.4%
Council District 8 - Community Projects, Programs, and Services	-	-	-	-	0.0%
Council District 9	78,056	78,056	109,762	31,706	40.6%
Council District 9 - Community Projects, Programs, and Services	-	-	-	-	0.0%
Department of Finance	1,748,420	1,748,420	1,674,699	(73,721)	-4.2%
Department of Information Technology	-	-	-	-	0.0%
Development Services	1,625,065	1,625,065	1,453,404	(171,661)	-10.6%

General Fund Projected Revenues

Department[1]	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Economic Development	$ 82,578,333	$ 82,578,333	$ 75,757,087	$ (6,821,246)	-8.3%
Environmental Services	4,228,217	4,228,217	10,479,994	6,251,777	147.9%
Ethics Commission	-	-	11,360	11,360	100.0%
Fire-Rescue	77,712,022	77,712,022	82,494,037	4,782,015	6.2%
General Services	4,571,718	4,571,718	5,640,976	1,069,258	23.4%
Government Affairs	-	-	-	-	0.0%
Homelessness Strategies & Solutions	53,189,289	53,189,289	51,225,799	(1,963,490)	-3.7%
Human Resources	875,962	875,962	1,332,074	456,112	52.1%
Library	3,581,274	3,581,274	3,678,155	96,881	2.7%
Office of Boards and Commissions	-	-	-	-	0.0%
Office of Emergency Services	1,353,277	1,353,277	1,548,475	195,198	14.4%
Office of Race & Equity	-	-	-	-	0.0%
Office of the Chief Operating Officer	-	-	-	-	0.0%
Office of the City Attorney	9,350,965	9,350,965	9,894,857	543,892	5.8%
Office of the City Treasurer	45,937,578	45,937,578	43,899,072	(2,038,506)	-4.4%
Office of the Independent Budget Analyst	-	-	(146)	(146)	100.0%
Office of the Mayor	160,316	160,316	286,099	125,783	78.5%
Parks and Recreation	68,838,729	68,838,729	60,846,356	(7,992,373)	-11.6%
Performance and Analytics	229,121	229,121	313,554	84,433	36.9%
Personnel	31,878	31,878	3,504	(28,374)	-89.0%
Police	73,585,756	73,585,756	76,182,692	2,596,936	3.5%
Public Utilities	1,845,186	1,845,186	1,633,375	(211,811)	-11.5%
Purchasing and Contracting	704,155	704,155	1,299,650	595,495	84.6%
Sustainability & Mobility	-	-	-	-	0.0%
Stormwater	21,624,282	21,624,282	17,448,838	(4,175,444)	-19.3%
Transportation	86,004,477	89,704,477	91,661,839	1,957,362	2.2%
Subtotal Departmental General Fund Revenues	*$ 554,891,902*	*$ 558,591,902*	*$ 554,912,520*	*$ (3,679,382)*	*-0.7%*
Total General Fund Revenues	**$ 2,167,433,989**	**$ 2,171,133,989**	**$ 2,160,596,405**	**$ (10,537,584)**	**-0.5%**

The current budget presented in this table is as of March 2026 (accounting period 9) unless otherwise noted.

[1] The Fiscal Year 2026 Adopted Budget included several reorganizations and restructures. The accounting structure changes were approved as part of the FY 2026 budget development process.

[2] Total City FY 2026 Adopted Budget for franchise fees revenue is $219.7 million and the projection is $232.5 million. The balance is budgeted in the Environmental Growth and Underground Surcharge Funds.

[3] Total City FY 2026 Adopted Budget for transient occupancy tax is $323.6 million and the projection is $316.1 million. The balance is budgeted in the Transient Occupancy Tax Fund.

General Fund Projected Expenditures

Department[1]	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
City Auditor	$ 5,889,357	$ 5,889,357	$ 5,686,911	$ 202,446	3.4%
City Clerk	8,224,639	8,224,639	8,280,546	(55,907)	-0.7%
City Planning	22,236,146	22,236,146	21,479,394	756,752	3.4%
Citywide Program Expenditures	184,241,897	175,973,505	159,260,898	16,712,607	9.5%
Commission on Police Practices	2,219,128	2,219,128	1,868,250	350,878	15.8%
Communications	7,222,198	7,222,198	7,460,140	(237,942)	-3.3%
Compliance	6,935,060	6,935,060	6,310,446	624,614	9.0%
Council Administration	2,809,353	2,809,353	2,453,674	355,679	12.7%
Council District 1	2,169,526	2,173,347	1,787,636	385,711	17.7%
Council District 1 - Community Projects, Programs and Services	100,000	95,724	95,724	-	0.0%
Council District 2	2,410,741	2,410,741	2,223,711	187,030	7.8%
Council District 2 - Community Projects, Programs and Services	100,000	90,310	90,310	-	0.0%
Council District 3	2,278,088	2,278,088	2,134,244	143,844	6.3%
Council District 3 - Community Projects, Programs and Services	100,000	100,000	100,000	-	0.0%
Council District 4	2,186,765	2,185,115	2,635,475	(450,360)	-20.6%
Council District 4 - Community Projects, Programs and Services	100,000	100,000	100,000	-	0.0%
Council District 5	2,460,126	2,460,126	1,971,077	489,049	19.9%
Council District 5 - Community Projects, Programs and Services	100,000	100,000	100,000	-	0.0%
Council District 6	2,167,138	2,167,138	2,014,899	152,239	7.0%
Council District 6 - Community Projects, Programs and Services	100,000	100,000	100,000	-	0.0%
Council District 7	2,273,534	2,273,534	1,937,289	336,245	14.8%
Council District 7 - Community Projects, Programs and Services	100,000	100,000	100,000	-	0.0%
Council District 8	2,272,709	2,276,709	1,992,363	284,346	12.5%
Council District 8 - Community Projects, Programs and Services	100,000	96,000	96,000	-	0.0%
Council District 9	2,080,027	2,080,027	1,912,066	167,961	8.1%
Council District 9 - Community Projects, Programs and Services	100,000	65,000	65,000	-	0.0%
Department of Finance	30,499,554	30,499,554	30,705,308	(205,754)	-0.7%
Department of Information Technology	3,555,982	3,555,982	3,438,020	117,962	3.3%
Development Services	12,557,937	12,557,937	12,870,130	(312,193)	-2.5%
Economic Development	23,928,094	24,766,094	24,588,528	177,566	0.7%
Environmental Services	32,339,470	32,339,470	31,458,328	881,142	2.7%
Ethics Commission	2,052,579	2,052,579	1,805,547	247,032	12.0%
Fire-Rescue	378,311,525	377,791,607	390,899,614	(13,108,007)	-3.5%
General Services	29,128,611	29,128,611	29,666,414	(537,803)	-1.8%
Government Affairs	-	-	-	-	0.0%
Homelessness Strategies & Solutions	53,821,132	53,821,132	51,236,991	2,584,141	4.8%
Human Resources	10,824,249	10,824,249	10,491,446	332,803	3.1%
Library	76,655,568	76,655,568	77,089,738	(434,170)	-0.6%
Office of Boards and Commissions	-	-	-	-	0.0%
Office of Emergency Services	4,367,881	4,367,881	4,158,411	209,470	4.8%
Office of Race & Equity	-	-	-	-	0.0%
Office of the Chief Operating Officer	-	-	-	-	0.0%
Office of the City Attorney	95,815,935	95,815,935	96,038,485	(222,550)	-0.2%
Office of the City Treasurer	22,550,210	22,550,210	21,270,220	1,279,990	5.7%
Office of the Independent Budget Analyst	4,651,781	4,651,781	4,547,886	103,895	2.2%
Office of the Mayor	10,324,343	10,324,343	9,924,523	399,820	3.9%
Parks and Recreation	188,754,308	191,828,308	197,043,009	(5,214,701)	-2.7%

General Fund Projected Expenditures

Department[1]	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Performance and Analytics	$ 4,703,288	$ 4,703,288	$ 4,568,644	$ 134,644	2.9%
Personnel	16,475,407	16,475,407	16,971,769	(496,362)	-3.0%
Police	703,515,478	706,382,933	707,253,203	(870,270)	-0.1%
Public Utilities	3,125,836	3,125,836	2,755,359	370,477	11.9%
Purchasing and Contracting	12,523,202	12,523,202	12,093,133	430,069	3.4%
Sustainability & Mobility	-	-	(0)	0	100.0%
Stormwater	64,786,747	65,437,747	64,212,242	1,225,505	1.9%
Transportation	121,188,440	126,293,090	129,757,798	(3,464,708)	-2.7%
Historical Savings Adjustments[2]	-	-	(8,190,163)	8,190,163	100.0%
Total General Fund Expenditures	**$ 2,167,433,989**	**$ 2,171,133,989**	**$ 2,158,910,634**	**$ 12,223,355**	**0.6%**

The current budget presented in this table is as of March 2026 (accounting period 9) unless otherwise noted.

[1] The Fiscal Year 2026 Adopted Budget included several reorganizations and restructures. The accounting structure changes were approved as part of the FY 2026 budget development process.

[2] Includes historical savings adjustments totaling $8.2 million based on factors that may contribute to the difference between departmental projections and year-end actuals, including recently implemented mitigation actions.

Non-General Fund Projections

Fund	Revenue/ Expenditures	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Airports Fund	Revenue	$ 8,892,740	$ 8,892,740	$ 9,085,297	$ 192,557	2.2%
	Expenditures	10,891,835	12,146,835	11,717,652	429,183	3.5%
Central Stores Fund	Revenue	11,236,451	11,236,451	10,938,077	(298,374)	-2.7%
	Expenditures	11,403,746	11,403,746	11,670,177	(266,431)	-2.3%
Concourse and Parking Garages Operating Fund	Revenue	2,986,732	2,986,732	1,813,561	(1,173,171)	-39.3%
	Expenditures	3,785,121	3,785,121	3,663,857	121,264	3.2%
Department of Information Technology Fund	Revenue	83,814,797	83,814,797	79,361,673	(4,453,125)	-5.3%
	Expenditures	84,684,741	84,684,741	82,689,322	1,995,419	2.4%
Development Services Fund	Revenue	144,085,274	144,085,274	162,818,652	18,733,378	13.0%
	Expenditures	144,014,897	144,014,897	150,406,223	(6,391,326)	-4.4%
Energy Conservation Program Fund	Revenue	6,208,947	6,208,947	6,128,808	(80,139)	-1.3%
	Expenditures	7,313,779	7,313,779	7,022,757	291,022	4.0%
Engineering and Capital Projects Fund	Revenue	167,180,209	167,180,209	186,966,702	19,786,493	11.8%
	Expenditures	179,070,372	180,303,372	177,963,726	2,339,646	1.3%
Facilities Financing Fund	Revenue	-	-	(0)	(0)	100.0%
	Expenditures	-	-	(0)	0	100.0%
Fire/EMS Transportation Program Fund	Revenue	131,810,011	131,810,011	140,898,500	9,088,489	6.9%
	Expenditures	137,232,995	137,232,995	141,467,114	(4,234,119)	-3.1%
Fleet Operating Fund	Revenue	70,001,821	70,001,821	73,506,484	3,504,663	5.0%
	Expenditures	70,144,502	70,144,502	71,161,911	(1,017,409)	-1.5%
GIS Fund	Revenue	5,452,748	5,452,748	5,350,741	(102,007)	-1.9%
	Expenditures	6,720,010	6,720,010	6,176,889	543,121	8.1%
Golf Course Fund	Revenue	30,889,347	30,889,347	42,325,739	11,436,392	37.0%
	Expenditures	31,039,009	31,039,009	32,046,557	(1,007,548)	-3.2%
Junior Lifeguard Program Fund	Revenue	1,193,420	1,193,420	1,283,188	89,768	7.5%
	Expenditures	1,025,276	1,025,276	1,127,253	(101,977)	-9.9%
Local Enforcement Agency Fund	Revenue	1,067,227	1,067,227	1,084,617	17,390	1.6%
	Expenditures	1,189,427	1,189,427	1,016,505	172,922	14.5%
Los Peñasquitos Canyon Preserve Fund	Revenue	36,000	36,000	32,964	(3,036)	-8.4%
	Expenditures	15,125	15,125	7,549	7,576	50.1%
OneSD Support Fund	Revenue	27,955,462	27,955,462	28,368,526	413,064	1.5%
	Expenditures	30,954,538	30,954,538	29,614,655	1,339,883	4.3%
Parking Meter Operations Fund	Revenue	28,040,000	28,040,000	21,647,629	(6,392,371)	-22.8%
	Expenditures	28,722,645	28,722,645	22,330,274	6,392,371	22.3%
Petco Park Fund	Revenue	18,495,036	18,495,036	19,122,299	627,263	3.4%
	Expenditures	19,461,510	19,461,510	19,891,579	(430,069)	-2.2%
Publishing Services Fund	Revenue	1,947,049	1,947,049	804,723	(1,142,326)	-58.7%
	Expenditures	2,132,055	2,132,055	1,724,725	407,330	19.1%

Non-General Fund Projections

Fund	Revenue/ Expenditures	Adopted Budget	Current Budget	Year-End Projection	Variance	Variance %
Recycling Fund	Revenue	$ 25,414,856	$ 25,414,856	$ 30,559,437	$ 5,144,581	20.2%
	Expenditures	30,728,076	30,728,076	31,268,307	(540,231)	-1.8%
Refuse Disposal Fund	Revenue	72,751,556	72,751,556	77,345,465	4,593,909	6.3%
	Expenditures	55,964,803	55,964,803	47,720,839	8,243,964	14.7%
Risk Management Administration Fund	Revenue	20,444,952	20,444,952	19,061,087	(1,383,865)	-6.8%
	Expenditures	20,433,736	20,433,736	19,507,451	926,285	4.5%
Seized Assets - Federal DOJ Fund	Revenue	-	-	1,286,117	1,286,117	100.0%
	Expenditures	1,423,548	1,423,548	1,239,688	183,860	12.9%
Seized Assets - California Fund	Revenue	-	-	227,593	227,593	100.0%
	Expenditures	803,848	803,848	312,802	491,046	61.1%
Seized Asset Fund - Federal Treasury Fund	Revenue	-	-	1,183	1,183	100.0%
	Expenditures	30,000	30,000	29,068	932	3.1%
Sewer Utility Funds[1]	Revenue	639,210,654	639,210,654	783,223,810	144,013,156	22.5%
	Expenditures	470,720,775	470,720,775	452,905,714	17,815,061	3.8%
Solid Waste Management Fund	Revenue	148,438,551	148,438,551	136,372,921	(12,065,630)	-8.1%
	Expenditures	139,380,756	139,380,756	133,439,591	5,941,165	4.3%
State COPS	Revenue	3,400,000	3,400,000	3,706,848	306,848	9.0%
	Expenditures	6,142,672	6,142,672	6,142,671	1	0.0%
Transient Occupancy Tax Fund						
Cultural Affairs	Revenue	-	-	17,202	17,202	100.0%
Special Events & Filming	Revenue	164,023	164,023	203,306	39,283	23.9%
Major Revenues	Revenue	-	-	10,638	10,638	100.0%
Special Promotional Programs	Revenue	153,389,208	153,389,208	149,799,640	(3,589,568)	-2.3%
Total Transient Occupancy Tax Fund Revenue		$ 153,553,231	$ 153,553,231	$ 150,030,786	$ (3,522,445)	-2.3%
Cultural Affairs	Expenditures	13,852,759	13,852,759	13,815,390	37,369	0.3%
Special Events & Filming	Expenditures	1,507,575	1,507,575	1,680,987	(173,412)	-11.5%
Major Revenues	Expenditures	-	-	-	-	0.0%
Special Promotional Programs	Expenditures	140,036,931	140,036,931	137,746,308	2,290,623	1.6%
Total Transient Occupancy Tax Fund Expenditures		$ 155,397,265	$ 155,397,265	$ 153,242,686	$ 2,154,579	
Underground Surcharge Fund	Revenue	90,001,567	90,001,567	111,381,489	21,379,922	23.8%
	Expenditures	79,994,908	79,994,908	58,042,252	21,952,656	27.4%
Water Utility Operating Fund[1]	Revenue	958,479,293	958,479,293	1,054,899,292	96,419,999	10.1%
	Expenditures	847,768,484	847,768,484	787,571,327	60,197,157	7.1%
Wireless Communications Technology Fund	Revenue	12,125,011	12,125,011	12,073,231	(51,780)	0.0%
	Expenditures	12,581,265	12,581,265	12,550,297	30,968	0.3%

The current budget presented in this table is as of March 2025 (accounting period 9) unless otherwise noted. Capital Improvements Program expenditure budgets are excluded.

[1] Revenues in the Sewer Utility and Water Utility Operating Funds support both Operating and Capital Improvements Program (CIP) activity; however, only operating expenditures are reflected in this report.

Fiscal Year 2026 Third Quarter Budget Monitoring Report - Vacancy Status Report

(Vacant, Budgeted Standard-Hour Positions as of April 30, 2026)

Department Name	Fund Number	Fund Name	Job Classification	FTE
City Attorney	100000	General Fund	Administrative Aide 2	1.00
City Attorney	100000	General Fund	Assistant City Attorney	1.00
City Attorney	100000	General Fund	Assistant Management Analyst	1.00
City Attorney	100000	General Fund	Clerical Assistant 1	1.00
City Attorney	100000	General Fund	Clerical Assistant 2	2.00
City Attorney	100000	General Fund	Court Support Clerk 1	5.00
City Attorney	100000	General Fund	Court Support Clerk 2	3.00
City Attorney	100000	General Fund	Court Support Clerk Supervisor	3.00
City Attorney	100000	General Fund	Deputy City Attorney	12.00
City Attorney	100000	General Fund	Deputy City Attorney - Unrepresented	1.00
City Attorney	100000	General Fund	Executive Assistant	1.00
City Attorney	100000	General Fund	Legal Secretary 2	1.00
City Attorney	100000	General Fund	Office Support Specialist	2.00
City Attorney	100000	General Fund	Principal Legal Secretary	1.00
City Attorney	100000	General Fund	Senior City Attorney Investigator	1.00
City Attorney	100000	General Fund	Senior Legal Secretary	1.00
City Attorney	100000	General Fund	Senior Management Analyst	1.00
City Attorney	100000	General Fund	Senior Victim Services Coordinator	1.00
City Attorney	100000	General Fund	Victim Services Coordinator	1.00
City Attorney Total				**40.00**
City Clerk	100000	General Fund	Administrative Aide 2	2.00
City Clerk	100000	General Fund	Legislative Recorder 2	1.00
City Clerk	100000	General Fund	Payroll Specialist 1	1.00
City Clerk Total				**4.00**
City Planning	100000	General Fund	Account Clerk	1.00
City Planning	100000	General Fund	Associate Planner	3.00
City Planning	100000	General Fund	Geographic Info Systems Analyst 4	1.00
City Planning	100000	General Fund	Program Manager	2.00
City Planning	100000	General Fund	Senior Planner	2.00
City Planning	100000	General Fund	Senior Traffic Engineer	1.00
City Planning Total				**10.00**
City Treasurer	100000	General Fund	Account Clerk	1.00
City Treasurer	100000	General Fund	Accountant 2	5.00
City Treasurer	100000	General Fund	Accountant 4	2.00
City Treasurer	100000	General Fund	Accountant Trainee	1.00
City Treasurer	100000	General Fund	Administrative Aide 2	1.00
City Treasurer	100000	General Fund	Associate Management Analyst	1.00
City Treasurer	100000	General Fund	Collections Investigator 1	3.00
City Treasurer	100000	General Fund	Collections Investigator 2	1.00
City Treasurer	100000	General Fund	Collections Investigator Supervisor	1.00
City Treasurer	100000	General Fund	Collections Investigator Trainee	1.00
City Treasurer	100000	General Fund	Public Information Clerk	2.00
City Treasurer	200712	Parking Meter Operations Fund	Laborer	2.00
City Treasurer	200712	Parking Meter Operations Fund	Parking Meter Technician	1.00
City Treasurer Total				**22.00**
Commission on Police Practices	100000	General Fund	General Counsel	1.00
Commission on Police Practices	100000	General Fund	Program Coordinator	1.00
Commission on Police Practices	100000	General Fund	Program Manager	1.00
Commission on Police Practices Total				**3.00**
Communications	100000	General Fund	Multimedia Production Coordinator	1.00
Communications Total				**1.00**
Compliance	100000	General Fund	Administrative Aide 1	1.00
Compliance	100000	General Fund	Department Director	1.00
Compliance	100000	General Fund	Program Manager	1.00
Compliance	100000	General Fund	Supervising Compliance Officer	1.00
Compliance Total				**4.00**
Council Administration	100000	General Fund	Council Representative 1	1.00
Council Administration	100000	General Fund	Program Manager	1.00
Council Administration Total				**2.00**
Council District 1	100000	General Fund	Council Representative 1	2.00
Council District 1	100000	General Fund	Council Representative 2A	3.00
Council District 1 Total				**5.00**
Council District 2	100000	General Fund	Council Representative 1	5.00
Council District 2 Total				**5.00**
Council District 3	100000	General Fund	Council Representative 1	3.00
Council District 3	100000	General Fund	Council Representative 2A	1.00
Council District 3 Total				**4.00**
Council District 4	100000	General Fund	Council Representative 1	6.00
Council District 4 Total				**6.00**
Council District 5	100000	General Fund	Council Representative 1	6.00
Council District 5 Total				**6.00**
Council District 6	100000	General Fund	Council Representative 1	5.00
Council District 6 Total				**5.00**
Council District 7	100000	General Fund	Council Representative 1	4.00
Council District 7	100000	General Fund	Council Representative 2A	1.00
Council District 7 Total				**5.00**
Council District 8	100000	General Fund	Council Representative 1	5.00
Council District 8 Total				**5.00**
Council District 9	100000	General Fund	Council Representative 1	5.00
Council District 9 Total				**5.00**
Department of Finance	100000	General Fund	Account Audit Clerk	1.00
Department of Finance	100000	General Fund	Administrative Aide 2	1.00
Department of Finance	100000	General Fund	Assistant Department Director	1.00
Department of Finance	100000	General Fund	Finance Analyst 2	1.00
Department of Finance	100000	General Fund	Finance Analyst 3	1.00
Department of Finance	100000	General Fund	Financial Operations Manager	1.00
Department of Finance	100000	General Fund	Principal Accountant	2.00
Department of Finance Total				**8.00**
Development Services	100000	General Fund	Administrative Aide 1	1.00
Development Services	100000	General Fund	Combination Inspector 1	1.00
Development Services	100000	General Fund	Public Information Clerk	1.00
Development Services	700036	Development Services Fund	Accountant 4	1.00
Development Services	700036	Development Services Fund	Administrative Aide 1	1.00
Development Services	700036	Development Services Fund	Assistant Engineer-Civil	1.00
Development Services	700036	Development Services Fund	Assistant Planner	1.00
Development Services	700036	Development Services Fund	Associate Engineer-Fire Protection	1.00
Development Services	700036	Development Services Fund	Associate Engineer-Mechanical	1.00
Development Services	700036	Development Services Fund	Associate Engineer-Traffic	1.00
Development Services	700036	Development Services Fund	Combination Inspector 1	1.00
Development Services	700036	Development Services Fund	Information Systems Administrator	1.00
Development Services	700036	Development Services Fund	Land Surveying Associate	2.00
Development Services	700036	Development Services Fund	Program Manager	2.00

Fiscal Year 2026 Third Quarter Budget Monitoring Report - Vacancy Status Report

(Vacant, Budgeted Standard-Hour Positions as of April 30, 2026)

Department Name	Fund Number	Fund Name	Job Classification	FTE
Development Services	700036	Development Services Fund	Public Information Clerk	1.00
Development Services	700036	Development Services Fund	Supervising Development Project Manager	1.00
Development Services Total				**18.00**
Economic Development	100000	General Fund	Account Clerk	1.00
Economic Development	100000	General Fund	Administrative Aide 1	2.00
Economic Development	100000	General Fund	Associate Property Agent	1.00
Economic Development	100000	General Fund	Community Development Coordinator	1.00
Economic Development	100000	General Fund	Community Development Specialist 3	1.00
Economic Development	100000	General Fund	Community Development Specialist 4	2.00
Economic Development	100000	General Fund	Program Manager	1.00
Economic Development	100000	General Fund	Property Agent	1.00
Economic Development	100000	General Fund	Public Information Clerk	1.00
Economic Development	100000	General Fund	Supervising Management Analyst	1.00
Economic Development	700033	Airports Enterprise Fund	Account Clerk	1.00
Economic Development	700033	Airports Enterprise Fund	Airport Operations Assistant	1.00
Economic Development	700033	Airports Enterprise Fund	Property Agent	1.00
Economic Development	200205	Transient Occupancy Tax Fund	Program Manager	1.00
Economic Development Total				**16.00**
Emergency Medical Services	200227	EMS/MTS Fund	Fire Fighter 2	5.00
Emergency Medical Services	200227	EMS/MTS Fund	Paramedic 2	1.00
Emergency Medical Services Total				**6.00**
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Administrative Aide 2	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Assistant Department Director	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Assistant Deputy Director	3.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Assistant Engineer-Civil	10.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Assistant Engineer-Electrical	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Assistant Management Analyst	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Associate Engineer-Civil	5.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Associate Engineer-Electrical	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Associate Engineer-Traffic	2.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Associate Management Analyst	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Associate Planner	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Information Systems Analyst 2	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Land Surveying Assistant	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Land Surveying Associate	2.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Principal Engineering Aide	2.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Principal Survey Aide	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Project Assistant	3.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Project Officer 2	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Safety and Training Manager	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Senior Civil Engineer	1.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Senior Management Analyst	2.00
Engineering & Capital Projects	720057	Engineering & Capital Projects Fund	Supervising Management Analyst	1.00
Engineering & Capital Projects Total				**43.00**
Environmental Services	100000	General Fund	Code Compliance Officer	3.00
Environmental Services	100000	General Fund	Heavy Truck Driver 1	2.00
Environmental Services	100000	General Fund	Information Systems Analyst 2	0.22
Environmental Services	100000	General Fund	Senior Civil Engineer	0.10
Environmental Services	100000	General Fund	Senior Code Compliance Supervisor	1.00
Environmental Services	100000	General Fund	Utility Worker 2	4.00
Environmental Services		**General Fund Total**		**10.32**
Environmental Services	700039	Refuse Disposal Enterprise Fund	Administrative Aide 1	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Assistant Engineer-Civil	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Assistant Engineer-Electrical	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Associate Engineer-Civil	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Associate Engineer-Mechanical	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Disposal Site Representative	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Disposal Site Supervisor	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Equipment Operator 2	8.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Equipment Technician 2	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Equipment Technician 3	1.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Information Systems Analyst 2	0.25
Environmental Services	700039	Refuse Disposal Enterprise Fund	Laborer	8.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Landfill Equipment Operator	5.00
Environmental Services	700039	Refuse Disposal Enterprise Fund	Senior Civil Engineer	1.90
Environmental Services		**Refuse Disposal Enterprise Fund Total**		**32.15**
Environmental Services	700048	Recycling Enterprise Fund	Associate Management Analyst	1.00
Environmental Services	700048	Recycling Enterprise Fund	Hazardous Materials Inspector 3	1.00
Environmental Services	700048	Recycling Enterprise Fund	Information Systems Analyst 2	0.06
Environmental Services	700048	Recycling Enterprise Fund	Recycling Specialist 2	3.00
Environmental Services	700048	Recycling Enterprise Fund	Supervising Recycling Specialist	1.00
Environmental Services		**Recycling Enterprise Fund Total**		**6.06**
Environmental Services	700123	Solid Waste Management Fund	Area Refuse Collection Supervisor	5.00
Environmental Services	700123	Solid Waste Management Fund	Assistant Engineer-Mechanical	1.00
Environmental Services	700123	Solid Waste Management Fund	Associate Management Analyst	1.00
Environmental Services	700123	Solid Waste Management Fund	Code Compliance Supervisor	1.00
Environmental Services	700123	Solid Waste Management Fund	Geographic Info Systems Analyst 2	2.00
Environmental Services	700123	Solid Waste Management Fund	Geographic Info Systems Analyst 4	1.00
Environmental Services	700123	Solid Waste Management Fund	Information Systems Analyst 2	0.47
Environmental Services	700123	Solid Waste Management Fund	Payroll Supervisor	1.00
Environmental Services	700123	Solid Waste Management Fund	Program Coordinator	1.00
Environmental Services	700123	Solid Waste Management Fund	Sanitation Driver 2	2.00
Environmental Services	700123	Solid Waste Management Fund	Sanitation Driver 3	4.00
Environmental Services	700123	Solid Waste Management Fund	Sanitation Driver Trainee	2.00
Environmental Services	700123	Solid Waste Management Fund	Senior Public Information Officer	1.00
Environmental Services		**Solid Waste Management Fund Total**		**22.47**
Environmental Services Total				**71.00**
Fire-Rescue	100000	General Fund	Dispatcher 1	2.00
Fire-Rescue	100000	General Fund	Fire Battalion Chief	2.00
Fire-Rescue	100000	General Fund	Fire Captain	24.00
Fire-Rescue	100000	General Fund	Fire Dispatch Supervisor	1.00
Fire-Rescue	100000	General Fund	Fire Engineer	19.00
Fire-Rescue	100000	General Fund	Fire Fighter 1	2.00
Fire-Rescue	100000	General Fund	Fire Fighter 2	20.00
Fire-Rescue	100000	General Fund	Fire Fighter 3	17.00
Fire-Rescue	100000	General Fund	Fire Lead Dispatcher	1.00
Fire-Rescue	100000	General Fund	Helicopter Mechanic	1.00
Fire-Rescue	100000	General Fund	Information Systems Analyst 2	1.00
Fire-Rescue	100000	General Fund	Lifeguard 2	4.00
Fire-Rescue	100000	General Fund	Senior Account Clerk	1.00
Fire-Rescue	100000	General Fund	Senior Code Compliance Supervisor	1.00
Fire-Rescue Total				**96.00**

Fiscal Year 2026 Third Quarter Budget Monitoring Report - Vacancy Status Report

(Vacant, Budgeted Standard-Hour Positions as of April 30, 2026)

Department Name	Fund Number	Fund Name	Job Classification	FTE
General Services	100000	General Fund	Account Clerk	1.00
General Services	100000	General Fund	Assistant Department Director	1.00
General Services	100000	General Fund	Building Maintenance Supervisor	1.00
General Services	100000	General Fund	Building Service Technician	6.00
General Services	100000	General Fund	Building Supervisor	1.00
General Services	100000	General Fund	Carpenter	1.00
General Services	100000	General Fund	Carpenter Supervisor	1.00
General Services	100000	General Fund	Construction Estimator	1.00
General Services	100000	General Fund	Custodian 1	0.50
General Services	100000	General Fund	Electrician	1.00
General Services	100000	General Fund	Heating, Ventilation, and Air Conditioning Supervisor	1.00
General Services	100000	General Fund	Painter	2.00
General Services	100000	General Fund	Plasterer	1.00
General Services	100000	General Fund	Plumber Supervisor	1.00
General Services	100000	General Fund	Project Officer 2	1.00
General Services	200224	Energy Conservation Program Fund	Program Coordinator	1.00
General Services	720000	Fleet Operations Operating Fund	Apprentice 2-Fleet Technician	1.00
General Services	720000	Fleet Operations Operating Fund	Assistant Fleet Technician	4.00
General Services	720000	Fleet Operations Operating Fund	Auto Parts Stock Clerk	1.00
General Services	720000	Fleet Operations Operating Fund	Equipment Trainer	1.00
General Services	720000	Fleet Operations Operating Fund	Fleet Parts Buyer	1.00
General Services	720000	Fleet Operations Operating Fund	Fleet Repair Supervisor	1.00
General Services	720000	Fleet Operations Operating Fund	Fleet Team Leader	1.00
General Services	720000	Fleet Operations Operating Fund	Fleet Technician	11.00
General Services	720000	Fleet Operations Operating Fund	Machinist	1.00
General Services	720000	Fleet Operations Operating Fund	Master Fleet Technician	4.00
General Services	720000	Fleet Operations Operating Fund	Metal Fabrication Supervisor	1.00
General Services	720000	Fleet Operations Operating Fund	Senior Management Analyst	2.00
General Services	720000	Fleet Operations Operating Fund	Supervising Management Analyst	1.00
General Services	720000	Fleet Operations Operating Fund	Welder	2.00
General Services Total				**53.50**
Human Resources	100000	General Fund	Administrative Aide 2	1.00
Human Resources	100000	General Fund	Deputy Director	1.00
Human Resources	100000	General Fund	Program Coordinator	1.00
Human Resources Total				**3.00**
Information Technology	200308	Department Of Information Technology Fund	Assistant Department Director	1.00
Information Technology	200308	Department Of Information Technology Fund	Information Systems Analyst 3	1.00
Information Technology	200308	Department Of Information Technology Fund	Program Manager	2.00
Information Technology	200448	GIS Fund	Geographic Info Systems Analyst 2	2.00
Information Technology	200448	GIS Fund	Geographic Info Systems Analyst 3	2.00
Information Technology	200448	GIS Fund	Geographic Info Systems Analyst 4	1.00
Information Technology	200448	GIS Fund	Information Systems Technician	1.00
Information Technology	200448	GIS Fund	Program Coordinator	1.00
Information Technology	200610	SAP Support Fund	Program Manager	2.00
Information Technology	200611	Wireless Communications Technology Fund	Associate Communications Engineer	1.00
Information Technology	200611	Wireless Communications Technology Fund	Senior Communications Technician	1.00
Information Technology Total				**15.00**
Library	100000	General Fund	Account Clerk	1.00
Library	100000	General Fund	Assistant Management Analyst	1.00
Library	100000	General Fund	Librarian 2	7.00
Library	100000	General Fund	Librarian 3	1.00
Library	100000	General Fund	Librarian 4	2.00
Library	100000	General Fund	Library Assistant I	12.50
Library	100000	General Fund	Library Assistant II	16.00
Library	100000	General Fund	Library Assistant III	2.50
Library	100000	General Fund	Library Technician	2.00
Library	100000	General Fund	Literacy Tutor/Learner Coordinator	0.50
Library	100000	General Fund	Program Manager	1.00
Library Total				**46.50**
Office of Emergency Services	100000	General Fund	Program Coordinator	1.00
Office of Emergency Services Total				**1.00**
Office of the City Auditor	100000	General Fund	Assistant to the Director	1.00
Office of the City Auditor	100000	General Fund	Performance Auditor	2.00
Office of the City Auditor Total				**3.00**
Office of the Mayor	100000	General Fund	Program Manager	1.00
Office of the Mayor Total				**1.00**
Parks & Recreation	100000	General Fund	Aquatics Recreation Specialist	1.00
Parks & Recreation	100000	General Fund	Aquatics Technician Supervisor	1.00
Parks & Recreation	100000	General Fund	Area Manager 2	2.00
Parks & Recreation	100000	General Fund	Associate Management Analyst	1.00
Parks & Recreation	100000	General Fund	Associate Planner	1.00
Parks & Recreation	100000	General Fund	Carpenter	1.00
Parks & Recreation	100000	General Fund	Custodian 2	1.00
Parks & Recreation	100000	General Fund	Custodian 3	1.00
Parks & Recreation	100000	General Fund	Equipment Operator 1	2.00
Parks & Recreation	100000	General Fund	Equipment Technician 2	1.00
Parks & Recreation	100000	General Fund	Grounds Maintenance Supervisor	3.00
Parks & Recreation	100000	General Fund	Grounds Maintenance Worker 1	1.00
Parks & Recreation	100000	General Fund	Grounds Maintenance Worker 2	11.00
Parks & Recreation	100000	General Fund	Grounds Maintenance Worker 3	2.00
Parks & Recreation	100000	General Fund	Heavy Truck Driver 1	1.00
Parks & Recreation	100000	General Fund	Park Ranger	10.00
Parks & Recreation	100000	General Fund	Pesticide Applicator	1.00
Parks & Recreation	100000	General Fund	Pool Guard 2	17.00
Parks & Recreation	100000	General Fund	Public Information Clerk	1.00
Parks & Recreation	100000	General Fund	Recreation Center Director 1	1.00
Parks & Recreation	100000	General Fund	Recreation Center Director 2	1.00
Parks & Recreation	100000	General Fund	Recreation Center Director 3	2.00
Parks & Recreation	100000	General Fund	Recreation Leader 1	7.50
Parks & Recreation	100000	General Fund	Recreation Leader 2	10.50
Parks & Recreation	100000	General Fund	Recreation Specialist	1.00
Parks & Recreation	100000	General Fund	Senior Management Analyst	1.00
Parks & Recreation	100000	General Fund	Seven-Gang Mower Operator	1.00
Parks & Recreation	100000	General Fund	Supervising Aquatic Recreation Specialist	1.00
Parks & Recreation	100000	General Fund	Swimming Pool Manager 1	4.00
Parks & Recreation	100000	General Fund	Swimming Pool Manager 3	1.00
Parks & Recreation	100000	General Fund	Utility Worker 2	1.00
Parks & Recreation	200023	Maintenance Assessesment District Fund	Grounds Maintenance Manager	1.00
Parks & Recreation	700043	Golf Course Enterprise Fund	Golf Course Greenskeeper	2.00
Parks & Recreation	700043	Golf Course Enterprise Fund	Grounds Maintenance Worker 1	1.00
Parks & Recreation	700043	Golf Course Enterprise Fund	Light Equipment Operator	1.00
Parks & Recreation Total				**96.00**

Fiscal Year 2026 Third Quarter Budget Monitoring Report - Vacancy Status Report

(Vacant, Budgeted Standard-Hour Positions as of April 30, 2026)

Department Name	Fund Number	Fund Name	Job Classification	FTE
Performance & Analytics	100000	General Fund	Program Coordinator	1.00
Performance & Analytics	100000	General Fund	Program Manager	1.00
Performance & Analytics Total				**2.00**
Personnel	100000	General Fund	Office Support Specialist	1.00
Personnel Total				**1.00**
Police	100000	General Fund	Account Audit Clerk	1.00
Police	100000	General Fund	Account Clerk	1.00
Police	100000	General Fund	Associate Management Analyst	1.00
Police	100000	General Fund	Clerical Assistant 1	1.00
Police	100000	General Fund	Clerical Assistant 2	4.00
Police	100000	General Fund	Crime Scene Specialist	1.00
Police	100000	General Fund	Criminalist 2	1.00
Police	100000	General Fund	Dispatcher 1	1.00
Police	100000	General Fund	Dispatcher 2	1.00
Police	100000	General Fund	Information Systems Analyst 3	1.00
Police	100000	General Fund	Laboratory Technician	3.00
Police	100000	General Fund	Latent Print Examiner 2	1.00
Police	100000	General Fund	Latent Print Examiner Aide	1.00
Police	100000	General Fund	Office Support Specialist	3.00
Police	100000	General Fund	Parking Enforcement Officer 1	4.00
Police	100000	General Fund	Payroll Specialist 2	1.00
Police	100000	General Fund	Police 911 Dispatcher	6.00
Police	100000	General Fund	Police Captain	5.00
Police	100000	General Fund	Police Detective	52.00
Police	100000	General Fund	Police Dispatcher	8.00
Police	100000	General Fund	Police Investigative Service Officer 1	5.00
Police	100000	General Fund	Police Investigative Service Officer 2	7.00
Police	100000	General Fund	Police Lieutenant	10.00
Police	100000	General Fund	Police Officer 1	22.00
Police	100000	General Fund	Police Officer 2	75.00
Police	100000	General Fund	Police Officer 3	4.00
Police	100000	General Fund	Police Records Clerk	4.00
Police	100000	General Fund	Police Recruit	11.00
Police	100000	General Fund	Police Sergeant	29.00
Police	100000	General Fund	Police Service Officer 2	1.00
Police	100000	General Fund	Program Coordinator	1.00
Police	100000	General Fund	Senior Clerk/Typist	2.00
Police	100000	General Fund	Supervising Management Analyst	2.00
Police Total				**270.00**
Public Utilities	700000	Muni Sewer Revenue Fund	Account Clerk	0.80
Public Utilities	700000	Muni Sewer Revenue Fund	Accountant 3	0.20
Public Utilities	700000	Muni Sewer Revenue Fund	Administrative Aide 1	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Administrative Aide 2	3.18
Public Utilities	700000	Muni Sewer Revenue Fund	Asset Management Coordinator	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Assistant Customer Services Supervisor	0.50
Public Utilities	700000	Muni Sewer Revenue Fund	Assistant Deputy Director	0.70
Public Utilities	700000	Muni Sewer Revenue Fund	Assistant Engineer-Civil	0.96
Public Utilities	700000	Muni Sewer Revenue Fund	Assistant Engineer-Electrical	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Assistant Engineer-Mechanical	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Assistant Management Analyst	0.40
Public Utilities	700000	Muni Sewer Revenue Fund	Assistant to the Water Department Director	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Associate Department Human Resources Analyst	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Associate Engineer-Civil	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Associate Management Analyst	2.06
Public Utilities	700000	Muni Sewer Revenue Fund	Associate Planner	0.64
Public Utilities	700000	Muni Sewer Revenue Fund	Cashier	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Clerical Assistant 1	0.50
Public Utilities	700000	Muni Sewer Revenue Fund	Clerical Assistant 2	1.55
Public Utilities	700000	Muni Sewer Revenue Fund	Customer Services Representative	4.50
Public Utilities	700000	Muni Sewer Revenue Fund	Deputy Director	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Environmental Scientist 2	0.83
Public Utilities	700000	Muni Sewer Revenue Fund	Environmental Scientist 3	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Equipment Operator 2	5.25
Public Utilities	700000	Muni Sewer Revenue Fund	Equipment Operator 3	0.25
Public Utilities	700000	Muni Sewer Revenue Fund	Field Representative	0.30
Public Utilities	700000	Muni Sewer Revenue Fund	Geographic Info Systems Analyst 2	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Geographic Info Systems Analyst 3	0.52
Public Utilities	700000	Muni Sewer Revenue Fund	Heavy Truck Driver 1	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Information Systems Analyst 2	0.40
Public Utilities	700000	Muni Sewer Revenue Fund	Information Systems Analyst 3	0.40
Public Utilities	700000	Muni Sewer Revenue Fund	Instrumentation and Control Technician	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Junior Engineer-Civil	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Laboratory Technician	0.07
Public Utilities	700000	Muni Sewer Revenue Fund	Laborer	5.00
Public Utilities	700000	Muni Sewer Revenue Fund	Office Support Specialist	2.53
Public Utilities	700000	Muni Sewer Revenue Fund	Plant Process Control Electrician	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Plant Technician 1	4.00
Public Utilities	700000	Muni Sewer Revenue Fund	Plant Technician Supervisor	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Principal Customer Services Representative	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Principal Engineering Aide	3.32
Public Utilities	700000	Muni Sewer Revenue Fund	Procurement Specialist	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Program Coordinator	1.23
Public Utilities	700000	Muni Sewer Revenue Fund	Program Manager	0.83
Public Utilities	700000	Muni Sewer Revenue Fund	Project Assistant	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Project Officer 2	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Pump Station Operations Superintendent	0.50
Public Utilities	700000	Muni Sewer Revenue Fund	Records Management Analyst	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Safety Officer	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Account Clerk	0.40
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Civil Engineer	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Clerk/Typist	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Customer Services Representative	0.50
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Drafting Aide	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Electrical Engineer	0.32
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Engineering Aide	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Management Analyst	1.15
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Pump Station Operations Supervisor	0.33
Public Utilities	700000	Muni Sewer Revenue Fund	Senior Water Utility Supervisor	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Sewer Maintenance Equipment Operator	7.00
Public Utilities	700000	Muni Sewer Revenue Fund	Storekeeper 2	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Supervising Economist	0.20
Public Utilities	700000	Muni Sewer Revenue Fund	Supervising Management Analyst	1.72

Fiscal Year 2026 Third Quarter Budget Monitoring Report - Vacancy Status Report

(Vacant, Budgeted Standard-Hour Positions as of April 30, 2026)

Department Name	Fund Number	Fund Name	Job Classification	FTE
Public Utilities	700000	Muni Sewer Revenue Fund	Supervising Wastewater Pretreatment Inspector	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Trainer	0.73
Public Utilities	700000	Muni Sewer Revenue Fund	Utility Worker 1	13.00
Public Utilities	700000	Muni Sewer Revenue Fund	Utility Worker 2	0.25
Public Utilities	700000	Muni Sewer Revenue Fund	Warehouse Manager	0.23
Public Utilities	700000	Muni Sewer Revenue Fund	Wastewater Pretreatment Inspector 2	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Wastewater Pretreatment Inspector 3	1.00
Public Utilities	700000	Muni Sewer Revenue Fund	Water Systems District Manager	0.30
Public Utilities	700000	Muni Sewer Revenue Fund	Water Utility Supervisor	5.00
Public Utilities	700000	Muni Sewer Revenue Fund	Water Utility Worker	7.00
Public Utilities		**Muni Sewer Revenue Fund Total**		**96.64**
Public Utilities	700001	Metro Sewer Utility Fund	Account Clerk	1.40
Public Utilities	700001	Metro Sewer Utility Fund	Accountant 3	0.35
Public Utilities	700001	Metro Sewer Utility Fund	Administrative Aide 1	1.30
Public Utilities	700001	Metro Sewer Utility Fund	Administrative Aide 2	0.65
Public Utilities	700001	Metro Sewer Utility Fund	Asset Management Coordinator	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Assistant Department Director	0.50
Public Utilities	700001	Metro Sewer Utility Fund	Assistant Deputy Director	0.85
Public Utilities	700001	Metro Sewer Utility Fund	Assistant Engineer-Civil	1.04
Public Utilities	700001	Metro Sewer Utility Fund	Assistant Engineer-Electrical	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Assistant Engineer-Mechanical	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Assistant Management Analyst	0.70
Public Utilities	700001	Metro Sewer Utility Fund	Assistant to the Water Department Director	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Associate Department Human Resources Analyst	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Associate Engineer-Civil	1.22
Public Utilities	700001	Metro Sewer Utility Fund	Associate Management Analyst	1.87
Public Utilities	700001	Metro Sewer Utility Fund	Associate Planner	0.44
Public Utilities	700001	Metro Sewer Utility Fund	Clerical Assistant 2	1.74
Public Utilities	700001	Metro Sewer Utility Fund	Deputy Director	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Environmental Scientist 2	6.56
Public Utilities	700001	Metro Sewer Utility Fund	Environmental Scientist 3	0.52
Public Utilities	700001	Metro Sewer Utility Fund	Equipment Painter	2.00
Public Utilities	700001	Metro Sewer Utility Fund	Geographic Info Systems Analyst 2	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Geographic Info Systems Analyst 3	0.57
Public Utilities	700001	Metro Sewer Utility Fund	Information Systems Analyst 2	0.70
Public Utilities	700001	Metro Sewer Utility Fund	Information Systems Analyst 3	0.70
Public Utilities	700001	Metro Sewer Utility Fund	Information Systems Analyst 4	1.00
Public Utilities	700001	Metro Sewer Utility Fund	Instrumentation and Control Technician	1.00
Public Utilities	700001	Metro Sewer Utility Fund	Junior Engineer-Civil	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Laboratory Technician	1.93
Public Utilities	700001	Metro Sewer Utility Fund	Laborer	2.00
Public Utilities	700001	Metro Sewer Utility Fund	Machinist	1.00
Public Utilities	700001	Metro Sewer Utility Fund	Office Support Specialist	1.53
Public Utilities	700001	Metro Sewer Utility Fund	Plant Process Control Electrician	3.00
Public Utilities	700001	Metro Sewer Utility Fund	Plant Technician 1	8.00
Public Utilities	700001	Metro Sewer Utility Fund	Plant Technician 2	4.00
Public Utilities	700001	Metro Sewer Utility Fund	Plant Technician 3	3.00
Public Utilities	700001	Metro Sewer Utility Fund	Plant Technician Supervisor	2.00
Public Utilities	700001	Metro Sewer Utility Fund	Power Plant Operator	2.00
Public Utilities	700001	Metro Sewer Utility Fund	Power Plant Supervisor	1.00
Public Utilities	700001	Metro Sewer Utility Fund	Principal Engineering Aide	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Procurement Specialist	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Program Coordinator	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Program Manager	1.35
Public Utilities	700001	Metro Sewer Utility Fund	Project Assistant	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Project Officer 2	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Pump Station Operations Superintendent	0.50
Public Utilities	700001	Metro Sewer Utility Fund	Pump Station Operator	2.00
Public Utilities	700001	Metro Sewer Utility Fund	Pump Station Operator Trainee	1.00
Public Utilities	700001	Metro Sewer Utility Fund	Records Management Analyst	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Safety Officer	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Senior Account Clerk	0.70
Public Utilities	700001	Metro Sewer Utility Fund	Senior Clerk/Typist	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Senior Control Systems Engineer	1.00
Public Utilities	700001	Metro Sewer Utility Fund	Senior Drafting Aide	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Senior Electrical Engineer	0.22
Public Utilities	700001	Metro Sewer Utility Fund	Senior Management Analyst	2.01
Public Utilities	700001	Metro Sewer Utility Fund	Senior Pump Station Operations Supervisor	0.67
Public Utilities	700001	Metro Sewer Utility Fund	Senior Wastewater Operations Supervisor	2.00
Public Utilities	700001	Metro Sewer Utility Fund	Storekeeper 2	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Supervising Economist	0.35
Public Utilities	700001	Metro Sewer Utility Fund	Supervising Management Analyst	0.92
Public Utilities	700001	Metro Sewer Utility Fund	Trainer	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Warehouse Manager	0.30
Public Utilities	700001	Metro Sewer Utility Fund	Wastewater Plant Operator	3.00
Public Utilities		**Metro Sewer Utility Fund Total**		**75.65**
Public Utilities	700011	Water Utility Operating Fund	Account Clerk	1.80
Public Utilities	700011	Water Utility Operating Fund	Accountant 3	0.45
Public Utilities	700011	Water Utility Operating Fund	Administrative Aide 1	0.47
Public Utilities	700011	Water Utility Operating Fund	Administrative Aide 2	3.17
Public Utilities	700011	Water Utility Operating Fund	Asset Management Coordinator	0.47
Public Utilities	700011	Water Utility Operating Fund	Assistant Customer Services Supervisor	0.50
Public Utilities	700011	Water Utility Operating Fund	Assistant Department Director	0.50
Public Utilities	700011	Water Utility Operating Fund	Assistant Deputy Director	1.45
Public Utilities	700011	Water Utility Operating Fund	Assistant Engineer-Civil	5.00
Public Utilities	700011	Water Utility Operating Fund	Assistant Engineer-Electrical	0.46
Public Utilities	700011	Water Utility Operating Fund	Assistant Engineer-Mechanical	0.46
Public Utilities	700011	Water Utility Operating Fund	Assistant Management Analyst	0.90
Public Utilities	700011	Water Utility Operating Fund	Assistant to the Water Department Director	0.47
Public Utilities	700011	Water Utility Operating Fund	Assistant Water Distribution Operator	1.00
Public Utilities	700011	Water Utility Operating Fund	Associate Department Human Resources Analyst	0.47
Public Utilities	700011	Water Utility Operating Fund	Associate Engineer-Civil	3.46
Public Utilities	700011	Water Utility Operating Fund	Associate Management Analyst	4.07
Public Utilities	700011	Water Utility Operating Fund	Associate Planner	0.92
Public Utilities	700011	Water Utility Operating Fund	Cashier	1.00
Public Utilities	700011	Water Utility Operating Fund	Clerical Assistant 1	0.50
Public Utilities	700011	Water Utility Operating Fund	Clerical Assistant 2	0.71
Public Utilities	700011	Water Utility Operating Fund	Code Compliance Officer	2.00
Public Utilities	700011	Water Utility Operating Fund	Customer Services Representative	4.50
Public Utilities	700011	Water Utility Operating Fund	Deputy Director	0.47
Public Utilities	700011	Water Utility Operating Fund	Environmental Scientist 2	4.61
Public Utilities	700011	Water Utility Operating Fund	Environmental Scientist 3	2.25

Fiscal Year 2026 Third Quarter Budget Monitoring Report - Vacancy Status Report

(Vacant, Budgeted Standard-Hour Positions as of April 30, 2026)

Department Name	Fund Number	Fund Name	Job Classification	FTE
Public Utilities	700011	Water Utility Operating Fund	Equipment Operator 2	1.75
Public Utilities	700011	Water Utility Operating Fund	Equipment Operator 3	0.75
Public Utilities	700011	Water Utility Operating Fund	Equipment Technician 1	2.00
Public Utilities	700011	Water Utility Operating Fund	Field Representative	0.70
Public Utilities	700011	Water Utility Operating Fund	Geographic Info Systems Analyst 2	1.46
Public Utilities	700011	Water Utility Operating Fund	Geographic Info Systems Analyst 3	0.91
Public Utilities	700011	Water Utility Operating Fund	Heavy Truck Driver 2	1.00
Public Utilities	700011	Water Utility Operating Fund	Information Systems Analyst 2	0.90
Public Utilities	700011	Water Utility Operating Fund	Information Systems Analyst 3	0.90
Public Utilities	700011	Water Utility Operating Fund	Instrumentation and Control Technician	1.00
Public Utilities	700011	Water Utility Operating Fund	Instrumentation and Control Technician Trainee	1.00
Public Utilities	700011	Water Utility Operating Fund	Junior Engineer-Civil	0.46
Public Utilities	700011	Water Utility Operating Fund	Laborer	14.00
Public Utilities	700011	Water Utility Operating Fund	Lake Aide 2	2.00
Public Utilities	700011	Water Utility Operating Fund	Machinist	1.00
Public Utilities	700011	Water Utility Operating Fund	Office Support Specialist	2.94
Public Utilities	700011	Water Utility Operating Fund	Plant Operator Trainee	1.00
Public Utilities	700011	Water Utility Operating Fund	Plant Process Control Supervisor	1.00
Public Utilities	700011	Water Utility Operating Fund	Plant Technician 2	1.00
Public Utilities	700011	Water Utility Operating Fund	Plant Technician Supervisor	1.00
Public Utilities	700011	Water Utility Operating Fund	Principal Backflow and Cross Connection Specialist Supervisor	2.00
Public Utilities	700011	Water Utility Operating Fund	Principal Customer Services Representative	1.00
Public Utilities	700011	Water Utility Operating Fund	Principal Engineering Aide	0.46
Public Utilities	700011	Water Utility Operating Fund	Principle Corrosion Engineering Aide	2.00
Public Utilities	700011	Water Utility Operating Fund	Procurement Specialist	0.47
Public Utilities	700011	Water Utility Operating Fund	Program Coordinator	1.47
Public Utilities	700011	Water Utility Operating Fund	Program Manager	2.82
Public Utilities	700011	Water Utility Operating Fund	Project Assistant	0.46
Public Utilities	700011	Water Utility Operating Fund	Project Officer 2	0.46
Public Utilities	700011	Water Utility Operating Fund	Pure Water Plant Operator	4.00
Public Utilities	700011	Water Utility Operating Fund	Ranger/Diver 2	1.00
Public Utilities	700011	Water Utility Operating Fund	Records Management Analyst	0.47
Public Utilities	700011	Water Utility Operating Fund	Reservoir Keeper	1.00
Public Utilities	700011	Water Utility Operating Fund	Safety Officer	0.47
Public Utilities	700011	Water Utility Operating Fund	Senior Account Clerk	0.90
Public Utilities	700011	Water Utility Operating Fund	Senior Backflow & Cross Connection Specialist	3.00
Public Utilities	700011	Water Utility Operating Fund	Senior Clerk/Typist	0.47
Public Utilities	700011	Water Utility Operating Fund	Senior Customer Services Representative	0.50
Public Utilities	700011	Water Utility Operating Fund	Senior Drafting Aide	0.46
Public Utilities	700011	Water Utility Operating Fund	Senior Electrical Engineer	0.46
Public Utilities	700011	Water Utility Operating Fund	Senior Management Analyst	2.59
Public Utilities	700011	Water Utility Operating Fund	Senior Plant Technician Supervisor	1.00
Public Utilities	700011	Water Utility Operating Fund	Storekeeper 2	0.47
Public Utilities	700011	Water Utility Operating Fund	Supervising Economist	0.45
Public Utilities	700011	Water Utility Operating Fund	Supervising Management Analyst	2.36
Public Utilities	700011	Water Utility Operating Fund	Trainer	0.97
Public Utilities	700011	Water Utility Operating Fund	Utility Worker 1	2.00
Public Utilities	700011	Water Utility Operating Fund	Utility Worker 2	0.75
Public Utilities	700011	Water Utility Operating Fund	Warehouse Manager	0.47
Public Utilities	700011	Water Utility Operating Fund	Water Distribution Operator	1.00
Public Utilities	700011	Water Utility Operating Fund	Water Operations Supervisor	1.00
Public Utilities	700011	Water Utility Operating Fund	Water Resources Specialist	1.00
Public Utilities	700011	Water Utility Operating Fund	Water Systems District Manager	0.70
Public Utilities	700011	Water Utility Operating Fund	Water Systems Technician 2	3.00
Public Utilities	700011	Water Utility Operating Fund	Water Systems Technician 3	8.00
Public Utilities		**Water Utility Operating Fund Total**		**128.46**
Public Utilities Total				**300.75**
Publishing Services	720041	Publishing Services Fund	Information Systems Technician	0.50
Publishing Services Total				**0.50**
Purchasing & Contracting	100000	General Fund	Administrative Aide 1	1.00
Purchasing & Contracting	100000	General Fund	Assistant Compliance Officer	1.00
Purchasing & Contracting	100000	General Fund	Assistant Engineer-Civil	5.00
Purchasing & Contracting	100000	General Fund	Associate Engineer-Civil	1.00
Purchasing & Contracting	100000	General Fund	Program Coordinator	1.00
Purchasing & Contracting	100000	General Fund	Senior Civil Engineer	1.00
Purchasing & Contracting	100000	General Fund	Senior Compliance Officer	1.00
Purchasing & Contracting	100000	General Fund	Senior Management Analyst	1.00
Purchasing & Contracting	100000	General Fund	Senior Procurement Contracting Officer	3.00
Purchasing & Contracting	100000	General Fund	Supervising Procurement Contracting Officer	1.00
Purchasing & Contracting	720040	Stores Revolving Fund	Auto Messenger 1	2.00
Purchasing & Contracting	720040	Stores Revolving Fund	Storekeeper 2	1.00
Purchasing & Contracting	720040	Stores Revolving Fund	Stores Operations Supervisor	1.00
Purchasing & Contracting Total				**20.00**
Risk Management	720048	Risk Management Administration Fund	Administrative Aide 2	1.00
Risk Management	720048	Risk Management Administration Fund	Claims Clerk	2.00
Risk Management	720048	Risk Management Administration Fund	Liability Claims Aide	1.00
Risk Management	720048	Risk Management Administration Fund	Liability Claims Representative 1	2.00
Risk Management	720048	Risk Management Administration Fund	Liability Claims Representative 2	4.00
Risk Management	720048	Risk Management Administration Fund	Program Coordinator	2.00
Risk Management	720048	Risk Management Administration Fund	Supervising Liability Claims Representative	2.00
Risk Management	720048	Risk Management Administration Fund	Supervising Workers' Compensation Claims Representative	1.00
Risk Management Total				**15.00**
Stormwater	100000	General Fund	Assistant Engineer-Civil	2.00
Stormwater	100000	General Fund	Associate Planner	2.00
Stormwater	100000	General Fund	Equipment Operator 1	3.00
Stormwater	100000	General Fund	Equipment Operator 2	2.00
Stormwater	100000	General Fund	Equipment Operator 3	1.00
Stormwater	100000	General Fund	Geographic Info Systems Analyst 3	1.00
Stormwater	100000	General Fund	Laborer	1.00
Stormwater	100000	General Fund	Parking Enforcement Officer 1	3.00
Stormwater	100000	General Fund	Plant Process Control Electrician	1.00
Stormwater	100000	General Fund	Plant Technician 2	1.00
Stormwater	100000	General Fund	Principal Utility Supervisor	1.00
Stormwater	100000	General Fund	Public Works Superintendent	1.00
Stormwater	100000	General Fund	Public Works Supervisor	1.00
Stormwater	100000	General Fund	Senior Account Clerk	1.00
Stormwater	100000	General Fund	Senior Planner	2.00
Stormwater	100000	General Fund	Storm Water Compliance Manager	1.00
Stormwater	100000	General Fund	Utility Supervisor	1.00
Stormwater	100000	General Fund	Utility Worker 1	1.00
Stormwater Total				**26.00**
Transportation	100000	General Fund	Assistant Engineer-Civil	1.00

Fiscal Year 2026 Third Quarter Budget Monitoring Report - Vacancy Status Report

(Vacant, Budgeted Standard-Hour Positions as of April 30, 2026)

Department Name	Fund Number	Fund Name	Job Classification	FTE
Transportation	100000	General Fund	Equipment Operator 2	5.00
Transportation	100000	General Fund	Heavy Truck Driver 2	2.00
Transportation	100000	General Fund	Principal Utility Supervisor	1.00
Transportation	100000	General Fund	Program Manager	1.00
Transportation	100000	General Fund	Public Works Dispatcher	0.50
Transportation	100000	General Fund	Senior Civil Engineer	1.00
Transportation	100000	General Fund	Street Lighting Electrician	1.00
Transportation	100000	General Fund	Traffic Striper Operator	2.00
Transportation	100000	General Fund	Utility Worker 1	2.00
Transportation	100000	General Fund	Utility Worker 2	3.00
Transportation Total				**19.50**
Grand Total				**1,263.75**

Fund Type	FTE
General Fund	758.82
Non-General Fund	504.93
Grand Total	**1,263.75**

The City of SAN DIEGO

FISCAL YEAR 2026
Financial Performance Report
As of March 2026

May 2026

Purpose, Scope and Content

Pursuant to Section 39 of the City Charter, this report is intended to serve as a summary of the financial activity of the City of San Diego for Period 9 (as of March 2026).

The report provides a variety of comparative financial metrics including current vs. prior fiscal year actual revenue and expenditure ("Actuals") and current year Actuals vs. the Current Budget. These types of metrics, when analyzed in the aggregate, provide a basis to evaluate the current financial condition of the General Fund and other budgeted funds. Additionally, the intent of this report is to provide operating results as of March 2026, and therefore, does not include forward looking statements or projections.

The information contained in this report should not be relied upon for making investment decisions or be considered a replacement for the City of San Diego's Annual Comprehensive Financial Report. The attached report contains unaudited information and was not prepared in accordance with Generally Accepted Accounting Principles (GAAP) for external financial reporting purposes. For additional information about the City's financial reporting, please visit the internet at:

https://www.sandiego.gov/finance/financialrpts

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General Fund Summary As of Period 9, Ended March, 2026 (75% Completed) *(Unaudited)*	FY26 Adopted Budget	FY26 Current Budget	FY26 Actuals[1]	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Revenue							
Property Taxes	$ 844,597,213	$ 844,597,213	$ 475,695,516	56.3%	$ 457,304,354	$ 18,391,162	4.0%
Sales Taxes	374,533,252	374,533,252	222,905,757	59.5%	217,528,361	5,377,396	2.5%
Transient Occupancy Taxes	170,257,130	170,257,130	102,664,368	60.3%	106,942,949	(4,278,581)	-4.0%
Property Transfer Tax	11,884,826	11,884,826	6,405,037	53.9%	6,615,859	(210,822)	-3.2%
Licenses & Permits	62,405,713	62,258,321	32,306,469	51.9%	30,745,997	1,560,472	5.1%
Fines & Forfeitures	45,748,349	45,748,349	22,312,122	48.8%	20,424,555	1,887,566	9.2%
Interest & Dividends	5,500,000	5,500,000	(12,181,362)	-221.5%	(7,721,489)	(4,459,873)	57.8%
Franchises	106,495,903	106,495,903	61,703,254	57.9%	52,468,981	9,234,273	17.6%
Rents & Concessions	80,317,212	80,317,212	50,607,812	63.0%	63,802,171	(13,194,359)	-20.7%
Revenues from Other Agencies	11,220,846	10,702,048	10,363,781	96.8%	6,724,535	3,639,246	54.1%
Charges for Current Services	330,859,647	335,525,837	147,444,207	43.9%	140,514,962	6,929,245	4.9%
Other Revenue	2,163,337	2,163,337	3,493,985	161.5%	6,502,919	(3,008,934)	-46.3%
Transfers	121,450,561	121,150,561	45,540,451	37.6%	53,483,667	(7,943,216)	-14.9%
Total General Fund Revenue	**$ 2,167,433,989**	**$ 2,171,133,989**	**$ 1,169,261,397**	**53.9%**	**$ 1,155,337,822**	**$ 13,923,575**	**1.2%**
Expenditures							
Personnel Services	$ 961,506,778	$ 964,883,778	$ 733,341,707	76.0%	$ 721,869,583	$ 11,472,124	1.6%
Total PE	**$ 961,506,778**	**$ 964,883,778**	**$ 733,341,707**	**76.0%**	**$ 721,869,583**	**$ 11,472,124**	**1.6%**
Fringe Benefits	602,290,688	602,290,688	441,288,224	73.3%	444,955,011	(3,666,787)	-0.8%
Supplies	37,253,167	37,376,747	28,608,099	76.5%	24,814,538	3,793,560	15.3%
Contracts & Services	344,736,900	352,228,830	213,770,049	60.7%	258,619,781	(44,849,732)	-17.3%
Information Technology	58,161,208	57,629,092	23,911,038	41.5%	30,969,548	(7,058,509)	-22.8%
Energy & Utilities	65,503,236	67,004,036	45,483,562	67.9%	50,289,420	(4,805,858)	-9.6%
Capital Expenditures	857,179	1,393,986	1,329,069	95.3%	705,517	623,551	88.4%
Debt	10,905,860	10,743,496	6,515,005	60.6%	6,232,356	282,649	4.5%
Other Expenditures	5,967,486	5,967,486	2,963,570	49.7%	3,219,280	(255,710)	-7.9%
Transfers	80,251,487	71,615,851	55,904,354	78.1%	30,729,592	25,174,762	81.9%
Total NPE	**$ 1,205,927,211**	**$ 1,206,250,211**	**$ 819,772,969**	**68.0%**	**$ 850,535,043**	**$ (30,762,073)**	**-3.6%**
Total General Fund Expenditures	**$ 2,167,433,989**	**$ 2,171,133,989**	**$ 1,553,114,677**	**71.5%**	**$ 1,572,404,626**	**$ (19,289,949)**	**-1.2%**
General Fund Encumbrances			66,104,373		77,111,590	(11,007,218)	
Net Impact	**$ -**	**$ -**	**$ (449,957,652)**		**$ (494,178,395)**	**$ 44,220,742**	

[1] Includes adjustments made in future periods

Schedule 1

General Fund Revenue Status Report
As of Period 9, Ended March, 2026 (75% Completed)
(Unaudited)

	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Property Taxes	$ 475,695,516	$ 844,597,213	56.3%	$ 457,304,354	$ 18,391,162	4.0%
Sales Taxes	222,905,757	374,533,252	59.5%	217,528,361	5,377,396	2.5%
Transient Occupancy Taxes	102,664,368	170,257,130	60.3%	106,942,949	(4,278,581)	-4.0%
Property Transfer Tax	6,405,037	11,884,826	53.9%	6,615,859	(210,822)	-3.2%
Licenses & Permits						
Business Taxes	17,982,590	29,193,215	61.6%	15,612,088	2,370,502	15.2%
Rental Unit Taxes	6,513,451	7,284,502	89.4%	6,508,630	4,821	0.1%
Parking Meters	-	15,500,000	0.0%	-	-	100.0%
Alarm Permit Fees	680,713	1,090,766	62.4%	494,149	186,565	37.8%
Other Licenses and Permits	7,129,714	9,189,838	77.6%	8,131,131	(1,001,416)	-12.3%
Total Licenses & Permits	32,306,469	62,258,321	51.9%	30,745,997	1,560,472	5.1%
Fines & Forfeitures						
Parking Citations	17,992,029	37,551,663	47.9%	15,881,299	2,110,730	13.3%
Municipal Court	1,548,083	2,975,569	52.0%	2,260,134	(712,052)	-31.5%
Other Fines & Forfeitures	2,771,462	5,221,117	53.1%	2,283,122	488,340	21.4%
Negligent Impound	548	-	100.0%	-	548	100.0%
Total Fines & Forfeitures	22,312,122	45,748,349	48.8%	20,424,555	1,887,566	9.2%
Interest & Dividends	(12,181,362)	5,500,000	-221.5%	(7,721,489)	(4,459,873)	57.8%
Franchises						
SDG&E	36,135,068	66,287,477	54.5%	26,681,547	9,453,521	35.4%
CATV	4,602,336	9,192,915	50.1%	5,029,310	(426,974)	-8.5%
Refuse Collection	7,022,391	14,669,936	47.9%	7,046,521	(24,130)	-0.3%
Other Franchises	13,943,458	16,345,575	85.3%	13,711,602	231,856	1.7%
Total Franchises	61,703,254	106,495,903	57.9%	52,468,981	9,234,273	17.6%
Rents & Concessions						
Mission Bay	25,259,806	41,273,512	61.2%	35,378,159	(10,118,353)	-28.6%
Pueblo Lands	5,549,138	10,327,611	53.7%	8,501,524	(2,952,386)	-34.7%
Other Rents and Concessions	19,798,868	28,716,089	68.9%	19,922,488	(123,620)	-0.6%
Total Rents & Concessions	50,607,812	80,317,212	63.0%	63,802,171	(13,194,359)	-20.7%

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Schedule 1 (cont.)						
	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Revenue from Other Agencies	$ 10,363,781	$ 10,702,048	96.8%	$ 6,724,535	$ 3,639,246	54.1%
Charges for Current Services	147,444,207	335,525,837	43.9%	140,514,962	6,929,245	4.9%
Other Revenue	3,493,985	2,163,337	161.5%	6,502,919	(3,008,934)	-46.3%
Transfers	45,540,451	121,150,561	37.6%	53,483,667	(7,943,216)	-14.9%
Total General Fund Revenue	**$ 1,169,261,397**	**$ 2,171,133,989**	**53.9%**	**$ 1,155,337,822**	**$ 13,923,575**	**1.2%**

[1] Includes adjustments made in future periods

Schedule 2

General Fund Department Expenditure Status Report
As of Period 9, Ended March, 2026 (75% Completed)
(Unaudited)

	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
City Attorney	$ 70,265,723	$ 95,815,935	73.3%	$ 66,833,091	$ 3,432,633	5.1%
City Auditor	4,099,841	5,889,357	69.6%	4,086,125	13,715	0.3%
City Clerk	5,714,525	8,224,639	69.5%	5,610,143	104,382	1.9%
City Council - District 1	1,349,212	2,269,071	59.5%	1,222,161	127,051	10.4%
City Council - District 2	1,649,147	2,501,051	65.9%	1,522,325	126,821	8.3%
City Council - District 3	1,635,587	2,378,088	68.8%	1,522,952	112,635	7.4%
City Council - District 4	1,262,178	2,285,115	55.2%	1,268,670	(6,491)	-0.5%
City Council - District 5	1,486,122	2,560,126	58.0%	1,385,766	100,356	7.2%
City Council - District 6	1,448,594	2,267,138	63.9%	1,363,595	84,999	6.2%
City Council - District 7	1,485,157	2,373,534	62.6%	1,432,324	52,833	3.7%
City Council - District 8	1,500,833	2,372,709	63.3%	1,456,540	44,293	3.0%
City Council - District 9	1,463,232	2,145,027	68.2%	1,449,669	13,563	0.9%
City Planning	15,874,138	22,236,146	71.4%	11,611,302	4,262,836	36.7%
City Treasurer	15,217,485	22,550,210	67.5%	15,121,252	96,233	0.6%
Citywide Program Expenditures	106,040,192	175,973,505	60.3%	102,270,361	3,769,831	3.7%
Commission on Police Practices	1,316,109	2,219,128	59.3%	1,117,831	198,279	17.7%
Communications	5,752,550	7,222,198	79.7%	5,403,650	348,900	6.5%
Compliance	4,766,911	6,935,060	68.7%	4,710,985	55,926	1.2%
Council Administration	1,860,382	2,809,353	66.2%	1,862,400	(2,018)	-0.1%
Department of Finance	22,817,035	30,499,554	74.8%	21,405,079	1,411,956	6.6%
Department of Information Technology	1,346,107	3,555,982	37.9%	1,535,276	(189,169)	-12.3%
Development Services	9,661,510	12,557,937	76.9%	9,564,223	97,287	1.0%
Economic Development	16,116,051	24,766,094	65.1%	9,553,134	6,562,917	68.7%
Environmental Services	21,738,278	32,339,470	67.2%	71,833,608	(50,095,330)	-69.7%
Ethics Commission	1,322,138	2,052,579	64.4%	1,450,472	(128,334)	-8.8%
Fire-Rescue	284,611,302	377,791,607	75.3%	278,511,752	6,099,550	2.2%
General Services	21,397,805	29,128,611	73.5%	18,283,405	3,114,400	17.0%
Government Affairs	-	-	100.0%	833,292	(833,292)	-100.0%
Homelessness Strategies & Solutions	27,876,454	53,821,132	51.8%	24,582,228	3,294,226	13.4%
Human Resources	7,485,528	10,824,249	69.2%	8,873,404	(1,387,876)	-15.6%
Library	56,200,998	76,655,568	73.3%	54,513,861	1,687,138	3.1%
Office of Boards & Commissions	-	-	100.0%	678,931	(678,931)	-100.0%
Office of Emergency Services	3,108,099	4,367,881	71.2%	3,024,944	83,156	2.7%
Office of the Chief Operating Officer[3]	-	-	100.0%	4,863,187	(4,863,187)	-100.0%
Office of the IBA	3,342,809	4,651,781	71.9%	2,166,666	1,176,143	54.3%
Office of the Mayor	7,363,843	10,324,343	71.3%	3,002,749	4,361,095	145.2%
Parks & Recreation	145,264,412	191,828,308	75.7%	140,351,230	4,913,182	3.5%

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Schedule 2 (cont.)

	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Performance & Analytics	$ 3,202,499	$ 4,703,288	68.1%	$ 3,968,889	$ (766,390)	-19.3%
Personnel	12,407,964	16,475,407	75.3%	11,938,405	469,559	3.9%
Police	516,115,481	706,382,933	73.1%	518,688,013	(2,572,532)	-0.5%
Public Utilities	1,752,245	3,125,836	56.1%	1,735,948	16,297	0.9%
Purchasing & Contracting	8,738,555	12,523,202	69.8%	8,038,484	700,072	8.7%
Race & Equity	-	-	100.0%	822,077	(822,077)	-100.0%
Real Estate & Airport Management[2]	-	-	100.0%	5,826,944	(5,826,944)	-100.0%
Stormwater	44,308,901	65,437,747	67.7%	45,458,895	(1,149,994)	-2.5%
Sustainability & Mobility[4]	(0)	-	-100.0%	4,718,468	(4,718,468)	-100.0%
Transportation	92,748,743	126,293,090	73.4%	84,929,920	7,818,823	9.2%
Total General Fund Expenditures	**$ 1,553,114,677**	**$ 2,171,133,989**	**71.5%**	**$ 1,572,404,626**	**$ (19,289,949)**	**-1.2%**

[1] Includes adjustments made in future periods
[2] Merged with Economic Development in Fiscal Year 2026
[3] Merged with Office of the Mayor in Fiscal Year 2026
[4] Merged with Transportation in Fiscal Year 2026

Schedule 2a

Citywide Program Expenditure Status Report
As of Period 9, Ended March, 2026 (75% Completed)
(Unaudited)

	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Citywide Program Expenditures						
Administrative Expenditures	$ 1,208,125	$ 1,514,297	79.8%	$ 703,163	$ 504,962	71.8%
Assessments To Public Property	1,354,320	1,443,644	93.8%	1,199,671	154,648	12.9%
Citywide Elections	-	1,760,000	0.0%	4,991,023	(4,991,023)	-100.0%
Corporate Master Leases Rent	12,954,537	16,765,217	77.3%	11,953,306	1,001,230	8.4%
Deferred Capital Debt Service	53,401,562	55,051,999	97.0%	26,443,161	26,958,401	101.9%
Insurance	4,592,369	6,482,307	70.8%	4,358,087	234,282	5.4%
Memberships	1,270,123	1,338,493	94.9%	1,055,494	214,629	20.3%
PL Claims Trans-Ins	29,259,089	31,578,669	92.7%	32,451,413	(3,192,324)	-9.8%
Preservation of Benefits	-	925,000	0.0%	-	-	100.0%
Property Tax Administration	243,470	5,048,327	4.8%	406,665	(163,195)	-40.1%
Public Liability Claims Xfer-Claims Fund	-	22,395,782	0.0%	15,105,581	(15,105,581)	-100.0%
Public Use Leases	710,949	1,308,175	54.3%	-	710,949	100.0%
Redistricting Commission	-	-	100.0%	180	(180)	-100.0%
Right-of-Way Permit Reimbursements	25,789	7,672,377	0.3%	19,650	6,139	31.2%
Special Consulting Services	152,384	420,706	36.2%	320,078	(167,695)	-52.4%
Supplemental COLA Benefit	867,475	995,000	87.2%	912,887	(45,412)	-5.0%
Transfer to Other Funds	-	-	100.0%	2,350,000	(2,350,000)	-100.0%
Transfer to Park Improvement Funds	-	21,273,512	0.0%	-	-	100.0%
Total Citywide Program Expenditures	**$ 106,040,192**	**$ 175,973,505**	**60.3%**	**$ 102,270,361**	**$ 3,769,831**	**3.7%**

[1] Includes adjustments made in future periods

Schedule 2b

Council Districts Expenditure Status Report
As of Period 9, Ended March, 2026 (75% Completed)
(Unaudited)

	FY26 Actuals	FY26 Adopted Budget	FY26 Current Budget	FY26 Budget Change	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Council District 1	$ 1,309,462	$ 2,169,526	$ 2,169,526	$ -	60.4%	$ 1,219,581	$ 89,880	7.4%
District 1 CPPS	39,750	100,000	99,545	(455)	39.9%	2,580	37,170	1440.8%
Total Council District 1	**1,349,212**	**2,269,526**	**2,269,071**	**(455)**	**59.5%**	**1,222,161**	**127,051**	**10.4%**
Council District 2	1,641,147	2,410,741	2,410,741	-	68.1%	1,516,853	124,294	8.2%
District 2 CPPS	8,000	100,000	90,310	(9,690)	8.9%	5,473	2,527	46.2%
Total Council District 2	**1,649,147**	**2,510,741**	**2,501,051**	**(9,690)**	**65.9%**	**1,522,325**	**126,821**	**8.3%**
Council District 3	1,581,587	2,278,088	2,278,088	-	69.4%	1,522,952	58,635	3.9%
District 3 CPPS	54,000	100,000	100,000	-	54.0%	-	54,000	100.0%
Total Council District 3	**1,635,587**	**2,378,088**	**2,378,088**	**-**	**68.8%**	**1,522,952**	**112,635**	**7.4%**
Council District 4	1,257,178	2,186,765	2,185,115	(1,650)	57.5%	1,268,670	(11,491)	-0.9%
District 4 CPPS	5,000	100,000	100,000	-	5.0%	-	5,000	100.0%
Total Council District 4	**1,262,178**	**2,286,765**	**2,285,115**	**(1,650)**	**55.2%**	**1,268,670**	**(6,491)**	**-0.5%**
Council District 5	1,446,122	2,460,126	2,460,126	-	58.8%	1,388,016	58,106	4.2%
District 5 CPPS	40,000	100,000	100,000	-	40.0%	(2,250)	42,250	-1877.8%
Total Council District 5	**1,486,122**	**2,560,126**	**2,560,126**	**-**	**58.0%**	**1,385,766**	**100,356**	**7.2%**
Council District 6	1,446,594	2,167,138	2,167,138	-	66.8%	1,365,595	80,999	5.9%
District 6 CPPS	2,000	100,000	100,000	-	2.0%	(2,000)	4,000	-200.0%
Total Council District 6	**1,448,594**	**2,267,138**	**2,267,138**	**-**	**63.9%**	**1,363,595**	**84,999**	**6.2%**
Council District 7	1,441,907	2,273,534	2,273,534	-	63.4%	1,432,324	9,583	0.7%
District 7 CPPS	43,250	100,000	100,000	-	43.3%	-	43,250	100.0%
Total Council District 7	**1,485,157**	**2,373,534**	**2,373,534**	**-**	**62.6%**	**1,432,324**	**52,833**	**3.7%**
Council District 8	1,496,833	2,272,709	2,272,709	-	65.9%	1,456,540	40,293	2.8%
District 8 CPPS	4,000	100,000	100,000	-	4.0%	-	4,000	100.0%
Total Council District 8	**1,500,833**	**2,372,709**	**2,372,709**	**-**	**63.3%**	**1,456,540**	**44,293**	**3.0%**
Council District 9	1,398,232	2,080,027	2,080,027	-	67.2%	1,449,669	(51,437)	-3.5%
District 9 CPPS	65,000	100,000	65,000	(35,000)	100.0%	-	65,000	100.0%
Total Council District 9	**1,463,232**	**2,180,027**	**2,145,027**	**(35,000)**	**68.2%**	**1,449,669**	**13,563**	**0.9%**
Total Council Districts	**$13,280,062**	**$ 21,198,654**	**$ 21,151,859**	**$ (46,795)**	**62.8%**	**$ 12,624,003**	**$ 656,059**	**5.2%**

[1] Includes adjustments made in future periods

Schedule 3

Other Budgeted Funds Revenue Status Report
As of Period 9, Ended March, 2026 (75% Completed)
(Unaudited)

	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Airports Fund	$ 6,633,526	$ 8,892,740	74.6%	$ 6,177,433	$ 456,093	7.4%
Automated Refuse Container Fund	56,545	-	100.0%	988,918	(932,374)	-94.3%
Capital Outlay - Misc Revenue	-	-	100.0%	3,047,601	(3,047,601)	-100.0%
Central Stores Internal Service Fund	8,591,366	11,236,451	76.5%	7,588,163	1,003,203	13.2%
Climate Equity Fund	376,917	1,500,000	25.1%	384,077	(7,160)	-1.9%
Community Equity Fund	3,832	-	100.0%	86,826	(82,995)	-95.6%
Concourse and Parking Garages Operating Fund	1,354,177	2,986,732	45.3%	2,128,775	(774,598)	-36.4%
Convention Center Expansion Funds	872,332	12,902,836	6.8%	13,077,804	(12,205,472)	-93.3%
Development Services Fund	127,468,943	144,085,274	88.5%	95,951,435	31,517,508	32.8%
Energy Conservation Program Fund	6,090,198	6,208,947	98.1%	6,623,847	(533,649)	-8.1%
Energy Independence Fund	(5,542)	-	-100.0%	113,327	(118,869)	-104.9%
Engineering and Capital Projects	140,856,043	167,180,209	84.3%	138,372,131	2,483,912	1.8%
Environmental Growth Fund 1/3	5,279,697	8,732,902	60.5%	4,087,294	1,192,403	29.2%
Environmental Growth Fund 2/3	10,492,109	17,472,803	60.0%	8,218,786	2,273,323	27.7%
Facilities Financing Fund	3,905	-	100.0%	(26,340)	30,244	-114.8%
Fire/Emergency Medical Services Fund	90,377,825	131,810,011	68.6%	85,705,602	4,672,222	5.5%
Fire and Lifeguard Facilities Fund	1,329,174	1,327,425	100.1%	1,402,969	(73,794)	-5.3%
Fleet Operations	111,032,420	159,556,381	69.6%	93,735,088	17,297,332	18.5%
Gas Tax Fund	22,786,972	39,324,068	57.9%	23,775,965	(988,993)	-4.2%
General Plan Maintenance Fund	4,726,260	5,822,300	81.2%	3,437,975	1,288,285	37.5%
GIS Fund	5,304,778	5,452,748	97.3%	5,310,678	(5,900)	-0.1%
Golf Course Fund	31,125,844	30,889,347	100.8%	28,259,568	2,866,276	10.1%
Information Technology Fund	34,605,008	83,814,797	41.3%	40,844,712	(6,239,704)	-15.3%
Infrastructure Fund	22,193	-	100.0%	-	22,193	100.0%
Junior Lifeguard Program Fund	1,139,382	1,193,420	95.5%	1,062,579	76,803	7.2%
Local Enforcement Agency Fund	959,208	1,067,227	89.9%	844,452	114,756	13.6%
Long Range Property Management Fund	1,607,199	595,000	270.1%	1,587,802	19,397	1.2%
Los Penasquitos Canyon Preserve Fund	25,008	36,000	69.5%	22,725	2,283	10.0%
Low-Moderate Income Housing Asset Fund	4,665,273	1,209,014	385.9%	5,436,232	(770,959)	-14.2%
Maintenance Assessment District (MAD) Funds	24,965,277	35,694,794	69.9%	23,969,689	995,588	4.2%
Mission Bay/Balboa Park Improvement Fund	527,527	904,333	58.3%	647,199	(119,672)	-18.5%
Mission Bay Improvement Fund	1,567,437	13,827,783	11.3%	1,262,777	304,660	24.1%
New Convention Facility Fund	2,901,192	2,901,191	100.0%	2,816,688	84,504	3.0%
OneSD Support Fund	28,301,941	27,955,462	101.2%	26,230,552	2,071,389	7.9%
Parking Meter Operations	15,496,103	28,040,000	55.3%	8,215,870	7,280,233	88.6%
PETCO Park Fund	16,050,393	18,495,036	86.8%	13,122,152	2,928,240	22.3%
Prop 42 Replacement - Transportation Relief Fund	125	-	100.0%	-	125	100.0%
Public Art Fund	616,178	-	100.0%	621,728	(5,550)	-0.9%
Public Safety Services & Debt Service Fund	9,224,313	12,657,066	72.9%	8,958,147	266,166	3.0%
Publishing Services Internal Fund	574,613	1,947,049	29.5%	837,087	(262,474)	-31.4%
Recycling Fund	14,943,253	25,414,856	58.8%	15,935,974	(992,722)	-6.2%
Refuse Disposal Fund	56,056,731	72,751,556	77.1%	48,466,048	7,590,683	15.7%
Refuse Disposal - Miramar Clousure	1,124,762	625,000	180.0%	1,075,693	49,069	4.6%

Continued on Next Page

Schedule 3 (cont.)

	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Regional Park Improvements Fund	$ 675,254	$ 7,445,729	9.1%	$ 486,083	$ 189,171	38.9%
Risk Management Administration Fund	15,386,342	20,444,952	75.3%	12,453,076	2,933,266	23.6%
Road Maintenance & Rehabilitation	23,250,114	36,347,892	64.0%	23,410,439	(160,325)	-0.7%
Seized and Forfeited Assets Funds	1,565,396	-	100.0%	814,318	751,077	92.2%
Solid Waste Management Fund	72,624,787	148,438,551	48.9%	(135,018)	72,759,805	-53888.9%
State COPS	3,722,103	3,400,000	109.5%	4,160,603	(438,500)	-10.5%
Storm Drain Fund	5,245,334	5,700,000	92.0%	4,588,453	656,880	14.3%
Successor Agency Admin & Project Fund	1,189,150	1,934,326	61.5%	600,858	588,292	97.9%
Transient Occupancy Tax Fund	92,046,460	153,553,231	59.9%	96,565,148	(4,518,688)	-4.7%
TOT - Covention Center	28,520,575	47,672,881	59.8%	-	28,520,575	100.0%
TOT - Homelessness	19,732,022	32,602,464	60.5%	-	19,732,022	100.0%
TOT - Major Events Revolving FD	512,596	153,970	332.9%	648,141	(135,545)	-20.9%
TransNet Extension Funds	38,078,101	46,268,000	82.3%	34,813,054	3,265,047	9.4%
Underground Surcharge Fund	59,144,422	90,001,567	65.7%	47,471,456	11,672,966	24.6%
Wastewater Department Funds	387,206,115	639,210,654	60.6%	605,609,075	(218,402,960)	-36.1%
Water Department Funds	710,470,446	958,479,293	74.1%	698,766,174	11,704,271	1.7%
Wireless Communication Technology Fund	11,811,949	12,125,011	97.4%	10,333,807	1,478,143	14.3%
Zoological Exhibits Maintenance Fund	12,823,374	21,757,366	58.9%	12,417,167	406,207	3.3%

[1] Includes adjustments made in future periods

Schedule 4

Other Budgeted Funds Expenditure Status Report
As of Period 9, Ended March, 2026 (75% Completed)
(Unaudited)

	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Airports Fund	$ 8,807,521	$ 12,146,835	72.5%	$ 6,757,699	$ 2,049,822	30.3%
Automated Refuse Container Fund	15,892	2,125,895	0.7%	1,043,992	(1,028,100)	-98.5%
Capital Outlay - Misc Revenue	8,090,875	8,164,598	99.1%	3,897,819	4,193,055	107.6%
Central Stores Internal Service Fund	9,124,267	11,403,746	80.0%	8,154,360	969,907	11.9%
Climate Equity Fund	706	120,995	0.6%	1,483,153	(1,482,447)	-100.0%
Community Equity Fund	-	89,857	0.0%	771,350	(771,350)	-100.0%
Concourse and Parking Garages Operating Fund	2,253,262	3,785,121	59.5%	1,771,366	481,895	27.2%
Convention Center Expansion Funds	12,739,293	13,462,336	94.6%	12,697,455	41,838	0.3%
Development Services Fund	113,443,608	144,014,897	78.8%	108,153,451	5,290,157	4.9%
Energy Conservation Program Fund	4,986,539	7,313,779	68.2%	4,638,308	348,231	7.5%
Energy Independence Fund	281,402	300,000	93.8%	270,553	10,849	4.0%
Engineering and Capital Projects	130,443,570	180,303,372	72.3%	126,167,665	4,275,905	3.4%
Environmental Growth Fund 1/3	2,603,476	11,303,475	23.0%	5,051,535	(2,448,059)	-48.5%
Environmental Growth Fund 2/3	3,401,497	19,691,871	17.3%	20,685	3,380,812	16344.7%
Facilities Financing Fund	42,044	-	100.0%	1,624,922	(1,582,878)	-97.4%
Fire/Emergency Medical Services Fund	88,510,302	137,232,995	64.5%	75,800,499	12,709,802	16.8%
Fire and Lifeguard Facilities Fund	1,152,000	1,327,425	86.8%	1,134,556	17,444	1.5%
Fleet Operations	129,084,115	361,200,636	35.7%	102,898,831	26,185,284	25.4%
Gas Tax Fund	31,874,010	40,343,181	79.0%	29,776,428	2,097,582	7.0%
General Plan Maintenance Fund	5,755,916	6,822,300	84.4%	3,735,935	2,019,981	54.1%
GIS Fund	5,109,574	6,720,010	76.0%	4,299,392	810,182	18.8%
Golf Course Fund	25,116,001	31,039,009	80.9%	22,342,231	2,773,770	12.4%
Information Technology Fund	54,735,453	84,684,741	64.6%	53,484,071	1,251,382	2.3%
Infrastructure Fund	14,226	123,193	11.5%	15,336,334	(15,322,108)	-99.9%
Junior Lifeguard Program Fund	852,149	1,025,276	83.1%	782,346	69,804	8.9%
Local Enforcement Agency Fund	753,961	1,189,427	63.4%	736,782	17,179	2.3%
Long Range Property Management Fund	369,777	3,346,686	11.0%	69,125	300,653	434.9%
Los Penasquitos Canyon Preserve Fund	5,709	15,125	37.7%	(23,938)	29,648	-123.8%
Low-Moderate Income Housing Asset Fund	4,188,461	57,507,581	7.3%	9,422,251	(5,233,790)	-55.5%
Maintenance Assessment District (MAD) Funds	25,521,338	46,296,080	55.1%	26,080,590	(559,252)	-2.1%
Mission Bay/Balboa Park Improvement Fund	223,134	904,333	24.7%	573,974	(350,841)	-61.1%
Mission Bay Improvement Fund	31	-	100.0%	-	31	100.0%
New Convention Facility Fund	2,901,191	2,901,191	100.0%	2,816,688	84,503	3.0%
OneSD Support Fund	21,207,388	30,954,538	68.5%	20,856,053	351,334	1.7%
Parking Meter Operations	4,354,088	28,722,645	15.2%	2,857,594	1,496,494	52.4%
PETCO Park Fund	18,284,528	19,461,510	94.0%	17,600,482	684,046	3.9%
Public Art Fund	94,025	7,980,057	1.2%	45,414	48,611	107.0%
Public Safety Services & Debt Service Fund	6,747,532	12,657,066	53.3%	6,560,841	186,691	2.8%
Publishing Services Internal Fund	1,234,991	2,132,055	57.9%	1,156,601	78,390	6.8%
Recycling Fund	9,600,856	30,728,076	31.2%	22,049,402	(12,448,545)	-56.5%
Refuse Disposal Fund	32,555,256	55,964,803	58.2%	33,600,526	(1,045,270)	-3.1%
Risk Management Administration Fund	14,123,337	20,433,736	69.1%	12,402,820	1,720,517	13.9%

Continued on Next Page

Schedule 4 (cont.)

	FY26 Actuals	FY26 Current Budget	FY26 % of Current Budget	FY25 Actuals[1]	FY26/FY25 Actuals Change	FY26/FY25 % Change
Road Maintenance & Rehabilitation	$ 17,237,979	$ 55,450,400	31.1%	$ 22,304,054	$ (5,066,075)	-22.7%
Seized and Forfeited Assets Funds	730,811	2,307,396	31.7%	2,942,898	(2,212,087)	-75.2%
Solid Waste Management Fund	81,209,344	139,380,756	58.3%	5,264,670	75,944,675	1442.5%
State COPS	2,823,207	6,142,672	46.0%	2,655,888	167,319	6.3%
Storm Drain Fund	3,845,169	5,731,128	67.1%	3,202,596	642,574	20.1%
Successor Agency Admin & Project Fund	1,189,150	1,934,326	61.5%	600,858	588,292	97.9%
Transient Occupancy Tax Fund	38,763,706	155,397,265	24.9%	58,380,482	(19,616,776)	-33.6%
TOT - Covention Center	-	47,672,882	0.0%	-	-	100.0%
TOT - Homelessness	-	32,602,464	0.0%	-	-	100.0%
TOT - Major Events Revolving FD	436,913	597,155	73.2%	579,653	(142,740)	-24.6%
TransNet Extension Funds	16,324,122	21,613,473	75.5%	17,671,595	(1,347,474)	-7.6%
Underground Surcharge Fund	24,432,848	79,994,908	30.5%	16,782,317	7,650,531	45.6%
Wastewater Department Funds	278,242,425	470,720,775	59.1%	279,556,160	(1,313,735)	-0.5%
Water Department Funds	581,635,536	847,768,484	68.6%	550,444,921	31,190,616	5.7%
Wireless Communication Technology Fund	9,818,963	12,581,265	78.0%	8,536,009	1,282,954	15.0%
Zoological Exhibits Maintenance Fund	9,261,690	21,757,366	42.6%	7,738,998	1,522,692	19.7%

[1] Includes adjustments made in future periods

THE CITY OF SAN DIEGO

MEMORANDUM

DATE: May 7, 2026

TO: Rolando Charvel, Chief Financial Officer

FROM: Heather Ferbert, City Attorney, Office of the City Attorney

SUBJECT: Reporting Requirements – Section 19 of the Appropriation Ordinance

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As required by Section 19 of the Fiscal Year 2026 Appropriation Ordinance (AO), the Chief Financial Officer (CFO) shall report all actions that are taken when authorizing to accept, appropriate, and expend grant funds awarded to the City for the City Attorney's prosecutorial function for the purpose of implementing any such grant.

This memorandum is intended to provide the necessary information to comply with the reporting requirements as outlined in the AO.

Through the Third Quarter of the Fiscal Year 2026, the City Attorney's Office has accepted and appropriated:

- $463,000 Alcohol & Drug Prosecution Program
- $999,894 Byrne State Crisis Intervention Program (SCIP)
- $400,000 Workers' Rights Enforcement Program

The City Attorney's Office has expended $1,401,596 in various grant funds including:

- Alcohol & Drug Prosecution Program
- Byrne State Crisis Intervention Program
- Workers' Rights Enforcement Program
- Gun Violence Response Task Force Program
- Family Justice (FJ) Program

The Office of the City Attorney is available to answer any questions.

Heather Ferbert
City Attorney

cc: Benjamin Battaglia, Director of Finance and City Comptroller
Ambar Gutierrez, Financial Operations Manager, Department of Finance
Ray Iadanza, Principal Accountant, Department of Finance
Tanisha Santos, Finance Analyst, Department of Finance

THE CITY OF SAN DIEGO

M E M O R A N D U M

DATE: May 11, 2026

TO: Honorable Council President Joe LaCava and Members of the City Council

FROM: Sarah Jarman, Director, Homelessness Strategies and Solutions Department

SUBJECT: Fiscal Year 2026 Third Quarter Budget Monitoring Report and Grant Funding Update

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This memorandum responds to City Council Resolution 313615[1] requesting the Homelessness Strategies and Solutions Department (Department) to provide an update on homelessness programs and the process of spending multi-year grant funds, including reallocations of resources as recommended by the Independent Budget Analyst in Report Number 21-19, Recommendation No. 2 and that updates on spending of state grants and other funding related to homelessness are included in the quarterly budget monitoring report. For additional details about the Fiscal Year 2026 spending plan for homelessness programs and services, please see pages 40-45 (PDF pages 15-20) of the Citywide Budget Overview section of the Adopted Budget. This third quarter memorandum highlights key updates to programs and multi-year grant spending to highlight major updates in the Department's program implementation. A comprehensive reporting of grant funding awards, prior year spending, unaudited expenditures at fiscal year-end, and the balance of grant funds available for use in future years will be presented in the Year-End Performance Report memorandum.

Updates on Grant Funding

On July 14, 2025, the Department presented to City Council its intent to apply for round 6 of the State of California Homeless Housing, Assistance and Prevention (HHAP) grant in collaboration with the County of San Diego and the Regional Task Force on Homelessness. The intent of HHAP Round 6 is to align with the State's priorities to prevent and expeditiously reduce unsheltered homelessness through homelessness prevention activities and sustain existing interim and permanent housing solutions. On December 23, 2025, the Department was notified that it had been awarded the grant. In April of 2026, the Department received the agreement from the State and anticipates returning to City Council before the end of FY26 for approval consideration. The City will receive a total amount of $25,844,167 in two installments. The initial disbursement of $12,922,084 will be received upon execution of the grant agreement, which is anticipated to occur in FY 2026, and the remaining 50% will be available upon meeting expenditure and obligation requirements. These funds will be allocated as follows: $2,250,000 for Prevention and Shelter Diversion; $17,965,101 for Interim Housing-Operating Expenses; $4,023,253 for Youth Operating Expenses; and $1,605,813 for Administrative Costs.

[1] City Council Resolution Number R-313615

Program Accomplishments

From July 1, 2025, through February 28, 2026, the Department achieved the following outcomes across its programs:

- 2,705 individuals served in City funded shelters with 445 exits to permanent housing.
- 1,517 individuals served at the City's Safe Sleeping program.
- 4,109 individuals served through the City's Coordinated Street Outreach program.
- 183 individuals placed into permanent and long-term housing through the Family Reunification Program.

General Fund Spending

The Department anticipates year-end expenditures in the amount of $51,236,991 which reflects an estimated $2,584,141 savings from the Adopted Budget of $53,821,132.

FY 2026 Homelessness Strategies and Solutions Department General Fund		
Category	**FY26 Adopted Budget**	**Q3 Projection**
Shelter & Services	$41,610,514	$38,746,812
Outreach	$3,205,256	$3,205,256
Prevention Programming	$5,800,000	$5,800,000
Coordination	$3,205,362	$3,484,923
General Fund	**$53,821,132**	**$51,236,991**

Notable Expenditures Updates
Supplies – Underspending in supplies at $657,921 anticipated primarily due to:

- The transfer of expenditures for tents and new platforms from the General Fund to the County Capital Emergency Housing Solutions Grant for the Safe Sleeping Program resulting in an estimated $562,385 underspend.
- Charges that will be billed to the County Capital Emergency Housing Solutions Grant for the Safe Sleeping Program totaling $95,536.

Contracts – Underspending in contracts at $1,863,465 anticipated primarily due to:

- Savings from SDHC Administered Programs, totaling an estimated $1,207,570. These savings result from:
  - Delay in the completion of the expansion of Rachel's Promise, totaling an estimated savings of $441,143. It is estimated that Rachel's Promise is anticipated to open June of 2026.
  - Contract costs at the Non-Congregate Family Shelter, totaling an estimated savings of $374,327. Savings are due to program operator underspending in personnel expenses and food expenses.
  - Lower than anticipated expenditures for Veteran's Village, totaling an estimated savings of $297,985. Savings are due to trending underspending across all personnel and non-personnel expenses.
  - Contract costs at the Alcohol Use Disorder Shelter, totaling an estimated

savings of $94,115. Savings are due to an underspend in fringe, food expenses and client supplies.

- Credits of $507,141 from SDHC due to overbilling the City in Fiscal Year 2025 across various SDHC administered programs, including Shelters and the Multidisciplinary Outreach Program.
- Projected savings in ancillary costs across all shelters resulting in an estimated savings of $688,296.

These savings have been partially offset by overages due to unanticipated storm related costs to the 16th and Newton shelter. On January 1, 2026, the shelter needed to be evacuated temporarily due to flooding. The total cost of temporary relocation and repairs is $539,542.

This third quarter memorandum presents a high-level overview of major changes in grant funding. Future reports will include a more detailed analysis of program and grant specific expenditures as more financial data becomes available. The Department continues to monitor program expenses and will continue to keep the City Council informed of grant funding execution and forecasting updates.

Sincerely,

Sarah Jarman

Sarah Jarman
Director, Homelessness Strategies and Solutions Department

cc: Paola Avila, Chief of Staff, Office of the Mayor
Charles Modica, Independent Budget Analyst
Casey Smith, Chief Housing and Community Development Officer
Matt Yagyagan, Director of Policy, Office of the Mayor
Rolando Charvel, Chief Financial Officer

Fiscal Year 2026 - Addition of Programmatic Supplemental Positions

(Standard-Hour Positions Created as of March 31, 2026)

Department Name	Fund Number	Fund Name	Job Classification	Date Created	FTE	Purpose
City Attorney	100000	General Fund	City Attorney Investigator 2	9/22/2025	1.00	Reimbursable via grants - Support Gun Violence Reduction Unit (GVRU) and Firearms Relinquishment Task Force
City Attorney	100000	General Fund	Deputy City Attorney	12/17/2025	1.00	Reimbursable via Prop 64 Penalty Funds - Support Civil Litigation division to respond to referrals for unfair business practices preying on consumers.
City Attorney	100000	General Fund	Deputy City Attorney	12/17/2025	1.00	Reimbursable via Prop 64 Penalty Funds - Support Civil Litigation division to respond to referrals for unfair business practices preying on consumers.
City Attorney Total					**3.00**	
City Treasurer	200712	Parking Meter Operations Fund	Sr. Parking Meter Technician	10/30/2025	1.00	Revenue Generating - Support expansion of metered parking zones. Position is expected to generate more parking citation revenue than the position costs.
City Treasurer	200712	Parking Meter Operations Fund	Parking Meter Technician	1/26/2026	1.00	Revenue Generating - Support expansion of metered parking zones. Position is expected to generate more parking citation revenue than the position costs.
City Treasurer	200712	Parking Meter Operations Fund	Parking Meter Technician	1/26/2026	1.00	Revenue Generating - Support expansion of metered parking zones. Position is expected to generate more parking citation revenue than the position costs.
City Treasurer Total					**3.00**	
Economic Development	100000	General Fund	Community Development Specialist 3	1/28/2026	1.00	Reimbursable via PBID - Supports the implementation of the Downtown PBID Program policies and serves as liaison to the Downtown San Diego Partnership
Economic Development Total					**1.00**	
Environmental Services	100000	General Fund	Code Compliance Officer	8/12/2025	1.00	Reimbursable via Caltrans - Conduct abatements on State right-of-way (ROW), including freeways, on-ramps, and off-ramps pursuant to Delegated Maintenance Agreement (DMA)
Environmental Services Total					**1.00**	
Police	100000	General Fund	Parking Enfrc Supv	2/24/2026	1.00	Oversees the daily operations, staff, and activities of a newly created parking enforcement unit due to additional meters from parking reform to ensure compliance with parking regulations and maintain public safety and order.
Police	100000	General Fund	Parking Enfrc Ofcr 2	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 2	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.

Fiscal Year 2026 - Addition of Programmatic Supplemental Positions

(Standard-Hour Positions Created as of March 31, 2026)

Department Name	Fund Number	Fund Name	Job Classification	Date Created	FTE	Purpose
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Sr Parking Enfrc Supv	2/24/2026	1.00	Critical for ensure the successful operation of newly created parking enforcmeent unit by providing complex problem-solving and community liaison functions that ensure the entire parking system operates effectively.
Police	100000	General Fund	Parking Enfrc Ofcr 2	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Parking Enfrc Ofcr 1	2/24/2026	1.00	Revenue Generating - Supports City's parking enforcement efforts after additional meters have been installed throughout the City. If not approved, would lead to additional overtime hours from current enforcement units.
Police	100000	General Fund	Police Commander	3/18/2026	1.00	Provides critical oversite of specialized units (SWAT, Canine, Air Support, CIU) and compliance with surveillance ordinance.
Police Total					**19.00**	
Grand Total					**27.00**	